

FRANKLIN TEMPLETON INVESTMENTS VCC
(Incorporated in Singapore on 27 August 2024)

FIRST SUPPLEMENTARY PROSPECTUS DATED 4 MARCH 2026

A copy of this First Supplementary Prospectus has been lodged with the Monetary Authority of Singapore (“**MAS**”) who assumes no responsibility for its contents.

This First Supplementary Prospectus is lodged with the MAS pursuant to Section 298 of the Securities and Futures Act 2001 of Singapore and is supplemental to the prospectus relating to Franklin Templeton Investments VCC (the “**Company**”) registered by the MAS on 13 May 2025 (as replaced by the first replacement prospectus dated 17 September 2025 and the second replacement prospectus dated 14 January 2026) (the “**Prospectus**”).

Terms used in this First Supplementary Prospectus will have the meaning and construction ascribed to them in the Prospectus and references to “**paragraph**” are to the paragraphs of the Prospectus. This First Supplementary Prospectus is to be read and construed in conjunction and as one document with the Prospectus.

This First Supplementary Prospectus sets out the amendments made to the Prospectus to reflect the resignation of Tariq Ashfaq Ahmad as a director of Templeton Asset Management Ltd (the “**Manager**”) with effect from 1 March 2026.

In this connection, the Prospectus will be amended as follows with effect from the date of this First Supplementary Prospectus:-

1. “Directory” section of the Prospectus

The sub-section headed “Directors of the Manager” is deleted in its entirety and replaced with the following:

“DIRECTORS OF THE MANAGER
Manraj Singh Sekhon
Ong Tek Khoan
Lim Seh Kuan”

2. Paragraph 8.4 of the Prospectus

The profile of Tariq Ashfaq Ahmad is deleted in its entirety.

FRANKLIN TEMPLETON INVESTMENTS VCC

FIRST SUPPLEMENTARY PROSPECTUS

BOARD OF DIRECTORS

Signed:



Christian Bucaro
Director

Signed:



Yu Tin Lai
Director
(Signed by Christian Bucaro for and
on behalf of Yu Tin Lai)

Signed:



Quah Hui Lay Corina
Director
(Signed by Christian Bucaro for and
on behalf of Quah Hui Lay Corina)

FRANKLIN TEMPLETON INVESTMENTS VCC
*a Singapore variable capital company with the following sub-fund authorised under
Section 286 of the Securities and Futures Act 2001 of Singapore*

FRANKLIN ONCHAIN U.S. DOLLAR SHORT-TERM MONEY MARKET FUND

PROSPECTUS

MANAGER
TEMPLETON ASSET MANAGEMENT LTD

This Prospectus dated 14 January 2026 is a second replacement prospectus lodged with the Monetary Authority of Singapore (the “MAS”) pursuant to Section 298 of the Securities and Futures Act 2001 of Singapore. It replaces the prospectus that was registered by the MAS on 13 May 2025 (as replaced by the first replacement prospectus dated 17 September 2025).

FRANKLIN TEMPLETON INVESTMENTS VCC

DIRECTORY

DIRECTORS OF THE COMPANY

Christian Bucaro
Yu Tin Lai
Quah Hui Lay Corina

MANAGER

Templeton Asset Management Ltd
(Company Registration No. 199205211E)
7 Temasek Boulevard
#26-03 Suntec Tower One
Singapore 038987

DIRECTORS OF THE MANAGER

Tariq Ashfaq Ahmad
Manraj Singh Sekhon
Ong Tek Khoan
Lim Seh Kuan

CUSTODIAN

DB International Trust (Singapore) Limited
One Raffles Quay
#17-00 South Tower
Singapore 048583

LEAD COUNSEL TO THE MANAGER IN RESPECT OF THE COMPANY*

Greenberg Traurig Singapore LLP
8 Marina View, #41-03
Asia Square Tower 1
Singapore 018960

AUDITORS

PricewaterhouseCoopers LLP
7 Straits View
Marina One, East Tower, Level 12
Singapore 018936

REGISTRAR AND TRANSFER AGENT (in respect of the maintenance of register of Shareholders)

Templeton Asset Management Ltd
(Company Registration No. 199205211E)
7 Temasek Boulevard
#26-03 Suntec Tower One
Singapore 038987

FUND ADMINISTRATOR

Deutsche Bank AG, Singapore Branch
One Raffles Quay
#16-00 South Tower
Singapore 048583

*Matters of Singapore law advised by Gateway Law Corporation.

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PRELIMINARY

This Prospectus has been prepared in connection with the offer in Singapore of shares in the Sub-Fund(s) (“**Shares**”) under Franklin Templeton Investments VCC (the “**Company**”), a variable capital company incorporated in Singapore on 27 August 2024 with variable capital and limited liability.

The Directors of the Company collectively and individually accept full responsibility for the accuracy of the information given in this Prospectus and confirm after making all reasonable enquiries that, to the best of their knowledge and belief, this Prospectus constitutes full and true disclosure of all material facts about the Company and the Sub-Fund(s), and the Directors are not aware of any facts the omission of which would make any statement in this Prospectus misleading. Where information in this Prospectus has been extracted from published or otherwise publicly available sources or obtained from a named source, the sole responsibility of the Directors of the Company has been to ensure that such information has been accurately and correctly extracted from those sources and/or reproduced in this Prospectus in its proper form and context.

The collective investment scheme(s) offered in this Prospectus, the Sub-Fund(s), are authorised scheme(s) under the Securities and Futures Act 2001 of Singapore (the “**Securities and Futures Act 2001**”). A copy of this Prospectus has been lodged with and registered by the Monetary Authority of Singapore (the “**MAS**”). The MAS assumes no responsibility for the contents of this Prospectus. Registration of this Prospectus with the MAS does not imply that the Securities and Futures Act 2001, or any other legal or regulatory requirements have been complied with. The MAS has not, in any way, considered the investment merits of the Sub-Fund(s).

Shares in respect of a Sub-Fund may be evidenced by an entry in the Register in the form of a Tokenised Register to be maintained by the Registrar and Transfer Agent in respect of the relevant Sub-Fund in the form of transactional data via public blockchain networks represented by tokens on a distributed ledger plus certain Off-Chain Information (if any). As at the date of this Prospectus, the Registrar and Transfer Agent will maintain the Register in respect of the Franklin OnChain U.S. Dollar Short-Term Money Market Fund via a proprietary blockchain-integrated system that utilises features of traditional book entry form and one or more public blockchain network(s). The Company currently uses the Stellar and XRP Ledger public blockchain networks although other public blockchain networks may be made available subject to the Directors’ approval. More detailed information about the Tokenised Register can be found in paragraph 8.7 “Registrar and Transfer Agent” of this Prospectus. **Investors contemplating an investment in Shares, which may be evidenced in part by a Tokenised Register, should consider the specific risks associated with the tokenisation of the Register set out in the risk factor entitled “Risks relating to tokenisation of the Register” described under paragraph 7 “Risk Factors” of this Prospectus before deciding whether to invest in the Shares.**

In relation to the Franklin OnChain U.S. Dollar Short-Term Money Market Fund: The Franklin OnChain U.S. Dollar Short-Term Money Market Fund is a money market fund. The purchase of a Share in this Sub-Fund is not the same as placing funds on deposit with a bank or deposit-taking company. Although the Manager/Sub-Manager may seek to maintain or preserve the principal value of this Sub-Fund, there can be no assurance that this Sub-Fund will be able to meet this objective. This Sub-Fund is not a guaranteed fund, in that there is no guarantee as to the amount of capital invested or return received.

Applicants for Shares should consult their financial advisers and take legal advice as appropriate as to whether any governmental or other consents are required, or other formalities need to be observed, to enable them to acquire Shares and as to whether any taxation effects, foreign exchange restrictions or exchange control requirements are applicable.

The distribution of this Prospectus and the offering, subscription, purchase, sale or transfer of the Shares in certain jurisdictions may be restricted by law. The Company requires persons into whose possession this Prospectus comes to inform themselves about and to observe any such restrictions at their own expense and without liability to the Company. This Prospectus does not constitute an offer of, or an invitation to subscribe

for or purchase, any of the Shares in any jurisdiction in which such offer or invitation would be unlawful. Persons to whom a copy of this Prospectus has been issued shall not circulate to any other person, reproduce or otherwise distribute this Prospectus or any information herein for any purpose whatsoever nor permit or cause the same to occur.

Restriction on U.S. Persons on subscribing to the Sub-Fund(s)

Persons to whom a copy of this Prospectus has been issued shall not circulate to any other person, reproduce or otherwise distribute this Prospectus or any information herein for any purpose whatsoever nor permit or cause the same to occur. In particular, please note that the Shares have not been and will not be registered under the U.S. Securities Act of 1933, as amended (the "**U.S. Securities Act**") or any other applicable law of the United States. The Sub-Fund(s) have not been and will not be registered as an investment company under the U.S. Investment Company Act of 1940, as amended. The Shares are being offered and sold outside the United States to persons that are not "U.S. persons" (as defined in Regulation S promulgated under the U.S. Securities Act) in reliance on Regulation S promulgated under the U.S. Securities Act. The Shares are not being offered or made available to U.S. persons and nothing in this Prospectus is directed to or is intended for U.S. persons.

U.S. Foreign Account Tax Compliance Act (FATCA)

The U.S. Foreign Account Tax Compliance Act and Sections 1471 through 1474 of the U.S. Internal Revenue Code (collectively referred to as "**FATCA**") require certain "Foreign Financial Institutions" to report on assets held by U.S. persons. Failure to do so could result in the Foreign Financial Institution being subject to a withholding tax (currently at the rate of 30 per cent) on certain payments. Payments subject to withholding under these rules generally include gross U.S.-source dividend and interest income, gross proceeds from the sale of property that produces dividend or interest income paid on or after 1 January 2017 from sources within the U.S. and certain other payments made by or through "Participating Foreign Financial Institutions" to "recalcitrant account holders" and "Non-participating Financial Institutions" on or after 1 January 2017 (so called "foreign pass thru payments").

Singapore has entered into a Model 1 intergovernmental agreement with the U.S. (the "**U.S. – Singapore IGA**") which gives effect to the automatic tax information exchange requirements of FATCA. The Ministry of Finance of Singapore has also issued the Income Tax (International Tax Compliance Agreements) (United States of America) Regulations 2020 ("**Singapore FATCA Regulations**") which provides for the implementation of obligations arising under the U.S. - Singapore IGA. Pursuant to the Singapore FATCA Regulations, the Inland Revenue Authority of Singapore ("**IRAS**") has published an IRAS e-Tax Guide on the application of the U.S.-Singapore IGA. The U.S. – Singapore IGA provides that Singaporean Financial Institutions which comply with the Singapore FATCA Regulations will avoid FATCA-related withholding tax on relevant payments that they receive from the U.S.. Failure to comply with the Singapore FATCA Regulations by an entity is an offence and such entity is liable upon conviction to a fine and in certain cases the operators of such entity may be subject to a term of imprisonment.

Investors should be aware that the Company will be required to comply with the FATCA in Singapore. It includes provisions under which the Company as a Foreign Financial Institution ("**FFI**") may be required to report to the U.S. Internal Revenue Service ("**IRS**") certain information about shares held by U.S. persons for the purposes of FATCA or other foreign entities subject to FATCA and to collect additional identification information for this purpose. FFIs that do not timely agree to register with the IRS and agree to collect and disclose such information to the IRAS to comply with the FATCA regime could be subject to 30% US federal withholding tax on payments made to them, as applicable, of interest and other categories of income from sources within the U.S.

In order to comply with its FATCA obligations and avoid the abovementioned withholding consequences, the Company, the Manager and/or the Fund Administrator may be required to obtain/ maintain certain information from/ of its direct financial account holders (or the controlling person, in certain circumstances) to ascertain their U.S. tax status. If the investor is a Specified U.S. person under the provisions of FATCA, U.S. owned

non-US entity, non-participating FFI or does not provide the requisite documentation, the Company will need to report information on these investors to the IRAS, in accordance with applicable laws and regulations, which will in turn report this to the IRS, so as to ensure that there is no undisclosed indirect U.S. ownership of the Company. Any such information provided to the Company will be shared as necessary or desirable, in the judgment of the Directors, to comply with the Company's obligations pursuant to the U.S. - Singapore IGA. If any event causes the Company to be unable to comply with its US FATCA obligations and be subjected to the 30% US FATCA withholding tax on certain payments made to it, the Company and the Shareholders may be adversely affected which may include a compulsory redemption of the Shareholders' holdings and / or 30% US FATCA withholding.

If any event causes the Company to be unable to comply with its FATCA obligations and be subjected to the 30% US federal withholding tax on certain payments made to it, the Company and the Shareholders may be adversely affected which may include a compulsory redemption of the Shareholders' holdings and / or 30% US federal withholding tax.

Organisation for Economic Co-Operation and Development (OECD) - Common Reporting Standard (CRS)

In addition, the Standard for Automatic Exchange of Financial Account Information in Tax Matters, also known as the Common Reporting Standard ("**CRS**") is a regime developed by the Organisation for Economic Co-operation and Development ("**OECD**") to facilitate and standardise exchange of information on residents' assets and income, primarily for taxation purposes between numerous jurisdictions around the world.

Jurisdictions committed to the CRS (each a "**Participating Jurisdiction**") will either be a signatory to the Multilateral Competent Authority Agreement ("**MCAA**") or will sign Bilateral Competent Authority Agreements with certain other Participating Jurisdictions, which are the legal basis for jurisdictions to exchange information.

In adopting CRS, Singapore has issued the Income Tax (International Tax Compliance Agreements) (Common Reporting Standard) Regulations 2016 ("**Singapore CRS Regulations**"), requiring financial institutions such as the Company to conduct due diligence (including the collection, review and retention of financial account information) and report the prescribed account information relating to specific persons from jurisdictions with which Singapore has a "competent authority agreement" ("**CAA**") to the IRAS. Such information may subsequently be exchanged with Singapore's CAA partners. Singapore may enter into further IGAs, or the relevant authorities may enact further legislation or impose further requirements, which will form part of the CRS.

Given the above, the Company, the Manager and/or Fund Administrator will be required to collect requisite information from/ of the Company's investors and their beneficial owners (in certain circumstances) and may be required to disclose this information and certain information relating to the investor's investment in the Company to the IRAS. The IRAS will exchange the relevant information in accordance with the Singapore CRS Regulations with Singapore's CAA partners in accordance with the Singapore CRS Regulations authorities annually on an automatic basis.

Each investor will be required to provide the Company, the Manager and/or Fund Administrator with information and/ or documentation necessary for the Company to comply with its FATCA and CRS (as defined below) reporting requirements. Failure of the investor to provide the requested information and/ or documentation could have adverse effects on the Company and the investors. There may also be penalties to the Company under the local Singapore tax law.

By investing (or continuing to invest) in the Company, investors (which reference, for the purpose of this Part, shall also include prospective investors of the Company or a Sub-Fund) shall be deemed to acknowledge the following in relation to FATCA and CRS:

- (a) the Company (or any person authorised by it such as the Manager or agent or distributor) may be required to disclose to the IRAS certain confidential information in relation to the investor and its

beneficial owners (in certain circumstances), including but not limited to the investor's name, address, tax identification number (if any) and certain information relating to the investor's investment;

- (b) the Company, Manager or agent or distributor may require the investor to provide additional information and/ or documentation which may be required to disclose to the IRAS;
- (c) the IRAS may be required to automatically exchange such information received as outlined above with the US IRS or Singapore's CAA partners in accordance with the Singapore FATCA and CRS Regulations;
- (d) the Company, the Manager, or agent or distributor may be required to disclose to the IRAS and/ or the US IRS certain confidential information when registering with such authorities and if such authorities contact it with further enquiries;
- (e) the Company's compliance with the Singapore FATCA and CRS Regulations may result in the disclosure of the investor's information and such information may be exchanged with overseas fiscal authorities;
- (f) in the event an investor does not provide the requested information and/or documentation, whether or not that actually leads to compliance failures by the Company, or a risk of the Company or its investors being subject to penalties under the relevant CRS Regulations, the Company reserves the right to take any action and/or pursue all remedies at its disposal including, without limitation, compulsory redemption or withdrawal of the investor concerned;
- (g) the Company and the Manager may each take such action and/or pursue all remedies at its disposal (including, without limitation, rejection of any application for Participating Shares, compulsory redemption of Participating Shares, or withholding of redemption proceeds) as they consider necessary to secure payment of withholding tax by the Company or should such Investor refuse to provide the requisite information regarding its tax status, identity, tax residency or other information. Any related tax, costs, interest, penalties and other losses and liabilities suffered by the Company and Directors or any Investor or any agent, delegate, employee, director, officer, manager, member or affiliate of any Investor pursuant to CRS and/or FATCA, arising from such Investor's failure to provide the requested information to the Company (whether or not such failure actually leads to compliance failures by the Company and Directors, or a risk of the Company and Directors or the Investors being subject to withholding tax) shall be economically borne by such Investor; and
- (h) no investor affected by any such action or remedy shall have any claim against the Company and Directors for any form of damages or liability as a result of actions taken or remedies pursued by or on behalf of the Company in order to comply with any of the IGA, Singapore FATCA Regulations, Singapore CRS Regulations or any relevant legislation.

Investors should not expect all or any part of the information so provided to be treated as confidential. Investors should consult their own tax advisors regarding the possible implications of FATCA and CRS on their investments in the Company. **THE ABOVE IS ONLY A BRIEF AND GENERAL SUMMARY OF VARIOUS LEGAL AND REGULATORY CONSIDERATIONS AND CONSEQUENCES IN SINGAPORE. THE LEGAL AND REGULATORY PROVISIONS SUMMARISED ABOVE MAY UNDERGO CHANGES FROM THE DATE OF THIS PROSPECTUS. INVESTORS AND SHAREHOLDERS ARE URGED TO CONSULT THEIR OWN ADVISORS IN THIS REGARD.**

Data Protection

For the purposes of, and subject to the provisions in, the Personal Data Protection Act 2012 of Singapore ("PDPA") and its regulations, each investor consents and acknowledges that all personal data of the investor (the "**Personal Data**") contained in the application form, including any and all further personal data collected in the course of the business relationship with the Company may be (subject to applicable local laws and

regulations) collected, recorded, stored, adapted, transferred or otherwise processed and used ("**processed**") by the Company, the Sub-Fund(s), the Manager, and other companies of Franklin Templeton, including Franklin Resources, Inc. and/or its subsidiaries and associates or any delegate, agent or distributor appointed by the Company and/or the Manager, including but not limited to the Custodian, the Fund Administrator, custodian, sub-custodian, registrar and transfer agent) and any other third parties (including but not limited to printing and mailing services) which provide services to them, any of which may be established outside Singapore, including the US and India.

Such Personal Data shall be processed for the purposes of account administration, development of business relationships, anti-money laundering and counter-terrorist financing identification, tax identification, where appropriate, for the purpose of compliance with FATCA or similar laws and regulations (e.g. on OECD level). The Company for the purpose of FATCA or other legal compliance, may be required to disclose Personal Data relating to US Persons and/or non-participant FFI (foreign financial institution) to the relevant Singapore tax authorities which may transfer them to the Internal Revenue Service in the US. The Company and members of the Franklin Templeton group may also use Personal Data for other purposes set forth in the Franklin Templeton Privacy and Cookies Notice (the "**Privacy Notice**").

The Company asks for investors to consent to the use of information on their political opinions, religious or philosophical beliefs which may be revealed by compliance checks against politically exposed persons, for the above purposes. This consent is recorded in the App, the Benji Institutional Web Portal or a specific application form.

The Privacy Notice provides, among others, further information on the Company's and Franklin Templeton's use of Personal Data, the types of Personal Data processed, the other purposes for which Personal Data is processed, the list of entities involved in the processing of Personal Data as well as the rights of the data subjects. The Privacy Notice is available on the Internet site: www.franklintempletonglobal.com/privacy (a paper copy will be made available free of charge upon request). If an investor wishes to exercise its individual rights, or to raise any question, concern, withdrawal of consent or complaint concerning the Privacy Notice, they may contact the Company or alternatively, the Data Protection Officer (Email address: DataProtectionOfficer@franklintempleton.com) at Templeton Asset Management Ltd. (7 Temasek Boulevard, #26-03 Suntec Tower One, Singapore 038987).

Investors' attention is drawn to the fact that the Privacy Notice is subject to change at the sole discretion of the Company. All enquiries in relation to the Sub-Fund(s) should be directed to the Company.

DEFINITIONS

In this Prospectus, unless the context requires otherwise, the following expressions have the meanings set out below.

“ACRA” means the Accounting and Corporate Regulatory Authority of Singapore.

“App” means Benji by Franklin Templeton, a mobile application available through the Apple App Store and Google Play.

“Benji Institutional Web Portal” means a Web Portal to access Benji by Franklin Templeton.

“Business Day”, in respect of a Sub-Fund, means any day (other than a Saturday, Sunday or a gazetted public holiday) on which the New York Stock Exchange and banks in Singapore and the United States are open for normal business, or such other day or days as the Directors may determine from time to time.

“Cancellation Period” means the period of seven calendar days from the date of subscription of Shares or such longer period as may be determined by the Directors or such other period as may be prescribed by the MAS.

“Class” means a class of Shares and/or sub-class of a class of Shares issued by the Company or by the Company in respect of a Sub-Fund, as the case may be.

“Code” means the Code on Collective Investment Schemes issued by the MAS pursuant to Section 321 of the Securities and Futures Act 2001, as the same may be modified, amended, supplemented, revised or replaced from time to time.

“Code Guidelines” means the investment and borrowing guidelines as set out in Appendix 1 of the Code and the applicable appendices under the Code, as the same may be modified, amended, supplemented, revised or replaced from time to time.

“Connected Person” has the meaning ascribed to it under the Securities and Futures Act 2001, and in relation to any firm, limited liability partnership, corporation or company (as the case may be) means:

- (a) another firm, limited liability partnership or corporation in which the first mentioned firm, limited liability partnership or corporation has control of not less than 20 per cent of the voting power in that other firm, limited liability partnership or corporation; or
- (b) a director, chief executive officer or substantial shareholder or controlling shareholder of the company or any of its subsidiaries or an associate of any of them.

“Constitution” means the constitution of the Company filed with the Accounting and Corporate Regulatory Authority of Singapore, as amended or restated from time to time.

“Custodian” means DB International Trust (Singapore) Limited or its successors.

“Dealing Day” means each Business Day during the continuance of the relevant Sub-Fund, and/or such other day or days as the Directors may from time to time determine either generally or for a particular Class or Classes of Shares.

“Dealing Deadline” means such time of day (being a time of day on or, subject as hereinafter mentioned, prior to that Dealing Day) in that place as the Directors may from time to time determine.

“Directors” means the directors of the Company for the time being or the directors of the Company present at a meeting of directors at which a quorum is present and includes any committee of the Directors duly

constituted for the purposes relevant in the context in which any reference to the Directors appears or the members of such committee present at a meeting of such committee at which a quorum is present, and “Director” shall be construed accordingly.

“Duties and Charges” means, in relation to any particular transaction or dealing, all stamp and other duties, taxes, government charges, brokerage fees, bank charges, transfer fees, registration fees, transaction levies and other duties and charges whether in connection with the constitution of the Sub-Fund Assets or the increase or decrease of the Sub-Fund Assets or the creation, issue, transfer, cancellation or redemption of Shares or the acquisition or disposal of Securities, or otherwise which may have become or may be payable in respect of, and whether prior to, upon or after the occasion of, any transaction or dealing and including but not limited to, in relation to an issue of Shares or redemption of Shares, a charge (if any) of such amount or at such rate as determined by the Manager to be made for the purpose of (i) compensating or reimbursing the Company and/or the Sub-Fund(s) for the difference between (a) the prices used when valuing the Securities of the Sub-Fund Assets for the purpose of such issue or redemption of Shares and (b) (in the case of an issue of Shares) the prices which would be used when acquiring the same Securities if they were acquired by the Company and/or the Sub-Fund(s) with the amount of cash received by the Company and/or the Sub-Fund(s) upon such issue of Shares and (in the case of a redemption of Shares) the prices which would be used when selling the same Securities if they were sold by the Company and/or the Sub-Fund(s) in order to realise the amount of cash required to be paid out of the Sub-Fund Assets upon such redemption of Shares and (ii) preventing the Net Asset Value of the Company and/or the Sub-Fund(s) from being diluted by the high transactional costs which would be incurred by the Company and/or the Sub-Fund(s) in connection with a large or significant subscription application or redemption application.

“Excluded Investment Product” means any capital markets product that belongs to a class of capital markets products listed in the Schedule to the Securities and Futures (Capital Markets Products) Regulations 2018.

“IRAS” means the Inland Revenue Authority of Singapore.

“Issue Price” means in respect of each Sub-Fund (or Class), the price at which Shares in that Sub-Fund (or Class) may be issued and/or determined in accordance with the Constitution.

“Management Agreement” means the management services agreement between the Company for itself and each Sub-Fund and the Manager by which the Manager is appointed, as amended or restated from time to time.

“Management Shares” means the management shares in the capital of the Company issued subject to and in accordance with the Variable Capital Companies Act and the Constitution and having the rights and subject to the restrictions provided for in the Constitution.

“Manager” means Templeton Asset Management Ltd or such other person or persons for the time being duly appointed as manager or managers of the Company in succession thereto.

“Market” means in relation to any Security, any stock exchange from time to time determined by the Manager and any over-the-counter transaction conducted in any part of the world and in relation to any Security shall be deemed to include any bilateral agreement with a responsible firm, corporation or association in any country in any part of the world dealing in the Security which the Manager may from time to time elect.

“MAS” means the Monetary Authority of Singapore or its successors.

“Member” means a registered holder of shares in the Company or a registered holder of Shares in the Company in respect of a particular Sub-Fund, as the case may be.

“Net Asset Value” means the net asset value of a Sub-Fund or, as the context may require, the net asset value of a Share of a Sub-Fund (or Class thereof) calculated pursuant to the Constitution.

“Ordinary Resolution” means an ordinary resolution of the Company in general meeting passed in accordance with the Constitution and the Variable Capital Companies Act (and includes any resolution in writing signed in accordance with the Constitution).

“Participating Shares” means the participating shares in the capital of the Company or in respect of a particular Sub-Fund issued subject to and in accordance with the Variable Capital Companies Act and the Constitution and having the rights and subject to the restrictions provided for in the Constitution. For the avoidance of doubt, if the Company has constituted two or more Sub-Funds, the Participating Shares of each Sub-Fund participate only in the assets and liabilities of that particular Sub-Fund as a collective investment scheme segregated from other Sub-Fund or Sub-Funds.

“Payment Deadline” means such time of day (being a time of day on or, subject as hereinafter mentioned, after the applicable Dealing Day) in that place as the Directors may from time to time determine.

“Permissible Investment” means such investment as may be permitted to be made by a Sub-Fund under the Code, (where applicable) the CPF Investment Guidelines and (for so long as Shares of a Sub-Fund are Excluded Investment Products and Prescribed Capital Markets Products) the Securities and Futures (Capital Markets Products) Regulations 2018, or as may be permitted to invest in, by the MAS.

“Prescribed Capital Markets Product” means any capital markets product that belongs to a class of capital markets products listed in the Schedule to the Securities and Futures (Capital Markets Products) Regulations 2018.

“Redemption Price” means, in respect of each Sub-Fund (or Class), the price at which Shares in that Sub-Fund (or Class) may be redeemed, as determined in accordance with the Constitution.

“Register” means the register of Shareholders of the Company kept in accordance with Section 81 of the Variable Capital Companies Act.

“Registrar and Transfer Agent” means Templeton Asset Management Ltd. or such person as may from time to time be appointed by the Company (and acceptable to the Manager) as registrar and transfer agent in respect of each Sub-Fund to, inter alia, maintain the Register on behalf of the Sub-Fund.

“Securities and Futures Act 2001” or “SFA” means the Securities and Futures Act 2001 of Singapore, as the same may be modified, amended, supplemented, revised or replaced from time to time.

“Securities and Futures (Capital Markets Products) Regulations 2018” means the Securities and Futures (Capital Markets Products) Regulations 2018 of Singapore issued by the MAS (as may be modified, amended, supplemented, revised or replaced from time to time).

“Security” means any shares, stocks, debentures, loan stocks, bonds, securities, commercial paper, acceptances, trade bills, warrants, participation notes, certificates, structured products, treasury bills, instruments or notes of, or issued by or under the guarantee of, any body, whether incorporated or unincorporated, and whether listed or unlisted, or of any government or local government authority or supranational body, whether paying interest or dividends or not and whether fully-paid, partly paid or nil paid and includes (without prejudice to the generality of the foregoing):-

- (a) any right, option or interest (howsoever described) in or in respect of any of the foregoing, including units in any Unit Trust;
- (b) any certificate of interest or participation in, or temporary or interim certificate for, receipt for or warrant to subscribe or purchase, any of the foregoing;
- (c) any instrument commonly known or recognised as a security;

- (d) any receipt or other certificate or document evidencing the deposit of a sum of money, or any rights or interests arising under any such receipt, certificate or document; and
- (e) any bill of exchange and any promissory note,

provided that each of such security falling within paragraphs (a) to (e) of this definition shall be a Permissible Investment.

“Share” means the shares in the capital of the Company issued by the Company in respect of a particular Sub-Fund (and includes shares evidenced by entries on a Tokenised Register), and may be divided into more than one Class of the same.

“Shareholder” means the person for the time being entered on the Register as the holder of a Share or Shares including, where the context so admits, persons jointly so registered.

“Singapore dollar”, “SGD” or “S\$” means the lawful currency for the time being and from time to time of Singapore.

“Special Resolution” means either: (1) in relation to a Special Resolution of the Company, a special resolution of the Company in general meeting passed in accordance with the Constitution and the Variable Capital Companies Act (and includes any resolution in writing signed in accordance with the Constitution) or (2) in relation to a Special Resolution of a Sub-Fund, (i) a resolution in writing (which may consist of several documents in like form, each signed by one or more Members) signed by one or more Members holding Shares issued in respect of that Sub-Fund that represent at least 75% of the total voting rights of all the Members holding Shares issued in respect of the relevant Sub-Fund (and includes approval by any form of electronic communication and any signature to any such resolution may be written or printed or in the electronic form which includes electronic and/or digital signatures); or (ii) a resolution passed at a separate general meeting of the Sub-Fund by a majority of 75% of the votes cast at such a general meeting (and the provisions of the Constitution relating to general meetings apply with the necessary modifications to every separate general meeting of the Members holding Shares issued in respect of the Sub-Fund), except that: (x) the necessary quorum is at least 1 person; and (y) any Member holding Shares issued in respect of the Sub-Fund with voting rights present in person or by proxy or by attorney or other duly authorised representative may demand a poll; or (iii) or in respect of a special resolution relating to the liquidation of a Sub-Fund only, a resolution in writing (which may consist of several documents in like form, each signed by one or more Members) signed by, or a resolution passed at a separate general meeting of the Sub-Fund by, one or more Members holding Shares issued in respect of that Sub-Fund that represent at least 75% of the total voting rights of all the Members holding Shares issued in respect of the relevant Sub-Fund (and includes approval by any form of electronic communication and any signature to any such resolution may be written or printed or in the electronic form which includes electronic and/or digital signatures and the provisions of the Constitution relating to general meetings apply with the necessary modifications to every separate general meeting of the Members holding Shares issued in respect of the Sub-Fund), except that: (x) the necessary quorum is at least 1 person; and (y) any Member holding Shares issued in respect of the Sub-Fund with voting rights present in person or by proxy or by attorney or other duly authorised representative may demand a poll.

“Specified Investment Product” means any capital markets product other than an Excluded Investment Product.

“Sub-Fund Asset” means an asset of the Company in respect of or attributed to or allocated or held by the Company for the purpose of a Sub-Fund and “Sub-Fund Assets” shall be construed accordingly.

“Sub-Fund Liability” means a liability of the Company in respect of or attributed to or allocated or incurred by the Company for the purpose of a Sub-Fund and “Sub-Fund Liabilities” shall be construed accordingly.

“Sub-Manager” means Franklin Advisers, Inc. or such other person or persons for the time being duly appointed as sub-manager or sub-managers of the Manager in respect of the Franklin OnChain U.S. Dollar Short-Term Money Market Fund in succession thereto.

“Tokenised Register” has the meaning set out in paragraph 8.7 “Registrar and Transfer Agent” of this Prospectus.

“Unauthorised U.S. Person” means (i) a U.S. person within the meaning of Rule 902 of the United States Securities Act of 1933, as amended, (ii) a U.S. resident within the meaning of the United States Investment Company Act of 1940, as amended, or (iii) any person that would not qualify as a Non-United States person within the meaning of the United States Commodity Futures Trading Commission Rule 4.7(a)(1)(iv).

“Unit Trust” means any arrangement whose units are not quoted, made for the purpose, or having the effect, of providing facilities for the participation by persons, as beneficiaries under a trust, in profits or income arising from the acquisition, holding, management or disposal of Securities or any other property whatsoever or in respect of any such arrangement which offers more than one class of units to participating persons (each representing a separate portfolio acquiring, holding, managing or disposing as aforesaid) means each such class of units.

“United States” or “US” means the United States of America (including the states and District of Columbia) and any of its territories, possessions and other areas subject to its jurisdiction.

“US dollar” or “US\$” or “USD” means the lawful currency for the time being and from time to time of the US.

“U.S. Person” means a US citizen or resident individual, a partnership or corporation organised in the US or under the laws of the US or any State thereof, a trust if (i) a court within the US would have authority under applicable law to render orders or judgements concerning substantially all issues regarding administration of the trust, and (ii) one or more U.S. persons have the authority to control all substantial decisions of the trust, or an estate of a decedent that is a citizen or resident of the US.

“Valuation Day” means each Business Day on which the Net Asset Value of a Sub-Fund and/or the Net Asset Value of a Share falls to be calculated and in relation to each Dealing Day of any Class or Classes of Shares means either such Dealing Day or such Business Day as the Directors may from time to time determine in their absolute discretion provided that not less than one calendar month’s prior notice shall have been given to the Shareholders of the relevant Class or Classes of Shares before any such change shall become effective.

“Valuation Point” in respect of each Sub-Fund, means the official close of trading on the Market on which the Securities are listed on each Valuation Day or if more than one such Market, the official close of trading on the last relevant Market to close or such other time or times as determined by the Directors who shall determine if the Shareholders should be informed of such change provided that there shall always be a Valuation Point on each Valuation Day other than where there is a suspension of the subscription and redemption of Shares.

“Value” means, except where otherwise expressly stated, the value of any Security, or of the Sub-Fund Assets, in each case determined in accordance with the Constitution.

“Variable Capital Companies Act” means the Variable Capital Companies Act 2018 of Singapore, as the same may be modified, amended, supplemented, revised or replaced from time to time.

1. FRANKLIN TEMPLETON INVESTMENTS VCC

The Company is an umbrella variable capital company incorporated in Singapore on 27 August 2024 under the Variable Capital Companies Act, with the unique entity number T24VC0111E and with its registered address at 7 Temasek Boulevard, #26-03 Suntec Tower One, Singapore 038987. The Company will consist of 1 or more Sub-Funds. The Company currently has 1 Sub-Fund established under it. A copy of the Constitution is available for inspection by Shareholders and potential investors at the registered offices of the Company and the Manager during usual business hours. The assets of a Sub-Fund will be invested and administered separately from the other assets of the Company. All assets and liabilities attributable to each Sub-Fund shall be segregated from the assets and liabilities of any other Sub-Fund(s), and shall not be used for the purpose of, or borne by the assets of, any other Sub-Fund. The Company will establish a separate account for each Sub-Fund and each Class of Shares comprised in each Sub-Fund.

The Company will issue two different types of shares: Management Shares and Participating Shares. The Management Shares will be issued in respect of the Company and each Sub-Fund while the Participating Shares will be issued in respect of each Sub-Fund. It is intended that Management Shares will be issued to Franklin Templeton Capital Holdings Private Limited.

A Management Share shall carry the following rights:

- (1) notice, attendance and voting rights: the holder of a Management Share shall (in respect of such share) have the right to receive notice of, attend at and vote as a Member at, any general meeting of the Company (including the right to vote on a scheme of arrangement, merger, reconstruction, amalgamation or winding up), with each Management Share comprising one vote;
- (2) right to financial statements: the holder of a Management Share shall have the right, in accordance with the Variable Capital Companies Act, to receive a copy of the financial statements (or consolidated financial statements and balance sheet, as the case may be) of the Company in its capacity as a person entitled to receive notice of general meetings;
- (3) redemption and repurchase rights: Management Shares are redeemable and repurchasable at the option of the Company in accordance with the Constitution and are not redeemable at the option of the holders of such Management Shares in accordance with the Constitution and as set out in this Prospectus, save that no Management Shares may be redeemed or repurchased if there shall be less than one Management Share in issue after such redemption and repurchase;
- (4) economic participation: Management Shares shall not be entitled to any share of the profits of the Company or any proceeds of realisation of the assets of the Company. A holder of Management Shares will only be entitled to the return of capital paid up on the Management Shares on the liquidation of the Company in accordance with the order of priority set out in the Constitution and may not be redeemed or repurchased for an amount greater than the capital paid up on the Management Shares; and
- (5) such other rights in accordance with the Constitution and as set out in this Prospectus. For the avoidance of doubt, where the Company comprises two or more Sub-Funds, the Management Shares carry the rights and restrictions described in sub-paragraphs (1) to (4) above for each of the Sub-Funds.

Participating Shares shall carry the following rights:

- (1) voting rights: the holder of a Participating Share shall (in respect of such share) not have the right to vote as a Member at any general meeting of the Company (including any vote on a scheme of arrangement, merger, reconstruction or amalgamation) except for any of the following matters, with each Participating Share comprising one vote to:

- (a) sanction any alteration to the investment objective of a Sub-Fund (in which case only each Participating Share issued in respect of such Sub-Fund shall comprise one vote);
 - (b) sanction any increase in the Subscription Fee beyond the permitted limit;
 - (c) sanction any increase in the Redemption Fee beyond the permitted limit;
 - (d) sanction the variation of share rights of a particular Class of Shares;
 - (e) sanction the removal of the Manager;
 - (f) sanction the appointment of another corporation to act as the manager of the Company;
 - (g) sanction any alteration or amendment to the Constitution;
 - (h) sanction any increase in the Management Fee percentage beyond the permitted limit;
 - (i) wind up the Company or a Sub-Fund (in which case only each Participating Share issued in respect of such Sub-Fund shall comprise one vote); and
 - (j) sanction such other matters as may be proposed by the Board to be approved by holders of Participating Shares in relation to a Sub-Fund (in which case only each Participating Share issued in respect of such Sub-Fund shall comprise one vote);
- (2) notice, attendance and requisition rights: the holder of a Participating Share shall (in respect of such share) have the right to receive notice of, attend and speak at any general meeting of the Company, and shall have the right to convene a general meeting on requisition in accordance with the Constitution and the Variable Capital Companies Act;
 - (3) right to financial statements: the holder of a Participating Share shall have the right, in accordance with the Variable Capital Companies Act and the Code, to receive a copy of the financial statements (or consolidated financial statements and balance sheet, as the case may be) of the Company in its capacity as a person entitled to receive notice of general meetings;
 - (4) redemption and repurchase rights: Participating Shares are redeemable and repurchasable at the option of the Company in accordance with the Constitution and Participating Shares shall be redeemable at the option of the holders of such Participating Shares in accordance with the Constitution and, in each case, as set out in this Prospectus;
 - (5) economic participation: the holders of Participating Shares may receive dividends in accordance with the Constitution and the distributable proceeds, income and profits earned by the Company from holding or disposal of investments and any surplus assets available for distribution to the holders of Participating Shares in the event of liquidation shall be divided among the Shareholders in accordance with the order of priority set out in the Constitution; and
 - (6) such other rights in accordance with the Constitution and as set out in this Prospectus. For the avoidance of doubt, where the Company comprises two or more Sub-Funds, each Sub-Fund shall issue Participating Shares that participate in the Sub-Fund Asset and Sub-Fund Liability of such Sub-Fund only, and the Participating Shares carry the rights described in sub-paragraphs (1) to (5) above for that Sub-Fund only.

2. REGISTRATION AND EXPIRY DATE

This Prospectus dated 14 January 2026 is a second replacement prospectus lodged with the MAS pursuant to Section 298 of the SFA. It replaces the prospectus that was registered by the MAS on 13 May 2025 (as replaced by the first replacement prospectus dated 17 September 2025). This Prospectus shall be valid for a period of 12 months after the date of registration and shall expire on 13 May 2026.

3. INVESTMENT OBJECTIVE

The investment objective of the Company is to invest, subject to the Code, in a wide range of instruments including, but not limited to, shares or securities equivalent to shares, bonds or other securitised debt instruments, money market instruments, eligible deposits, units in other schemes and financial derivatives. The Company may retain amounts in cash or cash equivalents (including money market funds) pending reinvestment, for use as collateral or as otherwise considered appropriate to the investment objective.

The investment objective of each Sub-Fund is stated in the relevant Appendix relating to such Sub-Fund.

4. INVESTMENT POLICY OF THE SUB-FUND(S)

4.1 Investment Approach

The investment approach of each Sub-Fund is stated in the relevant Appendix relating to such Sub-Fund.

5. CLASSES OF SHARES IN RESPECT OF THE SUB-FUNDS

The Classes of Shares may have different characteristics such as currency of denomination, fees and charges, minimum subscription and redemption amounts and/or minimum holding amounts, mode of subscription, distribution policy and/or eligibility requirements. Please refer to the relevant Appendix for information on the different characteristics of each Class of Shares of the relevant Sub-Fund.

Any new Class will be offered during such initial offer period (if any) at such initial offer price (if any) as determined by the Directors at their discretion.

6. INVESTMENT RESTRICTIONS AND BORROWING POLICY

Each Sub-Fund is subject to the investment guidelines, restrictions and borrowing limits set out in the Code, which guidelines, restrictions and borrowing limits may be modified, amended or revised from time to time by the MAS. For so long as the Shares are Excluded Investment Products and Prescribed Capital Markets Products, the Sub-Fund will not invest in any product or engage in any transaction which may cause the Shares not to be regarded as Excluded Investment Products and Prescribed Capital Markets Products (unless otherwise permitted by the MAS).

Subject to the Code and to the provisions of the Constitution, the Manager may at any time make and vary arrangements for the borrowing (including entering into overdraft facilities) by the Company for the account of any Sub-Fund of any currency for the purpose of meeting redemptions and bridging requirements or such other purposes as permitted by the Code.

The Manager may from time to time formulate such other investment and borrowing restrictions to apply to each Sub-Fund, as it may in its sole discretion think fit, subject to the investment guidelines, restrictions and borrowing limits set out in the Code.

To the extent that Shares of a Sub-Fund are classified as Excluded Investment Products and Prescribed Capital Markets Products, the Manager may engage in securities lending or repurchase transactions for the Sub-Fund, where such securities lending or repurchase transactions are carried out solely for the purpose of efficient portfolio management and do not amount to more than 50% of the Net Asset Value of the Sub-Fund, and is in line with the Securities and Futures (Capital Markets Products) Regulations 2018. Any securities lending or repurchase transactions which the Manager may engage in will be in accordance with Appendix 1 of the Code and (in respect of the Franklin OnChain U.S. Dollar Short-Term Money Market Fund) Appendix 2 of the Code.

The Manager currently does not expect conflicts of interest to arise in relation to such securities lending or repurchase transactions. However, should any potential conflicts of interest arise, such conflicts of interests will be managed in accordance with paragraph 22 “Conflicts of Interest” of this Prospectus.

As at the registration date of this Prospectus, the Manager does not intend to lend the securities of any Sub-Fund to its related corporations.

Direct and indirect operational costs and fees arising from securities lending transactions and/or repurchase agreement transactions may be deducted from the revenue delivered to the relevant Sub-Fund. These costs and fees shall not include hidden revenue. All the revenues arising from such transactions, net of direct and indirect operational costs, will be returned to the relevant Sub-Fund, and the Manager will not take any fees or costs out of those revenues additional to the Management Fee for the relevant Sub-Fund

7. RISK FACTORS

The Sub-Fund(s) are subject to the following principal risks. The market price of Shares and the Net Asset Value per Share may fall or rise. There can be no assurance that you will achieve a return on your investments in the Shares or a return on capital invested. Some or all of the following risks may adversely affect the Sub-Fund’s Net Asset Value, yield, total return and/or its ability to achieve its investment objective. Investors should note the following risk factors associated with investing in the Sub-Fund(s). The following statements (or the statements in the relevant Appendix) are intended to be summaries of some of those risks. They are by no means exhaustive and they do not offer advice on the suitability of investing in the Sub-Fund(s). Investors should carefully consider the risk factors described below together with all of the other information included in this Prospectus before deciding whether to invest in Shares of the Sub-Fund(s). You should be aware that an investment in the Sub-Fund(s) may be exposed to other risks of an exceptional nature from time to time. Investors should also be aware that there can be no guarantee against loss resulting from an investment in any Sub-Fund, nor can there be any assurance that the investment objectives of any Sub-Fund will be attained. No guarantee is or will be made in relation to the performance or any future return of any Sub-Fund.

7.1 Risks relating to tokenisation of the Register

Shares in respect of a Sub-Fund may be evidenced by an entry in the Register in the form of a Tokenised Register to be maintained by the Registrar and Transfer Agent in respect of the relevant Sub-Fund in the form of transactional data via public blockchain networks represented by tokens on a distributed ledger plus certain Off-Chain Information (if any). The Directors may determine in their sole and absolute discretion that the Tokenised Register is the authoritative version of the Register. Furthermore, even where the Register is not maintained in the form of a Tokenised Register, the Directors may determine in their sole and absolute discretion to maintain an authoritative version of the Register in traditional form, which will be updated by tracking updates from a non-authoritative version of the Register maintained in the form of a Tokenised Register. In such cases, the risks below may be relevant.

On account of the risks set out below, the Company may never achieve market acceptance and may not be able to attract sizable assets or achieve scale. Under these circumstances, the Directors may take actions including, potentially, restructuring or liquidating the Sub-Fund(s) and/or the Company.

Risks relating to the distributed ledger

Investors should be aware that the distributed ledger technology is still new, widely untested and subject to known and unknown risks including, but not limited to, the following risks. The issuance, transfer and/or redemption of Shares are recorded solely on the ledger. Anyone with the ability to operate a node on the ledger may directly access and read the ledger. Where the Tokenised Register is kept in a permissioned environment, investors, as inscribed on the ledger, are depending on persons permissioned to operate and access the ledger to view, access or read the state of the ledger. Investors therefore may not have a mode of verifying or viewing their holdings of Shares and would be dependent on a node operator of the ledger to grant such access. It is currently intended that Shareholders will be able to view their holdings of Shares through the App or the Benji Institutional Web Portal as well as via “block explorer” tools.

Risks relating to the use of distributed ledger technology

The Tokenised Register will be maintained via public blockchain networks. The Company currently uses the Stellar and XRP Ledger public blockchain networks although other public blockchain networks may be used by the Company in the future. Similar to traditional fund recordkeeping systems, the Register is under the full and complete control of the Registrar and Transfer Agent. The Registrar and Transfer Agent maintains controls to correct errors or unauthorised transactions on any blockchain utilised by its proprietary blockchain-integrated system. In the event such a correction was warranted, the Registrar and Transfer Agent would make the correction by adding an appropriate instruction to another subsequent block on the applicable blockchain (i.e., the prior activity on the blockchain would not be deleted, although the blockchain would be appended with the correct transactional history).

The distributed ledger itself and/or any of the relevant nodes may also be subject to security failures, security breaches and/or become the target of malicious attacks seeking to identify and exploit weaknesses which may affect the Tokenised Register. In particular, the Tokenised Register is subject to cybersecurity risks including hacking vulnerabilities and a risk that publicly distributed ledgers may not be immutable. System and process safeguards may be breached due to the actions of outside parties, error or malfeasance of an employee of the Registrar and Transfer Agent, a Shareholder, or otherwise, and, as a result, an unauthorised party may obtain access to the Tokenised Register. As the techniques used to obtain unauthorised access, disable or degrade service, or sabotage systems change frequently, or may be designed to remain dormant until a predetermined event and often are not recognised until launched against a target, it may not be possible to anticipate these techniques or implement adequate preventative measures. The safety of the relevant security measures could be affected by a number of factors, including (but not limited to):

- (A) existing or new technological threats;
- (B) undetected errors, software flaws or vulnerabilities;
- (C) security breaches arising from cyber-attacks, computer malware, computer hacking or sabotage; and
- (D) fraud, wilful default or negligence or other failures on the part of a service provider.

To the extent that the Sub-Fund, the Registrar and Transfer Agent, or Shareholder are unable to identify and mitigate or stop new security threats, the Tokenised Register may be subject to destruction or other attack which may affect its functionality and utility and hence the Shares. To mitigate the aforementioned security risks associated with the use of distributed ledger technology, the Company

has implemented a comprehensive suite of security measures designed to ensure the security and integrity of the Tokenised Register, including but not limited to, employing fraud monitoring and detection systems to pre-emptively identify and mitigate potential security threats and utilising data encryption, multi-factor authentication alongside other robust security protocols to control access. The Company also implements detailed incident response plans and secure coding practices, alongside regular vulnerability assessments, to promptly and effectively address any security incidents should they arise.

Dependency on third party providers

Third party infrastructure providers, such as providers of cloud services, the internet or access applications, may be relied on to access the distributed ledger. Should such third party providers fail to provide the respective services temporarily or permanently, the Tokenised Register may not be accessible for a period of time or permanently. The permanent unavailability of third party service providers, which provide cloud services or access applications, may lead to data and records stored on the Tokenised Register being lost, compromised or corrupted. The Registrar and Transfer Agent may keep a record of the information maintained on the Tokenised Register in order to recover information from any compromised nodes, the obsolescence of distributed ledger technology, unavailability of service providers, hacking or otherwise. However, the Company and the Registrar and Transfer Agent cannot guarantee that all or part of the information required to reflect the Tokenised Register from such records can be recovered correctly or at all. In addition, the records maintained by the Registrar and Transfer Agent may also be subject to security vulnerabilities and prone to losses arising out of hacking, loss of passwords, compromised access credentials, malware, or cyber-attacks. The Registrar and Transfer Agent may also encounter difficulties during its further operation, maintenance and development of the ledger and/or the node, including financial, resourcing and technical difficulties. These difficulties are unpredictable, and may be unresolvable. As such, the ledger may therefore fail, terminate or be delayed at any time for any reason. Such failure, termination or delay is likely to have a material adverse effect on the investors.

Delays in processing blockchain transactions

Delays in transaction processing can occur on the blockchain network(s) used by the Company and the Registrar and Transfer Agent. Such a delay may occur on account of, among other things, the inability of nodes to reach consensus on transactions. During a network delay, it will not be possible to record transactions on the blockchain. Should such a delay occur for an extended period of time, the Directors could choose to effect transactions with Shareholders manually (i.e., in book-entry form) until such time as the network has resumed normal operation. The Company may choose to re-evaluate the suitability of a blockchain network for a Sub-Fund in the event of future or recurring delays.

Risks of software weaknesses

Investors should understand and accept the risk that the token configuration system concept used in Stellar, the smart contract system concept used in XRP Ledger, the underlying software application, the software platform and the ecosystem architecture (including but not limited to the distributed ledger, the token configuration, the smart contract and any related technology or software) may be at an early developmental state and not yet proven. The Company and the Registrar and Transfer Agent cannot warrant or guarantee that the process for the transfer, issuance and/or redemption of Shares will be uninterrupted or error-free and there is an inherent risk that the software could contain weaknesses, vulnerabilities or bugs causing, *inter alia*, faulty bookings and even the loss of the information stored on the Tokenised Register, or providing malicious parties with an attack vector through which they can compromise the ledger. The software could also contain undiscovered technical flaws, including in the process by which transactions are recorded to a distributed ledger, or by which the validity of a copy of such blockchain can be proven utilising cryptographically-secured distributed ledger technology, or the manner in which private keys are held and secured. The underlying software application and the software platform that is used to access the distributed ledger may also be subject to Distributed Denial

of Service or DDoS attacks, injection, uncontrolled format strings, and overflow. Investors should also note that various features of the token configuration system concept, the smart contract system concept, the underlying software application, the software platform and the ecosystem architecture, including their terms and conditions (if any), fees, structures, purposes, consensus protocols, algorithms, source codes, infrastructure designs and other technical specifications and parameters, may be updated and changed frequently. Such changes could have a material adverse effect on the investors.

Legal and regulatory risks

The distributed ledger technology allows new forms of interaction between the Company, the Registrar and Transfer Agent and investors and in general. The regulatory status of the Tokenised Register and distributed ledger technologies is currently unclear or unsettled in many jurisdictions (including Singapore) and is likely to rapidly evolve and is subject to intense scrutiny from financial regulators and governments. It is difficult to predict how or whether regulatory authorities (including but not limited to MAS, ACRA and IRAS) may apply and interpret existing laws and regulations (including but not limited to the Variable Capital Companies Act, the Companies Act 1967 of Singapore, the Electronic Transactions Act 2010 of Singapore, the Stamp Duties Act 1929 of Singapore) with respect to such technology and its applications, including specifically (but without limitation) to the Tokenised Register. In particular, the Variable Capital Companies Act was not specifically drafted with the intention of facilitating a variable capital company's register of members being maintained in the form of a Tokenised Register and courts and regulatory authorities may apply and interpret the Variable Capital Companies Act in a manner which is inconsistent with the tokenised model envisaged herein. It is likewise difficult to predict how or whether any legislative, regulatory or taxation authorities may implement changes to law and regulation (including in respect of tax) affecting distributed ledger technology and its applications, including the Tokenised Register. Therefore, there is a possibility that certain jurisdictions (including Singapore) will apply existing regulations or introduce new regulations addressing distributed ledger technology based applications, which may be contrary to the current setup which may, *inter alia*, result in substantial modifications of the token configuration system, the smart contract system and/or the protocol, including its termination and the inability of the Investors or the Company to use a Tokenised Register as the Register. Failure by the Company or the Registrar and Transfer Agent or users of blockchain technologies (such as investors) to comply with any laws, rules and regulations, some of which may not exist yet or are subject to interpretation and may be subject to change, could result in a variety of adverse consequences, including civil penalties and fines.

In addition to the above, the legal and regulatory regime applicable to the use of distributed ledger technology in the financial sector remains debated in many jurisdictions and the tokenisation model adopted here has little or no precedent. As such, regulatory actions by foreign governments restricting the ability to use the technology in the manner contemplated by the Company or the Registrar and Transfer Agent cannot be excluded.

The legal aspects of the tokenisation of a register of members are however debated in many jurisdictions, and no court decision has yet been published directly on the topic. Disputes regarding certain aspects of the acquisition and transfer of Shares evidenced by entries in the Register in the form of a Tokenised Register, such as for example the validity of transfers, therefore cannot be limited or excluded. Court decisions, depending on their content, may result in the Registrar and Transfer Agent having to maintain the Tokenised Register in a different form. This could restrict the ability of the investors to transfer such Shares.

Transfers of Shares evidenced by entries in a Tokenised Register subject to legal uncertainty

The status of the Tokenised Register is subject to some uncertainty in Singapore. In addition, legislators and regulators may adopt new rules regarding the issuance, transfer and/or redemption of digital tokens, the impact of which cannot be predicted. Such issuances, transfers and/or redemptions of

Shares evidenced by entries in the Register in the form of a Tokenised Register are therefore subject to more significant legal uncertainties.

In addition, the Variable Capital Companies Act requires a proper instrument of transfer to be delivered to the Company before it can register a transfer of Shares. While the Variable Capital Companies Act is silent on the form on which a proper instrument of transfer must take, and the Variable Capital Companies Act states that Shares are transferable in the manner provided by the Constitution, there is no clear regulatory or judicial interpretation or pronouncement in respect of the Variable Capital Companies Act as to whether (i) an instrument of transfer can be represented as an electronic record; (ii) the execution of such instrument of transfer can take place electronically; and (iii) delivery of such electronic record can be effected electronically. As such, the transfer of Shares via such electronic instrument of transfers are therefore subject to more significant legal uncertainties. For the avoidance of doubt, the Constitution expressly provides that the instrument of transfer can be represented as an electronic record, that the execution of such instrument of transfer can take place electronically and that delivery of such electronic record can be effected electronically.

Unanticipated risks

Cryptographic tokens on the basis of the distributed ledger technology are a new and untested technology. In addition to the risks set out herein, there are other risks associated with the maintenance of the Register in the form of a Tokenised Register, including risks that the Registrar and Transfer Agent, the Company and/or the Manager may not be able to anticipate. Such risks may further materialize as unanticipated variations or combinations of the risks set out herein.

Unpredictability of distributed ledgers

The Tokenised Register is expected to be maintained on a distributed ledger (the specific distributed ledger may be varied from time to time by the Directors) and such distributed ledger may undergo significant changes. Various features of distributed ledgers, including (but not limited to) their terms and conditions (if any), fees, structures, purposes, consensus protocols, algorithms, source codes, infrastructure designs and other technical specifications and parameters, may be updated and changed frequently. Such changes could have a material adverse effect on the ability of the Tokenised Register to be maintained on such distributed ledger.

Further, some distributed ledgers may encounter difficulties during further maintenance and development, including financial, resourcing and technical difficulties (such as the possibility of the development of new technologies or services that may inhibit access to a distributed ledger). These difficulties are unpredictable, and may be unresolvable. Development of distributed ledgers may therefore fail, terminate or be delayed at any time for any reason. Such failure, termination or delay is likely to have a material adverse effect on the ability of the Sub-Fund(s) to maintain the Tokenised Register of such distributed ledger.

Furthermore, maintenance and development of a distributed ledger may not be controlled by a central authority, and changes in software protocols that affect a distributed ledger can be implemented through various forms of network governance, including acceptance of changes by a predetermined number of miners (i.e., transaction validators) or by user votes. These governance mechanisms may be unclear or poorly implemented, which could lead to ineffective decision-making that slows the development and growth of the distributed ledgers, prevents the distributed ledgers from overcoming critical obstacles or issues or otherwise negatively affects the distributed ledgers, all of which could have a material adverse effect on the ability of the Sub-Fund(s) to maintain the Tokenised Register on such distributed ledger.

There may also be a lack of financial incentive for developers to maintain or develop the distributed ledgers and the developers may lack the resources to adequately address emerging issues with the distributed ledger on which the Tokenised Register is maintained. There can be no assurance that the core developers of a distributed ledger will continue to be involved, or that new volunteer developers

will emerge to replace them. To the extent that material issues arise with a distributed ledger and the developers are unable or unwilling to address the issues adequately or in a timely manner, this may have a material adverse effect on the ability of the Sub-Fund(s) to maintain the Tokenised Register on such distributed ledger. In addition, several distributed ledgers rely on decentralised participants to operate the distributed ledger through verifying transactions on an ongoing basis. The failure of decentralised participants to continue to maintain a network by verifying transactions may result in the cessation of operations on such distributed ledger and hence have a material adverse effect on the ability of the Sub-Fund(s) to maintain the Tokenised Register on such distributed ledger.

Irrevocability of digital asset transactions

Transactions that are verified and recorded as a block on a distributed ledger are generally irrevocable even if the transaction was due to a theft, stolen or incorrectly transferred due to an error. Further, notwithstanding that it is intended that the Registrar and Transfer Agent will have certain rights to amend and vary the Tokenised Register where appropriately authorised (e.g. in accordance with a court order) at this time, there is no guarantee that there will be any effective formal governmental, regulatory, investigative, or prosecutorial authority or mechanism through which to bring an action or complaint regarding such transactions.

Consequently, the Sub-Fund(s) may be unable to remedy any incorrectly executed transfers, which may have a material adverse effect on affected Shareholders.

Potential manipulation of distributed ledger

In the event that a malicious actor or botnet obtains control of more than 50% of the processing power or voting rights on the distributed ledger on which the Tokenised Register is maintained, such actor or botnet could manipulate such blockchain network and carry out mining attacks, including, but not limited to, double-spend attacks and constructing fraudulent blocks or preventing certain transactions from being completed in a timely manner, or at all. In the event of an attack being successful, the accurate execution and recording of digital asset transactions would be affected. This could adversely affect the execution and recording of digital assets.

Technical vulnerabilities

In respect of distributed ledgers for which control usually relies on a combination of encryption (typically via asymmetric cryptographic functions), one-way hashing and having control over a unique private cryptographic key, improvements in computing power, the growth in the size and efficacy of supercomputing clusters and/or the development of new technologies and approaches towards decryption (such as advances in digital computing, algebraic geometry and quantum computing) may pose the risk that the time taken to reverse hash functions or to run decryption functions becomes trivial. In such case, in the absence of changes to the distributed ledger incorporating future cryptographic functions which are resistant to such future decryption techniques, there is a risk that in the future, malicious actors may be able to, as a result of such future decryption techniques, obtain the unique private cryptographic key solely based on publicly available information and hence obtain control over such distributed ledger, exposing the Shareholders to a risk that the ability to transfer Shares or effect changes to the Tokenised Register may be lost or malicious actors may be able to obtain control of more than 50% of the processing power on a distributed ledger and hence manipulate such distributed ledger as described above. This could also rapidly destroy the integrity of the Tokenised Register.

Even if only a particular distributed ledger or digital asset was affected by such circumstances, any reduction in confidence in the source code or cryptography underlying distributed ledger or digital assets generally could negatively affect the perception of the Tokenised Register and increase reluctance to issue and investing assets recorded on distributed ledgers, which could have a material adverse effect on the Sub-Fund(s).

Risks relating to proof of stake verified distributed ledgers

The Sub-Fund(s) may maintain the Tokenised Register on distributed ledgers that rely in total or in part on a “proof of stake” method of generating a distributed consensus. Proof of stake algorithms do not rely on resource intensive calculations to validate transactions and create new blocks in a distributed ledger; instead, the validator of the next block is determined by reference to the amount of digital assets a user has “staked” and the amount of time it has been “staked,” which generates payments to such user. While the advantage of a “proof of stake” system is that it is far less energy intensive than a “proof of work” system, this may result in lower barriers for entry, which may allow for increased participation by malicious actors with small stakes that attempt to manipulate the distributed ledger or increase the risk that the distributed ledger will experience one or more forks, which could impact its value.

Founders of such distributed ledgers may retain large amounts of the corresponding digital asset, which large positions may result in such founders having an effective veto or ability to control the distributed ledger. As returns associated with staking are connected to the amount of the wealth staked, “proof of stake” systems may encourage hoarding of the relevant digital asset. While there are advantages to having users “buy in” to the digital asset associated with the distributed ledger and support its development, excessive hoarding reduces the “decentralised” nature of verification of the blockchain and may impair the spread of such digital asset, including interfering with the widespread adoption of such digital asset for use in transactions.

Proof of stake networks are newer and generally not as widely used as proof of work networks, and may be untested at scale. As a result, proof of stake networks may not work as intended. If proof of stake networks do not function as intended, or fail to gain adoption, the Sub-Fund(s)’ ability to maintain the Tokenised Register on distributed ledger relying on proof of stake consensus may be negatively affected, which could have a material adverse effect on the Sub-Fund(s).

Tracking Risk

Where the Register is maintained by reference to another, non-authoritative register (for example, the Directors may determine in their sole and absolute discretion to maintain the Register in traditional form, which will be updated by tracking updates from a non-authoritative register), although it is expected that the Register will be promptly updated so as to be consistent with a non-authoritative register, it is the Register which evidences the ownership of the Shares, and the Register shall prevail in the event of any inconsistency between it and the non-authoritative register.

Loss of Private Keys

In the event of any loss, theft or destruction of a unique private cryptographic key relating to the relevant Shares (and where no backup of the private key is available), a Shareholder may not be able to access the Shares associated with the private key. The loss, theft or destruction of a private key required to access the Shares may be irreversible. Moreover, any party that gains access to such private key(s), including by gaining access to login credentials of a hosted wallet or vault service that the Shareholder uses may be able to misappropriate the Shares.

Privacy Risks

While transactions on the blockchain themselves are anonymous, the transparency of the blockchain means that all transactions and wallet addresses of the entries on the distributed ledger are public and can be tracked by anyone with access to the blockchain. Accordingly, the Shares’ issuance and redemption data (though not a Shareholder’s personal identifying information) is available to view by the public via block explorer tools. This could potentially result in the identification of Shareholders and the tracking of their transactions, which could lead to reduced privacy and security risks. In addition, there are various techniques that can be used to deanonymize the entries on the distributed ledger, such as network analysis, clustering, and data mining. These techniques could be used to link wallet

addresses of entries on the distributed ledger to real-world identities or to track the flow of funds between addresses. This could potentially result in the loss of privacy for Shareholders, as well as the potential for other adverse consequences, such as financial losses or reputational harm. To mitigate this privacy risk, Off-Chain Information (including information linking the wallet addresses of the entries on the distributed ledger to their real-world identities) is stored off-chain and as such is not associated with the public wallet address of the Shareholder. However, such Off-Chain Information may itself be subject to security failures, security breaches, become the target of malicious attacks and/or data loss.

7.2 Investment objective risk

There is no assurance that the investment objective of a Sub-Fund will be achieved. Whilst the Manager and/or the Sub-Manager will implement strategies they believe are appropriate for the investment objective of each Sub-Fund, there can be no assurance that these strategies will be successful. It is possible that an investor may lose a substantial proportion or all its investment in a Sub-Fund. As a result, each investor should carefully consider whether you can afford to bear the risks of investing in the relevant Sub-Fund.

7.3 Market risk

The Net Asset Value of the Shares of each Sub-Fund will fluctuate with changes in the market value of the Securities held by the Sub-Fund. The price of Shares and the income from them may go down as well as up. Investors may not get back their original investment. The capital return and income of a Sub-Fund is based on the capital appreciation and income of the Securities that it holds, less expenses incurred. A Sub-Fund's return may fluctuate in response to changes in such capital appreciation or income. Investors in a Sub-Fund are exposed to risks such as interest rate risks (risks of falling portfolio values in a rising interest rate market); income risks (risks of falling incomes from a portfolio in a falling interest rate market); and credit risk (risk of a default by the underlying issuer of a Security).

7.4 Concentration risk

Concentration of a Sub-Fund's investments in a relatively small number of securities, sectors or industries, or geographical regions may significantly affect the performance of the Sub-Fund.

A Sub-Fund which tracks the performance of a single geographical region may be subject to concentration risk. Such a Sub-Fund is likely to be more volatile than a broad-based fund, such as a global or regional equity fund, as it is more susceptible to fluctuations in value resulting from adverse conditions in the relevant region.

7.5 Foreign exchange risk

An investment in a Sub-Fund may directly or indirectly involve exchange rate risk. The Securities of a Sub-Fund may be denominated in currencies other than the base currency of the Sub-Fund. Fluctuations in the exchange rates between such currency and the base currency may have an adverse impact on the performance of the Sub-Fund.

7.6 Counterparty risk

The Manager and/or the Sub-Manager may deal on such markets and with such counterparties as it thinks fit. A Sub-Fund may be exposed to the risk that a counterparty may default on its obligations to perform under a particular contract. In the event of a bankruptcy or insolvency of a counterparty, a Sub-Fund could experience delays in liquidating an investment and may therefore incur significant losses, including losses resulting from a decline in the value of the investment during the period in which the Sub-Fund seeks to enforce its rights. A Sub-Fund may also be unable to realise any gains on the investment during such period and may incur fees and expenses to enforce its rights. There is also a possibility that the contracts may be terminated due to, for instance, bankruptcy, supervening illegality

or change in the tax or accounting laws relative to those laws existing at the time the contracts were entered into.

7.7 Repatriation risk

Investments in some countries could be adversely affected by delays in, or refusal to grant, relevant approvals for the repatriation of funds or by any official intervention affecting the process of settlement of transactions. Consents granted prior to investment being made in any particular country may be varied or revoked, and new restrictions may be imposed.

7.8 Political, legal and regulatory risk

The value and price of a Sub-Fund's investments may be adversely affected by international political developments, changes in exchange controls, taxation policies, monetary and fiscal policies, foreign investment policies, government policies, restrictions on repatriation of investments and other changes in the laws, regulations, restrictions and controls in the relevant countries.

7.9 Exceptional market conditions risk

Under certain market conditions, it may be difficult or impossible to liquidate or rebalance positions. For example, this may occur during volatile markets or crisis situations or where trading under the rules of the relevant stock exchange is suspended, restricted or otherwise impaired. During such times, the Sub-Fund(s) may be unable to dispose of certain assets due to thin trading or lack of a market or buyers. Placing a stop-loss order may not necessarily limit a Sub-Fund's losses to intended amounts as market conditions may make it impossible to execute such an order at the ideal price. In addition, such circumstances may force a Sub-Fund to dispose of assets at reduced prices, thereby adversely affecting that Sub-Fund's performance. Further, such investments may be difficult to value with any degree of accuracy or certainty. The dumping of securities in the market could further deflate prices. If a Sub-Fund incurs substantial trading losses, the need for liquidity could rise sharply at the same time that access to liquidity is impaired. Additionally, in a market downturn, a Sub-Fund's counterparties' financial conditions could be weakened, thereby increasing that Sub-Fund's credit risk.

7.10 Risk of using rating agencies and other third parties

Credit ratings of instruments invested into by a Sub-Fund represent the rating agencies' opinion regarding the credit quality of the instrument or the institution and are not a guarantee of quality. Rating methodologies generally rely on historical data, which may not be predictive of future trends and adjustments to credit ratings in response to subsequent changes in circumstances may take time. When a debt security is rated, the downgrading of such debt security could decrease the value and liquidity of the security.

The Manager and/or the Sub-Manager are entitled to rely, subject to their internal credit assessment standards, without independent investigation, upon pricing information and valuations furnished to a Sub-Fund by third parties, including pricing services and independent brokers/dealers. Their accuracy depends on these parties' methodology, due diligence and timely response to changing conditions. The Manager and/or the Sub-Manager cannot be held responsible for any failures by such parties in their valuations.

7.11 Broker risk

The Manager and/or the Sub-Manager may engage the services of third party securities brokers and dealers to acquire or dispose the investments of a Sub-Fund and to clear and settle its exchange traded securities trades. In selecting brokers and dealers and in negotiating any commission involved in its transactions, the Manager and/or the Sub-Manager consider, amongst other things, the range and

quality of the professional services provided by such brokers and dealers, the credit standing, and the licensing or regulated status of such brokers and dealers.

It is possible that the brokers or dealers with which a Sub-Fund does business may encounter financial difficulties that may impair the operational capabilities of that Sub-Fund. In the event that one of these brokers or dealers were to fail or become insolvent, there is a risk that the relevant Sub-Fund's orders may not be transmitted or executed and its outstanding trades made through the broker or dealer may not settle.

7.12 Investment management risk

The investment performance of each Sub-Fund may depend on the portfolio management team and the team's investment strategies. The portfolio management team will apply investment techniques and risk analyses in making investment decisions for the Sub-Fund(s), but there can be no guarantee that these will produce the desired results. The team's judgments about the attractiveness, value and potential appreciation of a marketplace lending platform or individual security in which the Sub-Fund(s) invest may prove to be incorrect. If the investment strategies do not perform as expected, if opportunities to implement those strategies do not arise, or if the team does not implement its investment strategies successfully, an investment portfolio may underperform or suffer significant losses.

7.13 Lack of operating history

The Company and the Sub-Fund(s) are newly formed entities and have no operating history upon which prospective investors may evaluate their likely performance. In any event, past results or records of performance from investments in which the Manager and/or the Sub-Manager have been involved are not necessarily indicative of future results of a Sub-Fund's investments.

7.14 Information technology risk

The Company relies on information technology networks and systems, including the Internet, to process, transmit and store electronic information and to manage or support a variety of its business processes, including financial transactions and maintenance of records, which may include personally identifiable information of certain data. The Company further relies on commercially available systems, software, tools and monitoring to provide security for processing, transmitting and storing confidential information, such as individually identifiable information relating to financial accounts. Although the Company has taken steps to protect the security of the data maintained in its information systems, it is possible that such security measures will not be able to prevent the systems' improper functioning, or the improper disclosure of personally identifiable information such as in the event of cyber-attacks. Security breaches, including physical or electronic break-ins, computer viruses, attacks by hackers and similar breaches, can create system disruptions, shutdowns or unauthorised disclosure of confidential information. Any failure to maintain proper function, security and availability of the Company's information systems or any failure in the information technology networks and systems which the Company relies on could interrupt the Company's operations, damage its reputation, subject the Company to liability claims or regulatory penalties and could materially and adversely affect it. Additionally, market events also may trigger a volume of transactions that overloads current information technology and communication systems and processes, impacting the ability to conduct the Company's operations.

7.15 The Sub-Fund(s) are not structured as unit trusts

Investors should note that the Sub-Fund(s) are not like the typical funds offered to the public in Singapore and which are structured as unit trusts. The Company is a variable capital company constituted under the Variable Capital Companies Act and is not structured as an umbrella unit trust. In the typical umbrella unit trust structure, a trustee is appointed to safeguard the rights and interests of the holders of the unit trust. This is not present in the Company and the Sub-Fund(s). Instead, the

Company has appointed Directors who are obliged to act in the best interest of the Company and each Sub-Fund, pursuant to their duties imposed by the Variable Capital Companies Act as well as any other duties mandated by common law, and are responsible for the overall management and control of the Company and each Sub-Fund. As a variable capital company, the Company is also regulated by the Variable Capital Companies Act, which is administered by the Accounting and Corporate Regulatory Authority.

7.16 Risks related to borrowings by a Sub-Fund

Subject to the Code, the Company may pledge the assets of a Sub-Fund if the lender requires security to be provided in connection with any borrowings by the Company for the account of the Sub-Fund. In the event that the Sub-Fund is unable to repay the principal or interest on such borrowing, the pledged assets may be disposed of by the lender. If the price received by the lender is insufficient to satisfy the outstanding due to the lender in full, the Sub-Fund may have to dispose of its investments to raise cash for payment of the shortfall to the lender. There may be an adverse effect on the Net Asset Value of the Sub-Fund if such disposal is effected during any period when general market conditions are unfavourable.

7.17 Derivatives risk

(a) Use of financial derivative instruments (“FDIs”)

The Manager and/or the Sub-Manager may use or invest in FDIs on behalf of a Sub-Fund in accordance with the Securities and Futures (Capital Markets Products) Regulations 2018 (to the extent that Shares of a Sub-Fund are Excluded Investment Products and Prescribed Capital Markets Products), Appendix 1 of the Code, Appendix 2 of the Code (in respect of the Franklin OnChain U.S. Dollar Short-Term Money Market Fund) and the Constitution. Such FDIs may include, but are not limited to futures, options, warrants, forwards, contract for differences, extended settlement contracts, swaps or swap options. Subject to the Securities and Futures (Capital Markets Products) Regulations 2018 (to the extent that Shares of a Sub-Fund are Excluded Investment Products and Prescribed Capital Markets Products) and Appendix 2 of the Code (in respect of the Franklin OnChain U.S. Dollar Short-Term Money Market Fund), the Manager and/or the Sub-Manager may use or invest in FDIs on behalf of a Sub-Fund for the purposes of hedging, efficient portfolio management, optimising returns or a combination of all three. Please refer to the relevant Appendix for information on each Sub-Fund’s use of FDIs.

(b) Risks associated with the use of FDIs

While the judicious use of FDIs can be beneficial, the ability to use such instruments successfully depends on the Manager’s and/or the Sub-Manager’s ability to accurately predict movements in stock prices, interest rates, currency exchange rates or other economic factors and the availability of liquid markets. If the Manager’s and/or the Sub-Manager’s predictions are wrong, or if the FDIs do not work as anticipated, the Sub-Fund could suffer greater losses than if the Sub-Fund had not used such FDIs.

In addition to the inherent risks of investing in FDIs, a Sub-Fund will also be exposed to credit risk on the counterparties with which it trades, particularly in relation to FDIs that are not traded on a recognised market. Such instruments are not afforded the same protection as may be afforded to participants trading such FDIs on a recognised market, such as the performance guarantee of an exchange clearing house. The Sub-Fund may be subject to the possibility of insolvency, bankruptcy or default of a counterparty with which that Sub-Fund trades, which could result in substantial losses to the Sub-Fund.

Investments in derivatives may require the deposit of initial margin and additional deposit of margin on short notice if the market moves against the investment positions. If no provision is

made for the required margin within the prescribed time, the Sub-Fund's investments may be liquidated at a loss. In cases of FDIs which are derivatives on commodities, such transactions shall be settled in cash at all times.

(c) Exposure to FDIs

Where a Sub-Fund uses or invests in FDIs, the global exposure of such Sub-Fund to FDIs or embedded FDIs will not exceed 100% of the Net Asset Value of such Sub-Fund at all times. Such exposure would be calculated using the Commitment Approach as described in, and in accordance with the provisions of, Appendix 1 of the Code.

(d) Risk Management Process and Compliance Controls

In the event the Manager and/or the Sub-Manager uses FDIs on behalf of a Sub-Fund, it is of the view that it has the necessary expertise to control and manage the risks relating to the use of FDIs. The Manager and/or the Sub-Manager will ensure that the risk management and compliance procedures and controls adopted are adequate and have been or will be implemented and that they have the necessary expertise to control and manage the risks relating to the use of FDIs.

7.18 Distribution policy risk

Please note that the Company has the absolute discretion to determine whether a distribution is to be declared for a Sub-Fund or Class. The Company also reserves the right to review and make changes to the distribution policy of a Sub-Fund or Class from time to time. Even if distributions are declared or made, such distributions are not an indication or projection of the future performance of the relevant Sub-Fund or Class, and does not imply that further distributions will be made.

Certain Sub-Funds, particular those that pursue investment strategies seeking to generate income, may have a dividend policy that allows for payment of dividends out of capital as well as from income and net realised and net unrealised capital gains.

Where distributions are made out of capital of the relevant Class, while it may allow for more income to be distributed, it also amounts to a return or withdrawal of an investor's original investment or from any capital gains attributable to that original investment. This has the net effect of reducing capital and the potential for long-term capital growth as well as increasing any capital losses. Examples of when this may occur include:

- (a) if the securities markets in which a Sub-Fund invests were sufficiently declining so that the Sub-Fund has incurred net capital losses; and
- (b) dividends are paid gross of fees and expenses such that fees and expenses are paid out of net realised and net unrealised capital gains or initially subscribed capital.

Any distribution of dividends made partially or entirely out of a Sub-Fund's capital may reduce capital growth and may result in an immediate reduction of the Net Asset Value of that Class and the Sub-Fund.

7.19 Taxation risk

Investing in a Sub-Fund may have tax implications for a Shareholder depending on the particular circumstances of each Shareholder. Prospective investors are strongly urged to consult their own tax advisers and counsel on the possible tax consequences with respect to an investment in the Sub-Fund. Such tax consequences may differ in respect of different investors.

7.20 Securities lending or repurchase transactions risk

Securities lending or repurchase transaction (including reverse repurchase transactions) involve counterparty risk, credit risk, liquidity risk, sufficiency of collateral risk, collateral investment risk, delivery risk and operational risk, as described below, and there can be no assurance that the objective sought to be obtained from the use of such transaction will be achieved:

(a) Counterparty risk

A counterparty to such securities lending or repurchase transaction may default on its obligations by being insolvent or otherwise being unable to complete a transaction. In the event of the failure of the counterparty with which cash of a Sub-Fund has been placed there is the risk that collateral received may yield less than the cash placed out, whether because of inaccurate pricing of the collateral, adverse market movements, a deterioration in the credit rating of issuers of the collateral, or the illiquidity of the market in which the collateral is traded.

(b) Liquidity risk

A counterparty may not be able to settle its obligations under such securities lending or repurchase transaction for the full value when it is due but would be able to settle on some unspecified date thereafter. This may affect the ability of a Sub-Fund to meet its redemption obligations, security repurchases, other payment commitments and, more generally, reinvestment.

(c) Sufficiency of collateral risk

Following a default by a counterparty, a Sub-Fund can sell its collateral in the market to raise funds to replace the lent securities. It will suffer a loss if the value of the collateral securities falls relative to the lent securities.

(d) Collateral investment risk

The value of the securities in which the Manager and/or the Sub-Manager invest the cash collateral may decline due to fluctuations in interest rates or other market-related events.

(e) Delivery risk

Delivery risk occurs both when securities have been lent and collateral has not been received at the same time or prior to the loan, and when collateral is being returned but the loan has not been received.

(f) Operational risk

The custodian or the lending agent may not administer the program as agreed. This includes the failure to mark to market the collateralisation levels, call for additional margin or to return excess margin and to post corporate actions and income including all economic benefits of ownership.

Prospective investors should be aware of the following additional risks associated with repurchase and/or reverse repurchase transactions:

- (a) repurchase transactions will, as the case may be, further expose a Sub-Fund to risks similar to those associated with optional or forward FDIs. Further information on the risks associated with the use of FDIs can be found in paragraph 7.17 "Derivatives risk" of this Prospectus; and

- (b) in a reverse repurchase transaction, a Sub-Fund could incur a loss if the value of the purchased securities has decreased in value relative to the value of the cash or margin held by the relevant Sub-Fund.

7.21 Liquidity risk

Trading volumes in the underlying investments of a Sub-Fund may fluctuate significantly depending on market sentiment. There is a risk that investments made by a Sub-Fund may become less liquid in response to market developments, adverse investor perceptions or regulatory and government intervention (including the possibility of widespread trading suspensions implemented by domestic regulators). In extreme market conditions, there may be no willing buyer for an investment and so that investment cannot be readily sold at the desired time or price, and consequently the relevant Sub-Fund may have to accept a lower price to sell the relevant investment or may not be able to sell the investment at all. An inability to sell a particular investment or portion of a Sub-Fund's assets can have a negative impact on the value of the relevant Sub-Fund or prevent the relevant Sub-Fund from being able to take advantage of other investment opportunities.

The Manager has established liquidity risk management policies which enable it to identify, monitor and manage the liquidity risks of the Sub-Fund(s). Such policies, combined with the liquidity management tools available, seeks to achieve fair treatment of Shareholders and safeguard the interests of remaining Shareholders against the redemption behaviour of other investors and mitigate against systemic risk.

The Manager's liquidity risk management policies take into account the relevant Sub-Fund's liquidity terms, asset class, liquidity tools and regulatory requirements.

The liquidity risk management tools available to manage liquidity risk include the following:

- (a) a Sub-Fund may borrow up to 10 per cent of the latest available Net Asset Value of the relevant Sub-Fund (or such other percentage as may be prescribed by the Code) at the time the borrowing is incurred and the borrowing period should not exceed one month provided always and subject to the borrowing restrictions in the Code;
- (b) the Directors may pursuant to the Constitution, suspend the redemption of Shares of the relevant Class or Sub-Fund, and/or delay the payment of any monies and transfer of any Securities in respect of any redemption application; and
- (c) the Directors may reduce the redemption requests rateably and pro rata amongst all Shareholders seeking to redeem Shares on the relevant Dealing Day and carry out only sufficient redemptions which, in aggregate, amount to 10 per cent (or such higher percentage as the Directors may determine in respect of a Sub-Fund) of the Shares of the relevant Class or Sub-Fund then in issue.

7.22 Cross liability risk

The assets and liabilities of each Sub-Fund under the Company will be tracked, for book keeping purposes, separately from the assets and liabilities of any other Sub-Fund(s). The Constitution provides that the assets of each Sub-Fund should be segregated from each other and that transactions relating to each Sub-Fund shall be separately recorded. Any asset derived from any Sub-Fund Asset shall be applied in the books and records of the Company to the same Sub-Fund as the asset from which it was derived and any increase or diminution in the value of such asset shall be applied to such Sub-Fund, and each Sub-Fund shall be charged with the liabilities, expenses, costs and charges of the Company in respect of or attributable to the Sub-Fund. While Section 29 of the Variable Capital Companies Act provides that the assets of a sub-fund cannot be used to discharge the liabilities of any sub-fund or the umbrella variable capital company itself and that any liability of a sub-fund must be discharged solely out of the assets of the sub-fund including in its winding up, there is no guarantee that the courts of any

jurisdiction outside Singapore will respect the limitations on liability and that the assets of any particular Sub-Fund will not be used to satisfy the liabilities of any other Sub-Fund and accordingly there is a risk that Section 29 of the Variable Capital Companies Act may not be applied in legal or other proceedings before a court or other tribunal of a foreign country.

7.23 No segregation within Sub-Funds

Where more than one Class of Participating Shares are issued in respect of a particular Sub-Fund and (a) the liabilities referable to one Class are in excess of the assets referable to such Class; or (b) such Class is unable to meet all liabilities attributed to it, the assets of the Sub-Fund attributable to the other Classes of Participating Shares may be applied to cover the excess liability incurred in respect of such Classes of such Sub-Fund. Accordingly, there is a risk that liabilities of one Class within a particular Sub-Fund may not be limited to that particular Class and may be required to be paid out of the assets attributable to one or more other Classes of that particular Sub-Fund.

7.24 Segregation of Sub-Funds may not be upheld in certain jurisdictions

The Company is established as an umbrella variable capital company under Singapore law. As a matter of Singapore law, the assets of one Sub-Fund are not available to meet the liabilities of another Sub-Fund or the Company. However, the Company is a single legal entity which may operate or have assets held on its behalf or be subject to claims in other jurisdictions which may not necessarily recognise such segregation, and accordingly such segregation may not be applied in legal or other proceedings before a court or other tribunal of such other jurisdictions. In these circumstances, there is a risk that the assets of a Sub-Fund may be applied to meet the liabilities of another Sub-Fund or the Company, whose assets are exhausted. The Company intends to, to the extent reasonably practicable, contract (for the purpose of its Sub-Fund(s)) with counterparties that are subject to the laws of jurisdictions that are likely to recognise such segregation. The Company intends to, to the extent reasonably practicable, impose contractual safeguards to give effect to the segregation of assets and liabilities between Sub-Fund(s) when entering into agreements with counterparties residing in other jurisdictions. Notwithstanding the aforementioned measures, there is no guarantee that assets of any particular Sub-Fund will not be used to satisfy the liabilities of any other Sub-Fund in the event of an adverse finding by a court or other tribunal in such other jurisdictions as described herein.

7.25 Conflicts of interest risk

The Directors, the Fund Administrator, the Custodian, the Manager, the Sub-Manager and other service providers or their respective agents, delegates or associated parties may face potential conflicts of interest in the course of discharging their duties owed to the Company and each Sub-Fund.

For instance, certain Directors of the Company may also serve as directors and executives of the Manager's related corporations. In addition, only Franklin Templeton Capital Holdings Private Limited, who is the sole shareholder of the Manager, may vote (by virtue of being the holder of the Management Shares) on the appointment and removal of the Directors in accordance with the Constitution while the Directors may terminate the appointment of the Manager in accordance with the Management Agreement. These matters do not require and are not subject to the approval of holders of Participating Shares. In the event that the Manager shall retire or be removed or its appointment shall otherwise terminate, the Directors shall appoint another corporation to act as the manager of the Company and such appointment is subject to the approval of the holders of Participating Shares by Special Resolution.

In dealing with any potential conflicts of interest, the Directors are obliged to act in the best interest of the Company and each Sub-Fund, pursuant to their duties imposed by the Variable Capital Companies Act as well as any other duties mandated by common law. Further, the Company will have at least one independent Director. Additionally, the Manager is required to act in the best interest of Shareholders pursuant to the Code. The holders of Participating Shares may also determine by Special Resolution at a general meeting that the Manager's appointment be terminated in accordance with the Constitution.

Further information on how conflicts of interest will be resolved can be found in paragraph 22 “Conflicts of Interest” of this Prospectus.

7.26 Corporate structure risk

The holders of Participating Shares of each Sub-Fund do not have full voting rights. Under the Constitution, voting arrangements will differ depending on the specific matter in question. For example, to the extent that a matter relates to the appointment and removal of any Director of the Company, only the holder of the Management Shares will be able to vote on the relevant resolution. Additionally, to the extent that a matter in question relates to the Company, the Shareholders of each Sub-Fund, and the holder of the Management Shares will be voting on such matter. Further information on the voting rights afforded to each holder of Participating Shares can be found in paragraph 19 “Voting Rights” of this Prospectus.

7.27 Debt securities risk

A Sub-Fund which invests in debt securities or money market instruments is subject to interest rate risk, credit risk, default risk and may be exposed to specific risks including but not limited to sovereign risk, high yield securities risk, restructuring risk and risk related to the use of credit ratings.

A fixed income security's value will generally increase in value when interest rates fall and decrease in value when interest rates rise. Fixed income securities with longer-term maturities tend to be more sensitive to interest rate changes than shorter-term securities.

Variable rate securities (which include floating-rate debt securities) generally are less sensitive to interest rate changes than fixed rate debt securities.

A Sub-Fund may invest in debt securities on which the issuer is not currently making interest payments (defaulted debt securities). A Sub-Fund may buy defaulted debt securities if, in the opinion of the Manager and/or the Sub-Manager, it appears likely that the issuer may resume interest payments or other advantageous developments appear likely in the near future. These securities may become illiquid.

Sovereign debt securities can be subject to risks in addition to those relating to debt securities and foreign securities generally, including, but not limited to, the risk that a governmental entity may be unwilling or unable to pay interest and repay principal on its sovereign debt. There are generally no bankruptcy proceedings for sovereign debt. If a sovereign debtor defaults (or threatens to default) on its sovereign debt obligations, the indebtedness may be restructured. In the event of a default on sovereign debt, a Sub-Fund may have limited legal recourse against the defaulting government entity.

A Sub-Fund may invest in sovereign debt issued by governments or government-related entities from countries referred to as emerging markets or frontier markets, which bear additional risks compared to more developed markets due to such factors as greater political and economic uncertainties, currency fluctuations, repatriation restrictions or capital controls.

A Sub-Fund may invest in higher-yielding securities rated lower than investment grade. High-yield debt securities (including loans) and unrated securities of similar credit quality (“high-yield debt instruments” or “junk bonds”) involve greater risk of loss, or delays of interest and principal payments, than higher-quality debt securities. Issuers of high-yield debt instruments are not as strong financially as those issuing securities of higher credit quality. High-yield debt instruments are generally less liquid and their prices fluctuate more than higher-quality securities.

A Sub-Fund may also invest in the securities of companies involved in mergers, consolidations, liquidations and reorganisations (including those involving bankruptcy). Such corporate events could

be disruptive to the business and management structure of the companies involved, which may expose the Sub-Fund to higher investment risk.

The use of credit ratings in evaluating debt securities can involve certain risks, including the risk that the credit rating may not reflect the issuer's current financial condition or events since the security was last rated by a rating agency. Credit ratings may be influenced by conflicts of interest or based on historical data that no longer apply or are accurate.

Debt securities are subject to prepayment risk when the issuer can "call" the security, or repay principal, in whole or in part, prior to the security's maturity. When a Sub-Fund reinvests the prepayments of principal it receives, it may receive a rate of interest that is lower than the rate on the existing security, potentially lowering the Sub-Fund's income, yield and its distributions to the relevant Shareholders. Securities subject to prepayment may offer less potential for gains during a declining interest rate environment and have greater price volatility. Prepayment risk is greater in periods of falling interest rates.

8. MANAGEMENT AND ADMINISTRATION

8.1 Directors of the Company

The Directors are responsible for the overall management and control of the Company and each Sub-Fund in accordance with the Constitution. In executing these responsibilities, the Directors are bound by the duties imposed by the Variable Capital Companies Act as well as any other duties mandated by common law.

The Directors will review the operations and investment performance of the Company and each Sub-Fund at regular meetings. For this purpose, the Directors will receive periodic reports from the Manager detailing the performance of the Company and each Sub-Fund and providing an analysis of each Sub-Fund's investment portfolio. The Manager will provide such other information as may from time to time be reasonably required by the Directors for the purpose of such meetings.

The Directors of the Company are Christian Bucaro, Yu Tin Lai and Quah Hui Lay Corina (independent director pursuant to chapter 2A.1(a) of the Code). The details of the Directors are as follows: -

Christian Bucaro

Head of Wealth – Asia

Franklin Templeton Investments

Franklin Templeton Capital Holdings Pte Ltd

Singapore

As head of Wealth for Asia, Christian is responsible for driving the growth of Franklin Templeton's Retail business in Asia, excluding Japan and India. Christian brings almost 20 years of experience in Business Development and Distribution roles with institutional and wholesale distribution clients across Europe and Asia. Prior to joining Franklin Templeton, Christian spent 17 years with BNP Paribas Asset Management, where he last served as CEO Singapore and Head of Strategic Distributor Relationships APAC. Christian is a graduate from Cass Business School London with a MSc in Investment Management.

Yu Tin Lai

Head of Regional Business and Product Strategy, Asia Pacific

Templeton Asset Management Ltd

Singapore

Ms. Yu is the Head of APAC Business and Product Strategy, based in Singapore. She is responsible for leading the innovation and development of product solutions for our clients in the region, partner with APAC leaders to execute strategic initiatives and business priorities.

Ms. Yu joined Franklin Templeton in 2011 and has close to 26 years of experience in the asset management industry with the key focus to strategize and develop product strategies for both retail and institutional business across the Asian markets. Prior to joining Franklin Templeton in 2011, Ms. Yu was Head of Product Development for Credit Suisse Asset Management, where she worked closely with Business to identify opportunities and created investment solutions for clients in Asia. Prior to that, Ms. Yu was at Prudential Asset Management, Legg Mason, Fidelity Investments and she has been based in multiple countries in Asia (Beijing, Hong Kong and Singapore) throughout her career.

Ms. Yu graduated with a Bachelor of Arts in Economics from the University of Western Ontario, Canada.

Quah Hui Lay Corina (Independent Director)

Corina Quah is a seasoned professional in the financial services industry with over 20 years of experience. She joined Solas Fiduciary Services Pte. Ltd., in 2018 and serves as an independent director in various hedge funds, private equity and real estate funds, investment management companies, and related structures.

Corina held several senior positions in the financial services industry in Singapore, specialising in fund administration and corporate trusts. She has worked with prominent companies such as Equinox Alternative Investments Services, Intertrust, Deutsche Bank AG, and HSBC. During her tenure at HSBC, she served as a manager of the REITS business at HSBC Institutional Trust Services Limited.

Corina embarked on her career as an accountant at The Financial Training Co (S) Pte. Ltd., where she honed her financial acumen. She holds a Bachelor of Commerce degree, specialising in Accountancy and Marketing (Merit), from the University of Wollongong.

Corina is a registered Director with the Cayman Islands Monetary Authority (CIMA), pursuant to the Directors Registration and Licensing Law, 2014.

The list of Directors and their particulars may be changed from time to time without notice.

8.2 Manager

The Manager of the Company is Templeton Asset Management Ltd, whose registered office is at 7 Temasek Boulevard, #26-03 Suntec Tower One, Singapore 038987.

The Manager was incorporated in Singapore on 28 September 1992. The Manager is the holder of a capital markets services licence for the regulated activities of “fund management” and “dealing in capital markets products (that are securities, collective investment schemes, exchange-traded derivatives contracts and over-the-counter derivatives contracts)” under the SFA and is an exempt financial adviser under the Financial Advisers Act 2001 of Singapore, as amended.

The Manager is an indirect wholly-owned subsidiary of Franklin Resources, Inc. (“FRI”), a holding company with subsidiaries operating as Franklin Templeton that provide asset management services, including the Manager. FRI was founded in 1947 and is listed on the New York Stock Exchange, Inc. under the symbol “BEN”. With more than 1,500 investment professionals, and offices in major financial markets around the world, the company has over 75 years of investment experience and over \$1.6 trillion in assets under management as of 31 July 2025. Franklin Templeton’s mission is to help clients achieve better outcomes through investment management expertise, wealth management and technology solutions. Through its specialist investment managers, the company offers specialization on

a global scale, bringing extensive capabilities in fixed income, equity, alternatives and multi-asset solutions.

The Manager has been managing collective investment schemes and discretionary funds since 1992. As at 30 June 2025, the Manager has approximately S\$47,453,370,000 of assets under their management.

Past performance of the Manager is not necessarily indicative of its future performance or of the Sub-Fund(s).

8.3 General Responsibilities of the Manager

The Manager has general powers of management over the assets of the Company and/or the Sub-Fund(s) and also provides registrar and transfer as well as corporate and domiciliary agency services to the Company. The Manager has covenanted in the Management Agreement to use its best endeavours to carry on and conduct the business of the Company for the purpose of each Sub-Fund in a proper and efficient manner and will ensure that each Sub-Fund is carried on and conducted in a proper and efficient manner.

Under the provisions of the Management Agreement, the Manager shall not be liable for any loss to the Company howsoever arising in the absence of gross negligence, wilful default or fraud.

The Manager may delegate all or any of its functions, powers and duties under the Management Agreement to any other person or corporation (including a Connected Person of the Manager) and notwithstanding such delegation the Manager shall remain entitled to receive and retain in full all sums payable to the Manager under any provision of the Management Agreement.

The Manager may delegate any of its functions, powers and duties under the Management Agreement (including, without limitation, functions, power and duties connected with the management of the Sub-Fund(s) and the exercise of discretion in relation to any investments) to any person subject to the terms of the Management Agreement. Except to the extent otherwise agreed with the Company, the Manager shall be responsible for the costs of any such delegation including, without limitation, any fees and expenses of the delegate.

The Company may terminate the Management Agreement if the Manager is liquidated or dissolved (except a voluntary liquidation or a voluntary dissolution for the purposes of reconstruction or amalgamation upon terms previously approved in writing by the Company) or be unable to pay its debts as they fall due or commit any act of bankruptcy under the laws of any jurisdiction to which the Manager may be subject or if a receiver is appointed over any of its assets.

The Manager will remain as manager of the Company and the Sub-Fund(s) until its appointment is terminated in accordance with the terms of the Management Agreement. In the event that the Manager shall retire or be removed or its appointment shall otherwise terminate, the Directors shall appoint another corporation to act as the manager of the Company which is approved by the Shareholders by Special Resolution to be the manager in place of the Manager so retiring or being removed on or before the expiry of any period of notice of such retirement or removal.

Any change to the Manager of the Sub-Fund(s) will be notified to Shareholders.

8.4 Directors of the Manager

The directors of the Manager are as follows: -

Tariq Ashfaq Ahmad
Head of APAC
Franklin Templeton Investments
Franklin Templeton Capital Holdings Pte Ltd
Co-CEO, Templeton Asset Management Ltd
Singapore

Tariq Ahmad is Head of APAC at Franklin Templeton. In this capacity, he develops and executes Franklin Templeton's overall business strategy to best serve the firm's clients and drive growth in the APAC region. Prior to this role, he was Head of Asia Distribution and was responsible for Asia (ex. Japan, India and mainland China) retail and institutional distribution, including marketing and product strategy.

Prior to joining Franklin Templeton in 2021, Mr. Ahmad held Senior Leadership roles as CEO and Head of Asia with Brandywine Global Investment (Asia) and CEO and Partner with Rogge Global Partners Asia.

Mr. Ahmad has over 20 years of experience in the asset management industry based in London and Singapore, with international exposure working with clients across UK, Middle East and Asia Pacific. He has also held fixed income roles with Western Asset, J.P. Morgan Asset Management and State Street Global Advisors based in London.

Mr. Ahmad earned an MSc. in Investment Management from Sir John Cass Business School and a BSc (honors) in Business Studies from Imperial College of Science, Technology & Medicine. He is also an Associate of the Royal College of Science and holds the Investment Management Certificate.

Manraj Singh Sekhon
Chief Investment Officer
Templeton Global Investments
Co-CEO, Templeton Asset Management Ltd
Singapore

Manraj Sekhon is the chief investment officer of Templeton Global Investments and co-CEO of Templeton Asset Management Ltd. In this capacity, he oversees over 100 investment professionals in 15 countries and the full suite of global and emerging markets equity strategies offered by the group, including global, regional, single-country, small cap, frontier and private equity.

Prior to joining Franklin Templeton in 2018, Mr Sekhon served as the Chief Executive, Chief Investment Officer of Fullerton Fund Management, the asset management subsidiary of Temasek and has over 25 years of global investment experience. Manraj previously held various roles in London at Mercury Asset Management (now part of BlackRock), Invesco Asset Management and Henderson Global Investors.

Mr. Sekhon holds a B.Sc. in Management Sciences, with honors, from the University of Warwick in the UK. Mr. Sekhon is a Chartered Financial Analyst (CFA) charterholder, an Associate Member of the UK Society of Investment Professionals (ASIP) and a Certified Member of the European Federation of Financial Analysts Societies (CEFA).

Ong Tek Khoan
Senior Managing Director
Director of Private Equity
Franklin Templeton Emerging Markets Equity
Templeton Asset Management Ltd
Singapore

Tek Khoan Ong is senior managing director, director of Private Equity for the Franklin Templeton Emerging Markets Equity group ("**FTEME**"). In this capacity, he is responsible for leading and overseeing the private equity efforts within FTEME, which includes the management of existing global and single country funds. He and his team are also developing new private equity products including socially responsible funds and regional funds.

Prior to joining Franklin Templeton in 1993, Mr. Ong worked at the Monetary Authority of Singapore, Singapore's central bank. He entered the financial services industry in 1986.

Mr. Ong holds an M.B.A., with distinction, from the Wharton School of Business at the University of Pennsylvania, and was on the director's list. In addition, he earned an M.Sc. in computing science and a B.Sc. in civil engineering, with honours, from Imperial College, University of London. Mr. Ong is a Chartered Financial Analyst (CFA).

Lim Seh Kuan

**Chief Accounting Officer – APAC
Templeton Asset Management Ltd
Singapore**

Lim Seh Kuan is the Chief Accounting Officer for Franklin Templeton, based in Singapore. She leads the APAC finance team to provide integrated finance support to the Asia Pacific region. Ms Lim is a board member of Franklin Templeton's Singapore, Malaysia, China and Korea subsidiaries.

Ms Lim joined Franklin Templeton in 1998 and has held various leadership positions within the finance division. Prior to that, she was the chief accountant of CMG First State Investments where she managed the accounting, tax and treasury function. She began her career with PricewaterCoopers as a tax professional.

Ms Lim holds a Bachelor of Accountancy from Nanyang Technological University, and is a Chartered Accountant of Singapore.

The list of directors of the Manager and their particulars may be changed from time to time without notice.

8.5 Key Executives

The key executives of the Manager in respect of the Sub-Fund(s) are:

Shawn Lyons, CFA

**Senior Vice President
Portfolio Manager
Franklin Templeton Fixed Income
San Mateo, California, United States**

Shawn Lyons is a vice president, portfolio manager and research analyst for Franklin Templeton Fixed Income - Corporate Credit in San Mateo, California, United States. Mr. Lyons is responsible for managing Franklin Templeton's taxable money funds and Franklin Managed Income Fund.

Mr. Lyons has over 26 years of experience in the financial services industry. Prior to his current role, Mr. Lyons was a portfolio manager and research analyst for Franklin Templeton Fixed Income - Money Markets. Mr. Lyons joined Franklin Templeton in 1996 as a futures associate.

Mr. Lyons holds a bachelor of arts in economics from University of California, Berkeley. He is a Chartered Financial Analyst (CFA) charterholder and a member of the CFA Society of San Francisco and the CFA Institute.

Michael J. Lima, CFA
Vice President
Portfolio Manager
Franklin Templeton Fixed Income
Boston, Massachusetts, United States

Mr. Lima is a Portfolio Manager in the Corporate Credit group within Franklin Templeton Fixed Income (FTFI). He is part of a team that manages FTFI's Investment Grade Corporate Credit, Preferred Securities, Short Duration Bond, Ultra Short Duration Income, Money Market, and Short Term Investment strategies.

Prior to joining FTFI in 2024, Mr. Lima was a Portfolio Manager and Corporate Credit Research Analyst at Putnam Investments. He has been in the investment industry since he joined Putnam in 1997.

Mr. Lima earned a B.S. in Economics from Boston College.

Joanne Driscoll
Senior Vice President
Portfolio Manager
Franklin Templeton Fixed Income
Boston, Massachusetts, United States

Ms. Driscoll is a Senior Vice President and Portfolio Manager for Franklin Templeton Fixed Income - Short-Term Liquid Markets in Boston, Massachusetts. Previously, Ms. Driscoll was the Head of Short-Term Liquid Markets for the Putnam Fixed Income group.

Ms. Driscoll is responsible for the oversight of investment strategies and the management of short duration products along with SEC Rule 2a-7 mandated portfolios and other cash assets. She is a Portfolio Manager of Government Money Market, Money Market, Short Duration Bond, and Ultra Short Duration Income strategies, as well as offshore funds and securities lending pools.

Ms. Driscoll joined Putnam in 1995 as a credit analyst. Ms. Driscoll earned an M.B.A. from Northeastern University and a B.S. from Westfield State University. She also holds the Chartered Financial Analyst (CFA) designation and is a member of the CFA Institute and the CFA Society of Boston.

For three consecutive years, 2022, 2023 and 2024, Ms. Driscoll was named by Morningstar as one of the Top Female Fixed Income portfolio managers for the Putnam Ultra Short Duration Income Fund.

The list of key executives of the Manager and their particulars may be changed from time to time without notice.

8.6 Sub-Manager

The Manager has appointed Franklin Advisers, Inc. as the Sub-Manager of the Franklin OnChain U.S. Dollar Short-Term Money Market Fund.

Franklin Advisers, Inc. was formed in 1985 under the laws of the State of California, U.S. and is best known as a fixed income and money market specialist. Franklin Advisers, Inc. is a leading fixed income manager in the U.S., and forms part of the Franklin Fixed Income Group which was one of the pioneers in the development of U.S. Government Securities funds in the 1970s. The Franklin Fixed Income Group

also introduced America's first state-specific and double tax-free income fund in 1981. In addition to its fixed income capabilities, Franklin Advisers, Inc. is also renowned for its expertise in U.S. equities, particularly in utilising the growth style in equity investing. The Franklin Equity Group manages various sector-focused portfolios including financial services, biotechnology and utilities.

The Franklin Equity Group and the Franklin Fixed Income Group adopt a synergistic approach by leveraging on each other's research and analysis to provide a more comprehensive coverage of their respective areas.

Franklin Advisers Inc. has been managing collective investment schemes since 1985.

The regulatory authority is the U.S. Securities and Exchange Commission.

In the event of the insolvency of the Sub-Manager, the Manager may terminate the management agreement with the Sub-Manager in accordance with applicable laws. In such a situation, it is likely that the Manager would replace the Sub-Manager with another company within FRI.

Past performance of the Sub-Manager is not necessarily indicative of its future performance or of the Sub-Fund(s).

8.7 Registrar and Transfer Agent

The Manager has been appointed as the Registrar and Transfer Agent pursuant to the Management Agreement. Further information on the Registrar and Transfer Agent and the terms of its appointment may be found in paragraphs 8.2 "Manager" and 8.3 "General Responsibilities of the Manager" of this Prospectus. Investors should note that the Manager has not acted as a registrar and transfer agent for a collective investment scheme (whether in the form of a Tokenised Register or in a traditional form) and accordingly, there is no operating history by which to assess the Manager's performance in its capacity as a registrar and transfer agent of each Sub-Fund.

In the event that the Registrar and Transfer Agent is removed or its appointment shall otherwise terminate, the Directors shall appoint another corporation to act as the registrar and transfer agent of the Company and determine in their sole and absolute discretion whether to maintain or change the form in which the Register is maintained.

The Registrar and Transfer Agent has appointed Franklin Templeton International Services S. à r.l. ("**Service Provider**") to provide certain transfer agency services to the Sub-Fund(s) under the Registrar and Transfer Agent's guidance and review. For the avoidance of doubt, the fees of the Service Provider will not be borne by the Company and/or the Sub-Fund(s).

Tokenisation of Register of Members

The Constitution provides that Shares in respect of a Sub-Fund may be evidenced by an entry in the Register to be maintained by the Manager or one or more Transfer Agents in the form of transactional data via public blockchain networks represented by tokens on a distributed ledger plus certain Off-Chain Information. It is anticipated that the Register will be maintained by the Manager in its capacity as Registrar and Transfer Agent of the Company.

The Manager will rely on Benji by Franklin Templeton, a mobile application available through the Apple App Store and Google Play (the "**App**") or the Benji Institutional Web Portal, which uses blockchain technology, to perform its duties as the Registrar and Transfer Agent of the Company. In this respect, the Manager, in its capacity as Registrar and Transfer Agent of the Company, will maintain the Register via a proprietary blockchain-integrated system that utilises features of traditional book entry form and

one or more public blockchain network(s). The Company currently uses the Stellar¹ and XRP Ledger² public blockchain networks although other public blockchain networks may be made available subject to the Directors' approval.

The App and/or the Benji Institutional Web Portal provide an interface for the Registrar and Transfer Agent to record and manage all necessary transactions relating to the Register, including the allotment of Shares to investors, redemption of Shares by Shareholders, cancellation of Shares and transfers of Shares. The App and/or the Benji Institutional Web Portal will store the electronic data which comprises the Register in the form of (i) transactional data via public blockchain networks represented by tokens on a distributed ledger, as well as (ii) electronic records in computer servers or other data storage medium which are held outside of the blockchain network (i.e. "off-chain"), including information which links the wallet addresses of the entries on the distributed ledger to their real-world identities (the "**Off-Chain Information**", and a Register being maintained in such manner being a "**Tokenised Register**"). The division of electronic data which is stored on the distributed ledger and as Off-Chain Information is handled by the App and/or the Benji Institutional Web Portal and it is expected that personally identifiable information will generally be held as Off-Chain Information. Access to Benji by Franklin Templeton is provided through the App, the Benji Institutional Web Portal, and/or via an API and other access route may be provided from time to time. For the avoidance of doubt, written confirmations of entry will be issued to the Shareholders in lieu of share certificates in respect of the relevant Sub-Fund.

An investor may open an account on the App and/or the Benji Institutional Web Portal through the submission of an account application form. The investor will also create a user profile with a unique user ID and password for the purposes of logging into the App and/or the Benji Institutional Web Portal. Upon the acceptance of the account application form by the Company and/or the Manager, the Registrar and Transfer Agent will create a "blockchain wallet" on the investor's behalf. Each investor will be assigned a unique network blockchain address for their wallet and will be able to submit subscription, redemption and conversation requests via the App and/or the Benji Institutional Web Portal. Each Shareholder will also be able to view their holdings of Shares through the App or the Benji Institutional Web Portal as well as via "block explorer" tools.

The Company currently uses the Stellar and XRP Ledger public blockchain networks and the investors will hold their wallets on the Stellar or XRP Ledger public blockchain network. As the public blockchain networks are interoperable, the tokens held on a wallet on the Stellar blockchain may be transferred to the XRP Ledger (or vice versa). In the event of an authorised transfer of tokens from one public blockchain network to another, the electronic data comprising the Register which is stored on the public blockchain network is simply transferred from one network to another and no new Shares are created on the Register.

The blockchain(s) used by the Company and the Registrar and Transfer Agent will store the complete transaction history from the issuance of the Company's Shares, and the data on the blockchain(s) is available to the public. As a result, robust and transparent data, other than the Off-Chain Information, will be publicly available through one or more "block explorer" tools capable of displaying activity on the applicable blockchain network(s). Accordingly, the Shares' issuance and redemption data (though not

¹ The Stellar public blockchain network is a decentralised, fast, scalable and uniquely sustainable blockchain built for financial products and services. The Stellar blockchain uses the Stellar Consensus Protocol, a proof-of-agreement consensus mechanism, to reach consensus accurately record financial transactions. For more information on the Stellar public blockchain network, visit stellar.org/foundation.

² The XRP Ledger is a decentralized public blockchain built for business. The XRP Ledger uses the XRP Ledger Consensus Protocol to process and validate transactions. For more information on the XRP Ledger public blockchain network, visit xrpl.org.

a Shareholder's personal identifying information) is available to view by the public via block explorer tools.

The Constitution also provides that upon the transfer of a Share or issuance of a Share being recorded in the Tokenised Register, a notification in the form of an electronic record may be issued in lieu of hardcopy written confirmation, which will serve as the written confirmation of entry in the Register. Such notification may be automatically issued by the App and/or the Benji Institutional Web Portal, or may be issued (whether by the Manager, a Registrar and Transfer Agent or otherwise).

The Constitution further provides that the Directors shall have the power to close the Register and to change the form in which the Register is maintained. For example, the Directors may change the form of the Register from one maintained on the App and/or the Benji Institutional Web Portal in the form of transactional data via public blockchain networks represented by tokens on a distributed ledger plus Off-Chain Information, to another form of an on-chain record keeping solution, or to being maintained in a traditional form (maintained in an electronic file, database or server or in hardcopy), and vice versa.

While there shall only be one authoritative version of the Register for the purposes of the Variable Capital Companies Act, and while the Directors may determine or derecognise the authoritative version of the Register in their sole and absolute discretion, the Directors may determine to have additional non-authoritative versions of the Register for tracking, back up, operational or other purposes, noting that such non-authoritative versions shall not constitute the Register for the purposes of the Variable Capital Companies Act. For example, the Directors may determine in their sole and absolute discretion to maintain the Register in traditional form, which will be updated by tracking updates from a non-authoritative register maintained in a form similar to a Tokenised Register. The Directors may also determine in their sole and absolute discretion to maintain the Register in the form of a Tokenised Register, which will be updated by tracking updates from a non-authoritative register maintained in traditional form. In the event of any conflict between the information set out in different versions of the register (whether authoritative or non-authoritative), the Directors may determine in their sole and absolute discretion which version of the register is the authoritative version and to have all other versions treated as being non-authoritative.

Should the proprietary blockchain-integrated system on which the Tokenised Register is operated cease to function for any reason and/or become inaccessible to the Company, the Company would still have access to the electronic data comprising the Register. In response, the Directors may utilise another on-chain record keeping solution to maintain the Tokenised Register and/or exercise their power conferred by the Constitution to close the Register and to change the form in which the Register is maintained. In such a situation, appropriate alternative methods of interacting with the Company and the Registrar and Transfer Agent (including dealing arrangements) will be notified to investors in advance of such a change taking effect. Investors are also invited to contact the Company through the contact details in paragraph 28.4 of this Prospectus, or through its appointed agents or distributors, if applicable, for further information.

For the avoidance of doubt, while subject to change from time to time at the sole and absolute discretion of the Directors, it is currently contemplated that:

- (i) the Manager is appointed as the Registrar and Transfer Agent of the Company and the Sub-Fund(s);
- (ii) the information stored on the distributed ledger and the Off-Chain Information maintained on the App and/or the Benji Institutional Web Portal will collectively constitute the Tokenised Register;
- (iii) in order for the Registrar and Transfer Agent to render the Tokenised Register into a perceivable form, it will do so by accessing the App and/or the Benji Institutional Web Portal and retrieving the information from the distributed ledger (including information on the

current Members) and combining it with the Off-Chain Information so as to render the Register in a perceivable form;

- (iv) the transfer of a Share from one person to another will, subject to the delivery of a suitable instrument of transfer, the approval of the Directors, and other procedural requirements, be reflected in the Tokenised Register by way of adding an appropriate instruction to a subsequent block on the distributed ledger, resulting in the Tokenised Register reflecting the new owner of the Share; and
- (v) an individual entry on the Tokenised Register evidences the holder of the corresponding Share.

8.8 Auditors

The auditors of the Company are PricewaterhouseCoopers LLP whose registered address is at 7 Straits View, Marina One, East Tower, Level 12, Singapore 018936.

8.9 Custodian

The Custodian is DB International Trust (Singapore) Limited. The Custodian is approved by the MAS under Section 289 of the SFA and is regulated in Singapore by the MAS.

The Company has appointed the Custodian as the global custodian to provide custodial services to the Company and the Sub-Fund(s) globally and will hold such property of the Sub-Fund(s) where such property is capable of being held in custody by the Custodian. The Custodian is entitled to appoint sub custodians to perform any of the Custodian's duties in specific jurisdictions where the Company and/or the Sub-Fund(s) invest. In respect of markets for which it uses the services of sub-custodians, the Custodian shall assess the suitability of such party and exercise due skill, care and diligence in selecting and appointing such party.

The criteria upon which a sub-custodian is appointed is pursuant to all relevant governing laws and regulations and subject to satisfying all requirements of the Custodian in its capacity as global custodian. Such criteria may be subject to change from time to time and may include factors such as the financial strength, reputation in the market, systems capability, operational and technical expertise, clear commitment to the custody business, adoption of international standards etc. All sub-custodians appointed will, if required by the law applicable to them, be licensed and regulated under applicable law to carry out the relevant financial activities in the relevant jurisdiction. The Custodian will provide custodial services in respect of the property of the Sub-Fund(s) until its appointment is terminated in accordance with the terms of its appointment. If the Custodian goes into liquidation (except a voluntary liquidation for the purpose of reconstruction or amalgamation upon the terms previously approved in writing by the Company) or a receiver shall be appointed over any of its assets or if a liquidator or judicial manager is appointed in respect of the Custodian, the Company may by notice in writing to the Custodian terminate the appointment of the Custodian in accordance with the custody agreement between the Company and the Custodian.

8.10 Fund Administrator

Deutsche Bank AG, Singapore Branch has been appointed as the fund administrator of the Company in respect of the Sub-Fund(s) (the "**Fund Administrator**").

9. SOFT DOLLAR COMMISSIONS OR ARRANGEMENTS

The Manager and Sub-Manager shall be entitled to receive and enter into soft-dollar commissions/arrangements in respect of the Company and/or the Sub-Fund(s). The Manager and Sub-Manager will comply with applicable regulatory and industry standards on soft-dollars. The soft-dollar

commissions which the Manager and Sub-Manager may receive include specific advice as to the advisability of dealing in, or the value of any investments, research and advisory services, economic and political analyses, portfolio analyses including valuation and performance measurements, market analyses, data and quotation services, computer hardware and software or any other information facilities to the extent that they are used to support the investment decision making process, the giving of advice, or the conduct of research or analysis, and custodial service in relation to the investments managed for clients.

Soft-dollar commissions received shall not include travel, accommodation, entertainment, general administrative goods and services, general office equipment or premises, membership fees, employees' salaries or direct money payment.

The Manager and the Sub-Manager will not accept or enter into soft dollar commissions/arrangements unless such soft-dollar commissions/arrangements would, in the opinion of the Manager or the Sub-Manager (as the case may be), assist it in its management of the Company and/or the Sub-Fund(s), provided that it shall ensure at all times that best execution is carried out for the transactions, and that no unnecessary trades are entered into in order to qualify for such soft-dollar commissions/arrangements.

10. SUBSCRIPTION AND REDEMPTION

10.1 Subscription Procedures

Applications for Shares may be made to the Company through the Benji Institutional Web Portal, or through the Company's appointed agents or distributors or through any other sales channels, if applicable.

Investors should refer to the relevant Appendix for further information on the subscription procedure and the minimum subscriptions for using cash for each Sub-Fund.

Notwithstanding receipt of the application forms, the Directors shall retain the absolute discretion to accept or reject any application for Shares in accordance with the provisions of the Constitution. If an application for Shares is rejected by the Directors, the subscription monies shall be refunded (without interest) to the relevant investor within a reasonable time in such manner as the Company or its appointed agents or distributors shall determine.

Investors should note that subscription monies must be paid in the currency of denomination of the relevant Class of Shares. Any applicable bank and related charges incurred shall be borne by the investor.

Certificates will not be issued in respect of Shares in the Sub-Fund(s).

10.2 Initial Offer Price and Initial Offer Period

Where relevant, please refer to the relevant Appendix for information on the initial offer price and initial offer period of Shares in the Sub-Fund to which it relates.

10.3 Minimum Initial Subscription, Minimum Subsequent Subscription and Minimum Holding

For information on the minimum initial subscription, minimum subsequent subscription and minimum holding of each Sub-Fund, please refer to the relevant Appendix.

10.4 Dealing Deadline – Subscription

The Company may change the method of determining the Issue Price of a Share, and the Directors shall determine if the Shareholders should be informed of any such change.

Please refer to the relevant Appendix for information on the Dealing Deadline and Payment Deadline of each Sub-Fund.

An application for the subscription of Shares is treated as received and accepted on a Dealing Day if the application is received and accepted by the Company before the Dealing Deadline on that Dealing Day and the subscription monies in respect of the application are received in cleared funds in the relevant Sub-Fund's account before the Payment Deadline on that Dealing Day. In such case, the Shares will be issued at that Dealing Day's Issue Price.

In the event that any application for the subscription of Shares is received on a day which is not a Dealing Day or is received after the Dealing Deadline on a Dealing Day then the application will be deemed to have been received on the Dealing Day next following such receipt, provided that the Directors may agree to accept an application in respect of any Dealing Day which is received after the Dealing Deadline if it is received prior to the Valuation Point for the Valuation Day relating to the relevant Dealing Day.

Where payment in cleared funds in respect of any application for the subscription of Shares is not received by the Payment Deadline on the relevant Dealing Day, unless the Directors determine otherwise, the application shall be held over and deemed to be received on the Dealing Day on which the subscription monies are received in cleared funds by the Payment Deadline for that Dealing Day. For the avoidance of doubt, the Directors shall retain the absolute discretion to cancel any application for Shares (for example, in cases where subscription monies remain unpaid despite repeated reminders) and notice of such cancellation will be sent to you electronically.

10.5 Pricing Basis - Subscription

Please refer to the relevant Appendix for information on the pricing basis of each Sub-Fund in respect of subscription of shares.

The price per Share at which Shares of each Sub-Fund (or a Class of that Sub-Fund) shall be issued on any Dealing Day shall be the Issue Price, which shall be exclusive of any Subscription Fee and any Additional Amount. With the exception of Shares of a Sub-Fund (or any Class of that Sub-Fund) which are issued during the initial offer period for such Sub-Fund (or such Class of that Sub-Fund), the Issue Price of a Share of such Class on each relevant Dealing Day shall be the amount equal to the Net Asset Value per Share of such Class determined as at the Valuation Day coincident with or immediately preceding, as the case may be, the relevant Dealing Day. Where the resultant Issue Price is not an integral unit of the minimum unit of currency of denomination of the relevant Class of Shares, such amount shall be rounded to the nearest four decimal places (0.00005 being rounded up) or to such other truncation or rounding as the Directors may determine. The benefit of any rounding adjustments will accrue to the relevant Sub-Fund.

The Directors may require an applicant for Shares to pay, in addition to the Issue Price or the subscription proceeds and any Subscription Fee, a further amount (the “**Additional Amount**”) which the Directors reasonably consider represents an appropriate provision for (a) estimated bid/offer spread of the investments of the relevant Sub-Fund, (b) extraordinary transactional fees or expenses, including stamp duty, other taxes, brokerage, bank charges, transfer fees or registration fees, and (c) other charges which are customarily incurred in investing a sum equal to the subscription monies and issuing the relevant Shares or of delivery or issue of certificates in respect thereof or the remittance of money to the Company. Any such Additional Amount will be retained by or paid to the Company (as the case may be) and will form part of the Sub-Fund Assets of the relevant Sub-Fund or the relevant Class of

Shares and will not be applied to the issuance of Shares to the applicant. An applicant will be notified of any Additional Amount charged in the confirmation note issued in respect of an application for Shares.

If a Share is to be issued to a person resident outside Singapore, the Company shall be entitled to charge a further amount to the Issue Price thereof which is equal to the excess of the expenses actually incurred over the amount of expenses which would have been incurred if such person had been resident in Singapore.

10.6 Numerical example of how Shares are allotted

Please refer to the relevant Appendix for the numerical example of how Shares of the relevant Sub-Fund are allotted.

10.7 Confirmation of Purchase

A confirmation note detailing your investment amount and the number of Shares allocated to you in the Sub-Funds will be sent to you electronically within 10 Business Days from the date of issue of such Shares.

10.8 Cancellation of Shares

If you are subscribing for Shares in the Sub-Funds for the first time, subject to the Constitution and to the cancellation terms and conditions contained in the application form, you shall have the right to cancel your subscription of Shares within the Cancellation Period by providing notice in writing to the Company or its appointed agents or distributors in such form as the Directors may prescribe. Subject to the provisions of the Constitution, your Shares will be compulsorily redeemed and you will be paid cancellation proceeds determined as of the lower of the market value of the Shares held on the day of receipt and acceptance of such form or the original amount paid by you. Where the market value of the Shares held is greater than the original amount paid by you, the Company is not obliged to pay the excess amount to you and the excess amount shall be retained in the relevant Sub-Fund.

Full details relating to the cancellation of Shares may be found in the cancellation terms and conditions contained in the application form.

Any applicable bank and related charges incurred in cancellation and returning of proceeds will be borne by you out of the cancellation proceeds or the relevant Sub-Fund, as the Directors may determine.

10.9 Regular Savings Plan

A regular savings plan is not made available to investors in Singapore by the Company in respect of any Sub-Fund. The Company's appointed agents or distributors may, at their own discretion, offer regular savings arrangements for the benefit of investors in Singapore. Information on such regular savings arrangements, such as the minimum periodic constitutions, timing of the investment deduction and Share allocation, may be obtained from such appointed agents or distributors. The terms of such regular savings arrangements will provide that Shareholders may cease participation in such arrangements without suffering any penalty by giving written notice to the relevant appointed agent or distributor, provided that the required notice period is no longer than the period between the relevant Shareholder's regular subscriptions.

10.10 Redemption Procedures

Shareholders may realise their holdings in the Sub-Funds or Class (as the case may be) on any Dealing Day by submitting redemption requests to the Company through the Benji Institutional Web Portal or through its appointed agents or distributors, if applicable. Shareholders may realise their Shares in full

or partially, subject to paragraph 10.11 “Minimum Holding and Minimum Redemption Amount” of this Prospectus.

In the event that redemption requests are received for the redemption of Shares representing in aggregate more than ten per cent (or such higher percentage as the Directors may determine in respect of the Sub-Fund(s)) of the total number of Shares in a Sub-Fund then in issue, the Directors may reduce the requests rateably and pro rata amongst all Shareholders seeking to redeem Shares on the relevant Dealing Day and carry out only sufficient redemptions which, in aggregate, amount to ten per cent (or such higher percentage as the Directors may determine in respect of a Sub-Fund) of the Shares in the Sub-Fund then in issue. Shares which are not redeemed but which would otherwise have been redeemed will be redeemed on the next Dealing Day (subject to further deferral if the deferred requests in respect of the relevant Sub-Fund themselves exceed ten per cent (or such higher percentage as the Directors may determine in respect of that Sub-Fund) of the Shares in the relevant Sub-Fund then in issue) in priority to any other Shares in the relevant Sub-Fund for which redemption requests have been received. Shares will be redeemed at the Redemption Price prevailing on the Dealing Day on which they are redeemed.

10.11 Minimum Holding and Minimum Redemption Amount

Please refer to the relevant Appendix for information on the minimum holding and minimum redemption amount applicable to each Sub-Fund.

10.12 Dealing Deadline - Redemption

Where a redemption request is received on a day which is not a Dealing Day or is received after the Dealing Deadline on a Dealing Day, unless the Directors determine otherwise, that redemption request shall be held over and deemed to be received at the opening of business on the next following Dealing Day which shall be the relevant Dealing Day for the purposes of that redemption request. For valuation purposes, the relevant Valuation Point shall be the Valuation Point for the Valuation Day relating to the Dealing Day on which the redemption request is deemed to be received.

10.13 Pricing Basis - Redemption

Please refer to the relevant Appendix for information on the pricing basis of each Sub-Fund in respect of redemption of Shares.

The price per Share at which Shares shall be redeemed on any Dealing Day shall be the Redemption Price. The Redemption Price of a Share of a Sub-Fund (or any Class of that Sub-Fund) on each relevant Dealing Day shall be the amount equal to the Net Asset Value per Share of such Class determined as at the Valuation Day coincident with or immediately preceding, as the case may be, the relevant Dealing Day. Where the resultant Redemption Price is not an integral unit of the minimum unit of currency of denomination of the relevant Class of Shares, such amount shall be rounded to the nearest four decimal places (0.00005 being rounded up) or to such other truncation or rounding as the Directors may determine. The benefit of any rounding adjustments will accrue to the relevant Sub-Fund.

The Directors are entitled to deduct an Additional Amount from the redemption proceeds which the Directors reasonably consider represents an appropriate provision for (a) estimated bid/offer spread of the investments of the relevant Sub-Fund, (b) extraordinary transactional fees or expenses, including stamp duty, other taxes, brokerage, bank charges, transfer fees or registration fees, and (c) other charges which are customarily incurred in selling the Securities constituting the Sub-Fund Assets of the relevant Sub-Fund or the remittance of money to the Company. Any such Additional Amount will be retained by the Company on behalf of the relevant Sub-Fund and will form part of the Sub-Fund Assets of the relevant Sub-Fund or the relevant Class of Shares of that Sub-Fund. A Shareholder redeeming their Shares will be notified of any Additional Amount charged in the notification issued for the payment of redemption proceeds.

10.14 Numerical example of how the amount paid to you is calculated

Please refer to the relevant Appendix for the numerical example of how the net redemption proceeds are calculated for a Sub-Fund.

10.15 Payment of Redemption Proceeds

Redemption proceeds shall be paid within 7 Business Days of receipt and acceptance of the redemption request by us unless the redemption of Shares has been suspended in accordance with the Constitution.

If you are a resident outside Singapore, the Directors shall be entitled to deduct from the redemption proceeds an amount equal to the excess of the expenses actually incurred over the amount of expenses which would have been incurred if you had been resident in Singapore. Any applicable bank and related charges incurred in the payment of redemption proceeds shall be borne by you or the relevant Sub-Fund, as the Directors may determine.

10.16 Redemption of Shares by the Company

The Directors may compulsorily realise your holding of Shares in certain circumstances. Please see paragraph 20 “Restrictions on Shareholders” of this Prospectus for further details.

11. CONVERSION

Subject to the prior approval of the Directors either generally or in any particular case, a Shareholder shall be entitled to convert all or any of the Shares of any Class of Shares owned by such Shareholder (the “**Existing Class**”) into Shares of any other class of Shares, whether in respect of the same Sub-Fund or any other Sub-Fund (the “**New Class**”) in accordance with the provisions of the Constitution. The Directors may also permit Shareholders to convert Shares of the Existing Class for units/shares in any other fund managed by the Manager or its Connected Persons and which has been authorised by the MAS under Section 286 of the Securities and Futures Act 2001 (a “**Relevant Scheme**”). Any conversion shall be effected by way of redemption of Shares in the Existing Class and followed by subscription of Shares of the New Class or units/shares of the Relevant Scheme (as the case may be) subject to the terms of the relevant constitutive documents of the Relevant Scheme upon receipt of cleared funds.

No conversion of Shares may be made which would result in the relevant Shareholder holding in respect of either the Existing Class or the New Class or the Relevant Scheme (as the case may be), fewer shares than the relevant minimum holding of either the Existing Class or the New Class or the Relevant Scheme (as the case may be). If the number of Shares of the New Class or units/shares of the Relevant Scheme (as the case may be) so produced shall be rounded to the nearest seven decimal places (0.00000005 being rounded up).

Shares of the Existing Class subscribed for using cash may only be converted to Shares of the New Class or units/shares of the Relevant Scheme (as the case may be) which are available for subscription using cash only.

Unless otherwise permitted by the Directors at their absolute discretion, conversion shall only be permitted between Shares of the Existing Class and Shares of the New Class or units/shares of the Relevant Scheme (i) if the relevant Shareholder meets the investor eligibility requirements for both the Existing Class and the New Class or Relevant Scheme (as the case may be); (ii) if the Existing Class and the New Class or the Relevant Scheme (as the case may be) are denominated in the same currency; and (iii) on a day which is both a Dealing Day in relation to the Existing Class and a Dealing Day in relation to the New Class or a dealing day in relation to the Relevant Scheme (as the case may be) (“**Common Dealing Day**”).

A conversion request may be submitted by a Shareholder through the Benji Institutional Web Portal, or through the Company's appointed agents or distributors or through any other sales channels, if applicable.

In order for a conversion request between the Existing Class and the New Class or the Relevant Scheme (as the case may be) to be effected on a Common Dealing Day, the conversion request must be received by the Company prior to the Dealing Deadline on a Common Dealing Day. If any conversion request is received by the Company after the applicable Dealing Deadline on a Common Dealing Day, unless the Directors determine otherwise, either generally or in any particular case, such conversion request shall be treated as having been received on the next following Common Dealing Day.

Shares shall not be converted during any period when the determination of the Net Asset Value of any relevant Sub-Fund or Class is suspended according to paragraph 13 "Suspension of Dealings" of this Prospectus. When the redemption of Shares of the Existing Class is limited according to paragraph 10.10 "Redemption Procedures" of this Prospectus, conversions shall be limited accordingly.

12. DETERMINATION OF NET ASSET VALUE

The Net Asset Value of each Sub-Fund will be determined by the Fund Administrator as at each Valuation Point applicable to the relevant Sub-Fund, which may be different from the close of any Market, by calculating the value of the assets of the relevant Sub-Fund and deducting the liabilities of the relevant Sub-Fund, in accordance with the terms of the Constitution.

Set out below is a summary of how the assets of the relevant Sub-Fund are valued, subject to the provisions of the Code:

- (a) Securities that are quoted, listed, traded or dealt in on any Market shall unless the Directors (in consultation with the Fund Administrator) determines that some other method is more appropriate, be valued by reference to the price appearing to the Company to be the official closing price or last known transacted price on the relevant Market, or, if there be no such official closing price or last known transacted price, the value shall be calculated by reference to the last traded price on a Market as the Directors may consider in the circumstances to provide fair criterion, provided that (i) if a Security is quoted or listed on more than one Market, the price of the Security shall be the relevant price quoted on the Market which, in the Directors' opinion, provides the principal market for such Security; (ii) if prices on that Market are not available at the relevant time, the value of the Securities shall be certified by such firm or institution making a market in such investment as may be appointed for such purpose by the Company; (iii) interest accrued on any interest-bearing Securities shall be taken into account, unless such interest is included in the quoted or listed price; and (iv) the Company and the Fund Administrator shall be entitled to use and rely on electronic price feeds from such source or sources as they may from time to time determine, notwithstanding that the prices so used are not the official closing prices or last traded prices as the case may be;
- (b) the value of each interest in any unlisted mutual fund corporation or Unit Trust shall be the latest available net asset value per share or unit in such mutual fund corporation or Unit Trust or if not available or appropriate, the last available bid or offer price for such unit, share or other interest;
- (c) except as provided for in paragraph (a)(iii) or (b), the value of any investment which is not listed, quoted or ordinarily dealt in on a Market shall be the initial value thereof equal to the amount calculated by reference to, where applicable, (i) the amount expended out of the relevant Sub-Fund in the acquisition of such investment (including, in each case the amount of stamp duties, commissions and other acquisition expenses); (ii) the price of such investment if it is a component in a recognised bond index; (iii) evaluated calculation from an independent market data provider; (iv) the mean of bid prices of such investment quoted by reputable institutions in the over-the-counter or telephone market at the official closing price in the relevant Market on which such

investment is traded; (v) the price of such investment quoted by any person, firm or institution making a market in that investment, if any (and if there shall be more than one such market maker then such particular market maker as the Directors may determine), provided that the Directors may at any time in consultation with the Fund Administrator and shall at such times or at such intervals as the Fund Administrator shall request cause a revaluation to be made by a professional person approved by the Fund Administrator as qualified to value such investments (which may, if the Fund Administrator agrees, be the Company);

- (d) cash, deposits and similar investments shall be valued at their face value (together with accrued interest) unless, in the opinion of the Directors in consultation with the Fund Administrator, any adjustment should be made to reflect the value thereof; and
- (e) notwithstanding the foregoing, the Directors in consultation with the Fund Administrator may adjust the value of any investment if, having regard to relevant circumstances, it determines that such adjustment is more appropriate to fairly reflect the value of the investment.

The Fund Administrator will perform any currency conversion at the rates which the Fund Administrator and the Company deem appropriate from time to time.

The Net Asset Value per Share of a Sub-Fund (or Class) as at a Dealing Day shall be the Net Asset Value of the relevant Sub-Fund (or Class) as at that Dealing Day divided by the number of Shares of the relevant Sub-Fund (or Class) in issue as at the Valuation Point on the relevant Dealing Day. Where the resultant Net Asset Value per Share of the relevant Sub-Fund (or Class) is not an integral unit of the minimum unit of class currency of the relevant Sub-Fund or the relevant Class of Shares, such amount shall be rounded to the nearest four decimal places (0.00005 being rounded up) or to such other truncation or rounding as the Company may determine. The resultant amount ((i) rounded to the nearest four decimal places (0.00005 being rounded up), or (ii) rounded down to such other number of decimal places or any other method of rounding determined by the Company) shall be the Net Asset Value per Share of the relevant Sub-Fund (or Class) on such Dealing Day.

The above is a summary of the key provisions of the Constitution with regard to how the various assets of the relevant Sub-Fund are valued.

The Directors may change the method of valuation of investments, and the Directors shall determine if the Members should be informed of any such change.

13. SUSPENSION OF DEALINGS

Subject to the provisions of the Code and applicable law, the Directors may at their discretion, suspend the subscription, conversion, cancellation and/or redemption of Shares and/or delay the payment of any monies and transfer of any Securities in respect of any redemption application, and declare a suspension of the determination of the Net Asset Value of a Sub-Fund in the following circumstances:

- (a) there exists any state of affairs prohibiting the normal disposal and/or purchase of the Sub-Fund's investments;
- (b) circumstances exist as a result of which, in the opinion of the Directors, it is not reasonably practicable to realise any Securities held or contracted for the account of that Sub-Fund or it is not possible to do so without seriously prejudicing the interest of Shareholders of that Sub-Fund;
- (c) there is a breakdown in the means normally employed in determining the Net Asset Value of the relevant Sub-Fund or the Net Asset Value per Share of the relevant Class or when for any other reason the Value of any Securities or other asset in the Sub-Fund cannot, in the opinion of the Directors, reasonably, promptly and fairly be ascertained;

- (d) the remittance or repatriation of funds which will or may be involved in the realisation of, or in the payment for, any Securities or other property of that Sub-Fund or the subscription or redemption of Shares of the relevant Class is delayed or cannot, in the opinion of the Directors, be carried out promptly or at normal rates of exchange;
- (e) any 48 hours period (or such longer period as the Directors may determine) prior to the date of any meeting of Shareholders, or any adjourned meeting thereof;
- (f) during any period when the business operations of the Company, the Manager, the Custodian or delegate of the Company on which the Company relies to effect the subscription/redemption of Shares in the relevant Sub-Fund are substantially interrupted or closed as a result of or arising from pestilence, acts of war, terrorism, insurrection, revolution, civil unrest, riot, strikes or acts of God;
- (g) any period when the market value or fair value of a material portion of the Sub-Fund Assets of the relevant Sub-Fund cannot be determined;
- (h) during any period when the dealing of Shares is suspended pursuant to any order or direction issued by the MAS; or
- (i) during any circumstances as may be required under the provisions of the Code.

Subject to the provisions of the Code, a suspension of the determination of the Net Asset Value shall terminate upon the earlier of:

- (a) the Directors declaring the suspension is at an end; or
- (b) the first Dealing Day on which (i) the condition giving rise to the suspension has ceased to exist and (ii) no other condition under which suspension is authorised under the Constitution exists.

Subject to the Code, the Directors shall immediately notify Shareholders and the MAS whenever they declare such a suspension.

No Shares will be created or issued during any period of suspension. The Company may at any time by notice to the Shareholders and the MAS, suspend the issue of Shares if, as a result of the issue of such Shares, a Sub-Fund would breach a provision of the Code Guidelines, and the relevant provisions relating to suspension of the right of Shareholders to redeem Shares shall also apply in accordance with the provisions of the Constitution.

14. DISTRIBUTION POLICY

The Company will adopt a distribution policy for each Sub-Fund as set out in the relevant Appendix.

The Company may make distributions out of distributable income and/or the capital of the Sub-Fund. Distributions (whether out of income and/or capital) may have the effect of lowering the Net Asset Value of the Sub-Fund and this will be reflected in the Redemption Price of the Shares. Moreover, distributions out of capital may amount to a reduction of a Shareholder's original investment. Shareholders redeeming their Shares may therefore receive an amount less than their initial investment. Such distributions may also result in reduced future returns to Shareholders.

Distributions will only be paid to the extent that they are available for distribution pursuant to the Constitution. Distributions are not guaranteed and are subject at all times to the Company's discretion.

On a distribution, the Company, in accordance with the instructions of the Manager, will allocate the amount available for distribution and will pay such amount to the distributors who will in turn allocate

and make the necessary payment to the Shareholders based on the number of Shares held by each Shareholder on the distributors' record.

Amounts to be distributed in respect of each Share shall be rounded to the nearest two decimal places (0.005 being rounded up) in the relevant currency of denomination. Subject to the Constitution, any unclaimed distributions payable to a Shareholder may at the expiration of 6 years from the date upon which the same became payable be forfeited and will be held by the Company for the purpose of the relevant Sub-Fund (unless such Sub-Fund has been terminated in which case it will revert to the Company).

15. FEES, CHARGES AND EXPENSES

15.1 Management Fee

In consideration for its services to the Sub-Fund(s), the Manager is entitled to receive a management fee for each Sub-Fund, accrued daily and calculated as at each Dealing Day and payable monthly in arrears (the "**Management Fee**"). The current Management Fee percentage in respect of each Sub-Fund is set out in the relevant Appendix.

15.2 General Expenses

Any promotional expenses incurred by any marketing agents and any fees imposed by such marketing agents on their customers investing in a Sub-Fund will not be paid (either in whole or in part) out of the assets of the relevant Sub-Fund(s).

All the expenses incurred in connection with the convening of meetings of Shareholders and all other transactional costs and operating costs shall be paid out of the assets of the relevant Sub-Fund(s).

The legal fees and/or cost and expenses for the preparation of this Prospectus and any supplementary, replacement or updated prospectus, the Management Agreement and any supplementary, replacement or updated management agreement, product highlights sheets, reports and/or other statements to Shareholders will be borne by the relevant Sub-Fund(s).

15.3 Fees and Charges Payable by Investors

Please refer to the relevant Appendix for information on the fees and charges applicable to each Sub-Fund.

15.4 Fees and Charges Payable by a Sub-Fund

The fees and charges payable by a Sub-Fund are summarised as follows and are subject to the fee arrangement as specified in the relevant Appendix of a Sub-Fund:

Management Fee	As specified in the relevant Appendix of a Sub-Fund.
Custodian Fee	Up to 0.025% per annum of the Net Asset Value of a Sub-Fund (excluding transaction fees and the prevailing goods and services tax), subject to a minimum annual fee depending on the size of the relevant Sub-Fund.

Other fees and charges	Other fees and charges include, but is not limited to, fund administration and valuation fees, audit fees, accounting fees, licensing fees, corporate secretarial fees, legal fees, printing costs, out-of-pocket expenses and Directors' fees. Such fees and charges are subject to agreement with the relevant parties and may amount to or exceed 0.10% of the Net Asset Value of a Sub-Fund, depending on the proportion each fee or charge bears to the Net Asset Value of a Sub-Fund.
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16. REPORTS AND ACCOUNTS

The financial year-end of the Company is 31 December every year. Audited accounts and the annual report will be prepared and sent to Shareholders (whether by post or electronic means as permitted under the Code) within three months of each financial year-end (unless otherwise waived or permitted by the MAS). Semi-annual unaudited accounts and the semi-annual report will be prepared and sent to Shareholders (whether by post or electronic means as permitted under the Code) within two months of the end of the period covered by the relevant accounts and report (unless otherwise waived or permitted by the MAS). Printed copies of the audited accounts and annual report, semi-annual unaudited accounts and the semi-annual reports are not sent to Shareholders. Shareholders may obtain electronic copies of these accounts and reports from the Manager. However, Shareholders who would like to receive printed copies of the accounts and reports may submit the relevant request to the Manager. The Company will also make available, or cause to be made available, hardcopies of the accounts and reports to any Shareholder who requests for them within 2 weeks of any request from such Shareholder (or such other period as may be permitted by the MAS). The contents of the reports will comply with the requirements of the Code.

17. CONSTITUTION

The Company is established under Singapore law by the Constitution. All Shareholders are entitled to the benefit of, are bound by and are deemed to have notice of, the provisions of the Constitution. In the event of any conflict between any of the provisions of this Prospectus and those of the Constitution, the provisions of the Constitution shall prevail. The Constitution contains provisions for the indemnification of the Company's officers and providing relief from liability in certain circumstances. Shareholders and intending applicants are advised to consult the terms of the Constitution. All material amendments to the Constitution will be notified to Shareholders.

18. MODIFICATION OF CONSTITUTION

Subject to the Constitution, this Prospectus and the Variable Capital Companies Act, the Company may at any time and from time to time by Special Resolution alter or amend the Constitution in whole or in part.

Notwithstanding the above, the Directors may, without approval of the Shareholders, by Board Resolutions alter the following in the Constitution:

- (a) any alteration for the purpose of forming a Sub-Fund;
- (b) any alteration to reflect any appointment or change of the Manager;
- (c) any alteration that does not materially prejudice the interests of any Shareholder, and does not release to any material extent the Manager or any Director from any responsibility to the Shareholders;

- (d) any alteration that is necessary for the purpose of complying with any order of court, law, direction of a public authority, code of conduct or other quasi-legislation; and
- (e) the removal of an obsolete provision or the correction of any manifest error.

19. VOTING RIGHTS

Shareholders' meetings may be convened by the Directors or by Shareholders representing at least 10% of the Shares in issue, on not less than 21 calendar days' notice (exclusive of the date of the notice and the date of the meeting) in respect of a meeting where a Special Resolution is to be proposed and 14 calendar days' notice (exclusive of the date of the notice and the date of the meeting) in respect of a meeting where an Ordinary Resolution is to be proposed.

These meetings may be used to modify the terms of the Constitution, including to wind-up the Company or any Sub-Fund at any time. Subject to the Constitution, such amendments to the Constitution must be passed by Special Resolution. For meetings to pass Ordinary Resolutions, Shareholders will be given at least 14 calendar days' notice (exclusive of the date of the notice and the date of the meeting) of such meeting. For meetings to pass Special Resolutions, Shareholders will be given at least 21 calendar days' notice (exclusive of the date of the notice and the date of the meeting) of such meeting.

Shareholders should take note that voting arrangements will differ depending on the specific matter, as follows:

- (1) to the extent that a matter relates to the appointment and removal of any Director of the Company, only the holder of the Management Shares will be able to vote on the relevant resolution, and any potential conflicts of interest will be resolved in accordance with paragraph 22 "Conflicts of Interest" of this Prospectus;
- (2) to the extent that a matter relates to the variation of share rights of a particular Class of Shares, only holders of the Shares of the relevant Class will be able to vote on the relevant resolution. However, the Directors may vary the rights attaching to any Class without consent of the holders of such Shares provided that the rights will not, in the determination of the Directors, be materially adversely varied or abrogated by such variation;
- (3) to the extent that a matter in question relates to a specific Sub-Fund, the Shareholders of the specific Sub-Fund (who are entitled to vote) and the holder of the Management Shares will be voting on such matter; and
- (4) to the extent that a matter in question relates to the Company, the Shareholders of all Sub-Fund(s) (who are entitled to vote) and the holder of the Management Shares will be voting on such matter.

The Directors, the Manager, the Custodian and any of their Connected Persons are prohibited from voting their beneficially owned Shares at, or counted in the quorum for, the meeting at which they have a material interest (including, for the avoidance of doubt, interested party transactions) in the business to be contracted.

20. RESTRICTIONS ON SHAREHOLDERS

Every person purchasing Shares will be deemed to have represented, agreed and acknowledged that it is not an Unauthorised U.S. Person.

The Directors shall have the power to impose such restrictions as it may think necessary for the purpose of ensuring that no Shares are owned directly or beneficially by any person: -

- in breach of the law or requirements of any country, any governmental authority or any stock exchange on which the Shares are listed;
- in circumstances (whether directly or indirectly affecting such person and whether taken alone or in conjunction with any other persons, connected or not, or any other circumstances appearing to the Directors to be relevant) which in their opinion might result in the Sub-Fund in relation to such Class of Shares, the Company, the Directors, any service provider and/or other Shareholders incurring any liability to taxation or suffering any other potential or actual pecuniary disadvantage or would subject the Company, the relevant Sub-Fund or any service provider to any regulatory compliance which the Company, the relevant Sub-Fund, the Directors, any service provider and/or other Shareholders might not otherwise have incurred or suffered; or
- any person in breach of, or reasonably deemed by the Directors to be in breach of, any applicable anti-money laundering or FATCA or identification verification or national status or residency requirements imposed on him (whether under the terms of any underlying investment arrangement or otherwise) including without limitation the issue of any warranty or supporting document required to be given to the Company or the Registrar and Transfer Agent.

If it shall come to the notice of the Directors that any Shares are owned directly, indirectly or beneficially by any person in contravention of any such restrictions as are referred to in the Constitution, the Directors may give notice to such person requiring him to transfer such Shares to a person who would not thereby be in contravention of any such restrictions as aforesaid or take such other actions as they reasonably believe are required by applicable laws and regulations. If any person upon whom such a notice is served pursuant to the Constitution does not within 30 days after such notice transfer such Shares as aforesaid or establish to the reasonable satisfaction of the Directors (whose judgment shall be final and binding) that such Shares are not held in contravention of any such restrictions he shall be deemed to have given a redemption request in respect of all such Shares pursuant to the provisions of the constitution.

A person who becomes aware that he is holding or owning Shares in contravention of any such restrictions as are referred to in the Constitution shall either transfer all such Shares to a person who would not thereby be in contravention of any such restrictions as aforesaid or request in writing the redemption of all such Shares pursuant to the provisions of the Constitution.

The Directors may at any time and from to time, by notice in writing, call upon any person holding directly or beneficially any Shares to provide to the Directors such information and evidence as they shall require upon any matter concerned with or in relation to such person's holding of or interest in, or the ultimate beneficial owners of (or intermediate holders or owners of), the Shares. The exercise by the Directors of the powers conferred by the Constitution shall not be questioned or invalidated in any case on the ground that there was insufficient evidence of ownership of Shares by any person or that the true ownership of any Shares was otherwise than appeared to the Directors at the relevant date, provided that the said powers shall have been exercised in good faith. Save where the Directors is found by a court of competent jurisdiction that it has been fraudulent, in wilful default or negligent, the Directors shall have no liability whatsoever to any person for any special, direct, indirect, consequential or any other damages (including lost profits) on account of anything done or omitted by the Directors in exercising its duties and right to restrict or prevent ownership of Shares by an Unauthorised U.S. Person or any person falling under the relevant provisions of the Constitution.

21. TRANSFER OF SHARES

Subject to the Constitution, Shares held by Shareholders may be transferred by a duly executed instrument via the App or the Benji Institutional Web Portal or in any other form which the Directors may approve, including an electronic record.

The transferor shall be deemed to remain the Shareholder of the Shares transferred until such time as the name of the transferee is entered in the Register pursuant to the transfer.

22. CONFLICTS OF INTEREST

- (a) The following inherent or potential conflicts of interest should be considered by prospective investors before investing in the Company. Where any potential conflict of interest arises, the Directors and the Manager will endeavour to ensure that any such conflict is resolved in a fair and equitable manner and in the best interest of the Company and its Shareholders. The Directors, the Fund Administrator, the Custodian, the Manager, the Sub-Manager and other service providers or their respective agents, delegates or associated parties may engage in or possess an interest in other business ventures of every kind and description, including (i) investments for their own account in securities held by the Company from time to time; or (ii) investment advisory or supervisory services with respect to securities or other types of financial investments. Each of the parties will ensure that the performance of their respective duties will not be impaired by any such involvement. If a conflict of interest does arise, the parties will endeavour to ensure that it is resolved fairly and equitably and in the interest of the Company or the relevant Sub-Fund(s). Moreover, each of them will devote to the Company or the relevant Sub-Fund(s), as the case may be, only so much of their time as they deem necessary or appropriate in connection with the activities of the Company or the relevant Sub-Fund(s) (as the case may be).
- (b) The Directors, the Fund Administrator, the Custodian, the Manager and the Sub-Manager may from time to time act as directors, administrator, registrar and transfer agent, secretary, custodian, cash custodian, manager, sub-manager or investment adviser or carry out other functions as may be required from time to time in relation to, or be otherwise involved in or with, other funds and clients which have similar investment objectives to those of the Company or the relevant Sub-Fund(s). Any of them may, in the course of business, have potential conflicts of interest with the Company or the relevant Sub-Fund(s). Each will, at all times give due regard in such event to its obligations to the Company and the relevant Sub-Fund(s) and will endeavour to ensure that such conflicts are resolved fairly. To the extent that there are similar investment objectives, the Manager will, as far as practicable, endeavour to have the same Securities holdings for such overlapping areas with such Securities allocated on a fair and equitable basis among the relevant funds. The Fund Administrator will act in accordance with the standard of care applicable to a professional administrator for hire providing equivalent services to companies such as the Company.
- (c) The Directors, the Fund Administrator, the Custodian, the Manager and the Sub-Manager and their respective affiliates, delegates and their key personnel may, in certain circumstances, take positions in accounts of other clients opposite to those taken in relation to a Sub-Fund and/or take positions in accounts of other clients which involve conflicts or potential conflicts with positions taken by such Sub-Fund. These positions could adversely affect the performance of investments held by a Sub-Fund. Subject to the investment strategy adopted by a Sub-Fund as specified in the relevant Appendix, the Manager and/or the Sub-Manager may also decline to make an investment for a Sub-Fund out of concern that such investment might harm another client of the Manager, the Sub-Manager, the Directors or any of their respective affiliates or key personnel.
- (d) To the extent permitted by applicable law, the Manager, the Sub-Manager and/or any of their affiliates or delegates may have a monetary or non-monetary interest in the transactions and/or a potential conflict of interest including the fact that the Manager, the Sub-Manager and/or their affiliates or delegates may provide services to other parties in the same transactions and in turn earn profits from such services, including without limitation, investment management and advisory services, brokerage services, marketing services, providing research reports, consultancy services, acting in the same transactions as agent for more than one customer, and

none of the Manager, the Sub-Manager and their affiliates and delegates shall be liable to account for any profits earned from any aforementioned transactions, provided that such transactions are conducted on an arm's length basis.

- (e) Without limiting the generality of the forgoing paragraph (d), to the extent permitted by applicable law and the Code, the Manager and/or Sub-Manager may enter into portfolio transactions for or with the Company (for the purpose of a Sub-Fund) either as agent, in which case it may receive and retain brokerage commissions, or as principal with the Company (for the purpose of a Sub-Fund) provided that such transactions are carried out as if effected on normal commercial terms negotiated on an arm's length basis, consistent with best execution standards and subject to such commissions being charged at rates which do not exceed customary full service brokerage rates.
- (f) The Manager may share with any other person (including, but not limited to, any investor or any person introducing investors) any fees and other benefits to which it is entitled to receive from the Company or a Sub-Fund. The Manager and any person connected with it, including any shareholder, director, officer and employee of the Manager or its associated companies, may invest in a Sub-Fund, and the Manager may allow to any such person a reduction or rebate of any fees to which the Manager is entitled.
- (g) The Manager and/or the Sub-Manager may manage other funds and/or accounts and will remain free to provide such services to additional funds and accounts, including for their own accounts, in the future. The Manager and/or the Sub-Manager may vary the investment strategies employed on behalf of a Sub-Fund from those used for itself and/or for other clients. No assurance is given that the results of the trading by the Manager and/or the Sub-Manager on behalf of a Sub-Fund will be similar to that of other funds and/or accounts concurrently managed by the Manager and/or the Sub-Manager. It is possible that such funds and accounts and any additional funds and accounts to which the Manager and/or the Sub-Manager in the future provides such services may compete with a Sub-Fund for the same or similar positions in the markets. Where the Manager and/or the Sub-Manager are managing or advising other funds or accounts with similar investment policies to a Sub-Fund, they will ensure that appropriate investment opportunities are allocated on a fair and equitable basis between the Sub-Fund and such other funds or accounts.
- (h) The Directors may also hold or may assume directorships or equivalent positions in other funds or entities (including the Manager's and/or the Sub-Manager's related corporations). Therefore, they may be put in a position where their duties to act in the best interests of the funds or entities in which they hold directorships (or equivalent positions) may conflict. In dealing with any potential conflicts of interest, the Directors are obliged to act in the best interest of the Company and each Sub-Fund, pursuant to their duties imposed by the Variable Capital Companies Act as well as any other duties mandated by common law. The Directors will ensure that the performance of their respective duties will not be impaired by any such involvement and that any such activities will be conducted on an arm's length basis. If a conflict of interest does arise, the Directors will endeavour to ensure that it is resolved fairly and in the interest of the Shareholders.
- (i) A Director may be a party to, or otherwise interested in, any transaction or arrangement with a Sub-Fund, or in which a Sub-Fund is otherwise interested. The Director will not be liable to account to a Sub-Fund for any profit he derives from such a transaction or arrangement provided the nature and extent of any material interest has been disclosed to the other Directors and that the Director acts in the best interest of a Sub-Fund, pursuant to the duties imposed by the Variable Capital Companies Act as well as any other duties mandated by common law. Save as disclosed in this Prospectus, no Director has any interest, direct or indirect, in the promotion of, or in any assets which are proposed to be acquired, disposed of by or leased to, a Sub-Fund. Save as disclosed in this Prospectus, no Director has a material interest in any contract or arrangement entered into by a Sub-Fund which is unusual in nature or conditions or significant

in relation to the business of such Sub-Fund, nor has any Director had such an interest since the Company was incorporated. To the extent that a Director has a personal material interest in any contract or arrangement directly or indirectly, such Director may not vote on such contract or arrangement.

- (j) The Fund Administrator, the Custodian and/or their respective Connected Persons may contract with or enter into any financial banking or other transaction with the Company (for the purpose of a Sub-Fund), any Shareholder or any company or body whose assets are held by or on behalf of the Sub-Fund. The Fund Administrator, the Custodian and/or their respective Connected Persons may deal, as principal or agent, with the Company (for the purpose of a Sub-Fund) if such dealings are carried out as if effected on normal commercial terms negotiated on an arm's length basis. In addition, any of the foregoing may own Shares and hold, dispose or otherwise deal with the Shares as well as hold or deal in any investments notwithstanding that similar investments may be held by or on behalf of the Sub-Fund. The Fund Administrator, the Custodian and their respective Connected Persons shall not be liable to account to any person for any profits or benefits made or derived by them in connection with any such transaction.
- (k) The Directors, the Manager, the Sub-Manager and its associated companies may, from time to time, acting on an arm's length basis, receive fees from portfolio companies for structuring, negotiating documentation, monitoring and administering of the facilities and securities of the portfolio companies.
- (l) Each Sub-Fund bears its own expenses. However, common expenses will be incurred on behalf of a Sub-Fund and one or more other clients. The Manager will seek to allocate those common expenses among the Sub-Fund(s) and the other clients in a manner that is fair and equitable over time. However, expense allocation decisions will involve potential conflicts of interest (e.g., conflicts relating to different expense arrangements with certain clients). The Manager may use a variety of methods to allocate common expenses among the Sub-Fund(s) and the other clients, including methods based on assets under management, relative use of a product or service, the nature or source of a product or service, the relative benefits derived by the Sub-Fund(s) and the other clients from a product or service, or other relevant factors. Nonetheless, because the Manager's expense allocations often depend on inherently subjective determinations, the portion of a common expense that the Manager allocates to the Sub-Fund(s) for a particular product or service may not reflect the relative benefit derived by such Sub-Fund(s) from that product or service in any particular instance.
- (m) In respect of voting rights relating to any Securities where the Manager may face a conflict between its own interest and that of the Shareholders, the Manager shall cause such voting rights to be exercised in consultation with the Directors.
- (n) Only Franklin Templeton Capital Holdings Private Limited, who is the sole shareholder of the Manager, may vote (by virtue of being the holder of the Management Shares) on the appointment and removal of the Directors in accordance with the Constitution while the Company acting through its Directors may terminate the appointment of the Manager in accordance with the Management Agreement. These matters do not require and are not subject to the approval of holders of Participating Shares. Nonetheless, should the Directors fail to terminate the appointment of the Manager, the Company may still do so in accordance with the Management Agreement by way of the holders of Participating Shares requisitioning a general meeting of the Company and passing a Special Resolution in accordance with the Constitution and the Variable Capital Companies Act. Approval of the holders of Participating Shares by Special Resolution is also necessary in order for the Company to appoint another corporation to act as the manager of the Company in the event that the Manager shall retire or be removed or its appointment shall otherwise terminate.

23. REMOVAL OF THE MANAGER

The Management Agreement shall continue and remain in force unless and until terminated by either the Company or the Manager, as the case may be, giving to the other party not less than 90 calendar days' written notice, provided that the Management Agreement may be terminated without delay by notice in writing by the Company if the Manager shall:-

- (a) commit any material breach of its obligations under the Management Agreement and if such breach is capable of being made good, shall fail to make good such breach within 30 calendar days of receipt of written notice from the Company requiring it so to do; or
- (b) be liquidated or dissolved (except a voluntary liquidation or a voluntary dissolution for the purposes of reconstruction or amalgamation upon terms previously approved in writing by the Company) or be unable to pay its debts as they fall due or commit any act of bankruptcy under the laws of any jurisdiction to which the Manager may be subject or if a receiver is appointed over any of its assets.

The Company may terminate the Management Agreement forthwith by notice in writing if:-

- (a) it appears to the Company that the Manager is not performing its duties under the Management Agreement effectively or in compliance with any applicable laws, regulations and/or regulatory requirements; or
- (b) it is directed by the MAS to remove the Manager.

In the event that the Manager be removed or its appointment shall otherwise terminate, the Directors shall appoint another corporation to act as the manager of the Company which is approved by the Shareholders by Special Resolution to be the manager in place of the Manager being removed on or before the expiry of any period of notice of such removal.

24. RETIREMENT OF THE MANAGER

The Manager shall have power to retire in favour of a corporation selected by the Manager and approved by the Company and upon payment to the Company of all sums due by the retiring Manager to the Company under the Management Agreement at the date thereof the retiring Manager shall be absolved and released from all further obligations under the Management Agreement and the Constitution but without prejudice to the rights of the Company in respect of any act or omission prior to such retirement.

In the event that the Manager shall retire, the Directors shall appoint another corporation to act as the manager of the Company which is approved by the Shareholders by Special Resolution to be the manager in place of the Manager so retiring on or before the expiry of any period of notice of such retirement.

25. LIABILITY AND INDEMNITY OF MANAGER

The Management Agreement contains the duties and responsibilities of the Manager. It requires amongst others, that the Manager use its best endeavours to: (a) carry on and conduct the business of the Company for the purpose of each Sub-Fund in a proper and efficient manner; and (b) ensure that each Sub-Fund is carried on and conducted in a proper and efficient manner.

The Manager shall not be exempted from any liability to the Company for losses to the Company due to the Manager's gross negligence, wilful default or fraud or that of any of its officers or employees, nor may the Manager be indemnified against such liability by the Company. The Management Agreement

includes certain exclusions of liability and indemnities in favour of the Manager, other than in respect of the Manager's gross negligence, wilful default or fraud.

26. TERMINATION

26.1 Termination of the Company and Sub-Fund(s)

The Company and each of its Sub-Fund(s) may be terminated by the Directors in their absolute discretion by notice in writing to the Shareholders if:

- (a) after one calendar year from the date of establishment of each Sub-Fund, the aggregate Net Asset Value of all the Shares in each Sub-Fund outstanding hereunder shall be less than US\$10 million provided that one month's prior written notice is given to the Shareholders;
- (b) the Directors provide prior notice of termination of the Company in accordance with paragraph 26.3 "Notice of Termination" of this Prospectus; or
- (c) any law or regulation is passed or amended or any regulatory directive or order is imposed that affects the Company and which renders the Company illegal, impracticable or inadvisable in the good faith opinion of the Directors to continue.

26.2 Termination of the Sub-Fund or Class of Shares

One or more Sub-Fund(s) and/or Classes of Shares may be terminated by the Directors in their absolute discretion by notice in writing to the relevant Shareholders if:

- (a) after one calendar year from the date of establishment of the relevant Sub-Fund or any Class of Shares, the aggregate Net Asset Value of all the Shares in the relevant Sub-Fund or any Class of Shares outstanding hereunder shall be less than US\$10 million provided that one month's prior written notice is given to the relevant Shareholders;
- (b) the Directors provide prior notice of termination of the relevant Sub-Fund or Class of Shares in accordance with paragraph 26.3 "Notice of Termination" of this Prospectus;
- (c) any law or regulation shall be passed or amended or any regulatory directive or order is imposed that affects a Sub-Fund and which renders such Sub-Fund illegal, impracticable or inadvisable in the good faith opinion of the Directors to continue;
- (d) the MAS revokes or withdraws the authorisation of the Sub-Fund under the Securities and Futures Act 2001; or
- (e) the Manager is unable to implement its investment strategy in respect of the relevant Sub-Fund.

26.3 Notice of Termination

The Directors shall give notice of termination to the relevant Shareholders and by such notice fix the date at which such termination is to take effect which date shall not be less than three months after the service of such notice (unless otherwise stated).

26.4 Effect of Termination

Upon the Company, any Sub-Fund or any Class being terminated:

- (a) no redemption application or redemption request may be submitted in respect of the Company, the relevant Sub-Fund or the relevant Class;

- (b) the Manager shall arrange the sale of all investments then comprised in each Sub-Fund and/or Class being terminated and such sale shall be carried out and completed in such manner and within such period as the Manager shall consider advisable except in the event that circumstances exist as a result of which, in the sole opinion of the Manager, it is not reasonably practicable to realise all the investments comprised in the relevant Sub-Fund and/or Class; and
- (c) Participating Shares of each Sub-Fund or each Class being terminated shall be compulsorily redeemed on a date determined by the Directors and the Company shall pay (in cash or in specie, as may be determined by the Directors, provided that no Member will be required to accept the distribution to him of any assets in specie without his written consent) to each holder of Participating Shares the Redemption Price in respect of the redeemed Participating Share (after deducting any additional amounts pursuant to the Constitution) and following the effective date of such compulsory redemption such Member shall only have the right to receive the Redemption Price and the right to receive any declared but unpaid dividends.

27. TAXATION

The following summary of certain principal Singapore income tax consequences applicable to the Sub-Fund(s) is based upon the proposed conduct of the activities to be carried out by the Sub-Fund(s), the Company and the Manager as described in this Prospectus. The following summary does not constitute legal or tax advice and does not address non-Singapore withholding taxes or other taxes that may be applicable to the income and gains derived from the investments of the Sub-Fund(s). The comments in this summary could be adversely affected if any of the material facts on which they are based should prove to be inaccurate.

The summary is based on the existing provisions of the relevant Singapore income tax laws and the regulations thereunder, the circulars issued by the MAS and practices and interpretation of such income tax laws in effect as of the date hereof, all of which are subject to change and differing interpretations at any time, either on a prospective or retrospective basis. Any such changes could adversely affect the summary herein. The summary does not purport to be comprehensive.

In addition, the comments herein are not binding on the Singapore tax authorities and there can be no assurance that the authorities will not take a position contrary to any of the comments herein. The summary is not intended to constitute a complete analysis of all the tax considerations relating to investment in the Shares. It is emphasised that none of the Sub-Fund(s), the Company, the Manager or any other persons involved in the preparation of the Prospectus accepts responsibility for any tax effects or liabilities resulting from the purchase, ownership or disposition of the Shares. Prospective investors should consult their own tax advisers concerning the tax consequences of their particular situations.

Singapore Income Tax

Singapore income tax is imposed on income accruing in or derived from Singapore and on foreign-sourced income received or considered to be received in Singapore, unless otherwise exempted under the Income Tax Act 1947 ("**SITA**"). The prevailing corporate income tax rate is 17%.

Foreign income in the form of branch profits, dividends and service fee income received or considered to be received in Singapore by a Singapore tax resident company may however be exempted from Singapore income tax subject to meeting certain prescribed qualifying conditions.

Gain on Disposal of Investments

Singapore does not impose tax on capital gains. However, depending on the specific facts and circumstances surrounding the acquisition and divestment of investments, gains from the disposal of investments may be construed to be of an income nature and subject to Singapore income tax.

Generally, gains on disposal of investments are considered income in nature and sourced in Singapore if they arise from or are otherwise connected with the activities of a trade or business carried on in Singapore.

As the investments and divestments of assets of the Company (including the Sub-Funds) are managed by the Manager in Singapore, the Company (and the Sub-Funds) may be construed to be carrying on activities of a trade or business in Singapore. Accordingly, the income and gains derived by the Company (and the Sub-Funds) may be considered income accruing in or derived from Singapore and subject to Singapore income tax, unless the income of the Company (and the Sub-Funds) is exempted from Singapore income tax.

The Singapore Resident Fund Scheme

The Company will be seeking approval to be an “approved company” under Section 13O of the SITA and the Income Tax (Exemption of Income of Approved Companies Arising from Funds Managed by Fund Manager in Singapore) Regulations 2010 (the “Regulations”) (collectively referred to as the “SRF Scheme”).

Under the SRF Scheme, “specified income” derived from “designated investments” by an “approved company” is exempt from income tax in Singapore, if the “approved company” is managed by a fund manager in Singapore and certain prescribed conditions are met.

A “fund manager” for the purpose of the SRF Scheme means a company holding a capital markets services licence under the Securities and Futures Act 2001 (“**the Act**”) for fund management or one that is exempt under the Act from holding such a licence. The Manager holds a capital markets services licence for fund management under the Act.

Unless excluded, all income and gains derived by an approved company from “designated investments” will be considered “specified income”. Excluded income or gains are defined to be³:

- 1) distributions made by a trustee of a real estate investment trust⁴ that is listed on the Singapore Exchange;
- 2) distributions made by a trustee of a trust who is resident of Singapore or a permanent establishment in Singapore, other than a trust that enjoys tax exemption under Sections 13D, 13F, 13L or 13U of the SITA;
- 3) income or gain derived or deemed to be derived from Singapore from a publicly traded partnership and/or non-publicly traded partnership, where tax is paid or payable in Singapore on such income of the partnership by deduction or otherwise; and
- 4) income or gain derived or deemed to be derived from Singapore from a limited liability company, where tax is paid or payable in Singapore on such income of the limited liability company by deduction or otherwise.

³ This is based on the details of the changes set out in the circular issued by the MAS titled “Tax Incentive Schemes for Funds (FAQs and Update to Designated Investments)” (Circular No.: FDD Cir 05/2022) dated 19 September 2022, which have not been legislated yet.

⁴ As defined in Section 43(10) of the SITA, which is a trust constituted as a collective investment scheme authorised under Section 286 of the Securities and Futures Act and listed on the Singapore Exchange, and that invests or proposes to invest in immovable property and immovable property-related assets.

“Designated investments” is defined to mean, among others, the following⁵:

- 1) stocks and shares of any company, other than an unlisted company that is in the business of trading or holding of Singapore immovable properties (other than one that is in the business of property development);
- 2) debt securities (i.e. bonds, notes, commercial papers, treasury bills and certificates of deposits), other than non-qualifying debt securities⁶ issued by an unlisted company that is in the business of trading or holding of Singapore immovable properties (other than one that is in the business of property development);
- 3) futures contracts held in any future exchanges;
- 4) deposits placed with any financial institution;
- 5) foreign exchange transactions; and
- 6) interest rate or currency contracts on a forward basis, interest rate or currency options, interest rate or currency swaps, and financial derivatives⁷ relating to any designated investment specified in this list or financial index.

It cannot be guaranteed that all income and gains will fall within the definitions of “specified income” and “designated investments” or that all the conditions of the SRF Scheme will be met on an ongoing basis. Upon any such disqualification, income or gains derived by the Sub-Fund(s) may be exposed to Singapore tax at the prevailing corporate tax rate (currently 17%).

Certain Conditions to be met by the Company to be Approved for the SRF Scheme

As announced in the Singapore Budget 2024, there will be a revision in the economic criteria for the SRF scheme. Given that the details of the changes have not been released yet, the conditions set out below are based on the existing conditions of the SRF Scheme, which should be applicable at the time of application by the Company. To be approved as an “approved company” under the SRF Scheme, the Company must undertake to meet the conditions set out below. The following conditions should be applied at the Company level (and not the Sub-Fund level). The Company must:

- 1) be a company / variable capital company incorporated in Singapore;
- 2) be a tax resident of Singapore where (a) the control and management of its business is exercised in Singapore and (b) meetings of its board of directors are held in Singapore;
- 3) be managed or advised directly throughout each basis period relating to any year of assessment by a Fund Management Company (“FMC”) in Singapore, where the FMC must hold a capital

⁵ This is based on the details of the changes set out in the circular issued by the MAS titled “Tax Incentive Schemes for Funds (FAQs and Update to Designated Investments)” (Circular No.: FDD Cir 05/2022) dated 19 September 2022, which have not been legislated yet.

⁶ “Non-qualifying debt securities” refer to debt securities that do not enjoy the “Qualifying Debt Securities” tax status as defined under Section 13(16) of the SITA.

⁷ “Financial derivatives” means derivatives the payoffs of which are linked, whether in whole or in part, to the payoffs or performance of any financial assets, securities, financial instruments or indices, but excludes derivatives the payoffs of which are wholly linked to the payoffs or performance of commodities. The MAS has clarified in the circular titled “Tax Incentive Schemes for Funds (FAQs and Update to Designated Investments)” (Circular No.: FDD Cir 05/2022) dated 19 September 2022 that “financial derivatives” within the list of designated investments should only refer to financial derivatives relating to any designated investment or financial index.

markets services licence for the regulated activity of fund management under the Act or is exempt from the requirement to hold such a licence under the Act;

- 4) not be a company the income of which is derived from investments which have been transferred (other than by way of a sale on market terms and conditions) from a person carrying on a business in Singapore where the income derived by that person from those investments was not, or would not have been if not for their transfer, exempt from tax;
- 5) not be a person that was previously carrying on a business in Singapore, where that business in Singapore generated income that would not have been tax-exempted⁸;
- 6) incur at least S\$200,000 spending⁹ in each basis period relating to any year of assessment;
- 7) use a Singapore-based fund administrator;
- 8) not change its investment objective / strategy¹⁰ after being approved for the SRF Scheme, unless otherwise approved;
- 9) not concurrently enjoy other tax incentive schemes;
- 10) commit to provide the relevant authority with such other information as such authority may reasonably require;
- 11) satisfy such other conditions that may be specified in the approval letter; and
- 12) does not use the fund vehicle to serve other investment purposes apart from what it is approved for under the SRF Scheme.

The conditions above will have to be fulfilled by the Company throughout the term of its fund life. In the event that the "approved company" fails to satisfy any of the above conditions for any basis period, the "approved company" (i.e. all the sub-funds in the umbrella VCC) will not enjoy the tax exemption on "specified income" derived from "designated investments" for the basis period concerned. It can, however, continue to enjoy the tax exemption in any subsequent basis period, if it is able to satisfy the conditions in that subsequent period.

The Manager will endeavour to conduct the affairs of the Company in such a way that it qualifies for the SRF Scheme and satisfies the qualifying conditions. There is, however, no assurance that the Manager will, on an on-going basis, be able to ensure that the Company meets all the qualifying conditions for SRF Scheme. Upon any such disqualification, the Company may be exposed to Singapore tax on its income and gains at the prevailing corporate tax rate.

⁸ Warehousing of investments, setting up of bank accounts in anticipation of commencing operations, and monies placed in deposits or money market instruments on a temporary basis before making this application are excluded (i.e. the stated scenarios will not contravene the said rule).

⁹ According to accounting principles. Expenses incurred should relate to the operating activities of the fund (as opposed to financing activities). Typical expenditure includes, but are not limited to, remuneration, management fees, tax advisory fees, and operating costs.

¹⁰ In the case of an umbrella variable capital company (VCC), it is pertinent that all the sub-funds meet the investment objective as stated in the approval letter for the SRF Scheme as any breach of the condition by one sub-fund would adversely impact the entire umbrella VCC (i.e. the entire umbrella VCC would not be able to enjoy tax exemption under the SRF Scheme).

Taxation of the investors

Investors of an approved company should note that under certain circumstances, they may be obliged to pay a penalty to the Comptroller of Income Tax (“CIT”), if they do not meet certain conditions (i.e. they are considered to be “Non-Qualifying Relevant Owners”). The following tests should be applied at the Company level and not at each sub-fund level.

An investor of an approved company (“Relevant Owner”) will be a Non-Qualifying Relevant Owner if the investor:

- 1) either alone or together with his associates¹¹, beneficially owns on the last day of the financial year of the approved company relating to the year of assessment (the “Relevant Day”), issued securities of the approved company the value of which is more than the prescribed percentage of the total value of all issued securities of the approved company on the Relevant Day. The “prescribed percentage” is 30% if the approved company has fewer than ten (10) Relevant Owners; and 50% if the approved company has at least ten (10) Relevant Owners. The above 30% / 50% test should be applied at the Company level; and
- 2) does not fall within any of the following categories:
 - a) an individual;
 - b) a bona fide entity¹² not resident in Singapore who does not have a permanent establishment in Singapore (other than a fund manager) and does not carry on a business in Singapore;
 - c) a bona fide entity not resident in Singapore (excluding a permanent establishment in Singapore) who carries on an operation in Singapore through a permanent establishment in Singapore where the funds used to invest directly or indirectly in the fund are not obtained from its Singapore operations;
 - d) a designated person¹³;
 - e) an approved company under Section 13O of the SITA, which, at all times during the basis period for the year of assessment for which the income of the approved company is exempt

¹¹ Two persons (P1 and P2) will be regarded as being “associates” of each other if:

(a) at least 25% of the total value of the issued securities of one person is beneficially owned, directly or indirectly, by the other; or

(b) at least 25% of the total value of the issued securities in each of P1 and P2 is beneficially owned, directly or indirectly, by a third person (P3).

Notwithstanding the above, P1 and P2 will not be regarded as “associates” in the following circumstances:

- where either P1 or P2 is an entity listed in Singapore or elsewhere and does not beneficially own, directly or indirectly, at least 25% of the total value of the issued securities of the other investor;

- P3 is an individual or a designated person (or a nominee company or a trust fund of an individual or a designated person) who is the only person who owns at least 25% of the total value of issued securities of P1 and P2; or

- where P1 is an approved person under Section 13U of the SITA which at all times beneficially owns directly any of the issued securities of the approved company during the relevant financial year and satisfies all of the conditions for exemption under Section 13U.

¹² A “bona fide entity” means an entity that is not a non-bona fide entity. A “non-bona fide entity” means a person not resident in Singapore (excluding a permanent establishment in Singapore) who:

- is set up solely for the purpose of avoiding or reducing payment of tax or penalty under the SITA; or

- does not carry out any substantial business activity for a genuine commercial reason.

¹³ A “designated person” refers to specified Singapore government entities.

from tax under Section 13O of the SITA, satisfies the conditions in regulation 3(2) of the Regulations¹⁴; or

- f) an approved person under Section 13U of the SITA, which, at all times during the basis period for the year of assessment for which the income of the approved company is exempt from tax under Section 13U of the SITA, satisfies the conditions in regulation 3(2) of the Income Tax (Exemption of Income Arising from Funds Managed in Singapore by Fund Manager) Regulations 2010¹⁵.

Investors should take note of the aggregation rule in (1) above and should also note that for purposes of determining whether other investors of an approved company who are connected with them are associates under this aggregation rule, shareholding of non-resident non-individual investors connected to them may be aggregated (notwithstanding that these persons are themselves Qualifying Relevant Owners) in assessing whether the relevant thresholds have been exceeded.

Non-Qualifying Relevant Owners will have to declare and pay the penalty in their own Singapore income tax returns for the relevant year of assessment. If applicable, the penalty is calculated based on (a) the percentage of the value of the issued securities of the approved company beneficially owned by the Non-Qualifying Relevant Owner as at the Relevant Day of the approved company, multiplied by (b) the income of the approved company as reflected in the audited / certified accounts for that financial year ("Non-Qualifying Relevant Owner Income") and multiplied by (c) the applicable corporate tax rate. The corporate tax rate as of the date of this Prospectus is 17%.

In addition, the investors should note that the taxation of distributions by the Company (and the Sub-Funds) and gains on investment in the Shares will depend on their particular situations. This is notwithstanding that certain investors may have paid a penalty to the CIT. As mentioned, prospective investors should consult their own tax advisers concerning the tax consequences of investing in the Company (and the Sub-Funds) in the light of their particular circumstances.

Reporting Obligations

Under the SRF Scheme, the Manager has certain reporting obligations. To enable the investors to determine the value of the issued securities they own in the approved company in respect of any financial year of the approved company, the Manager is required to issue an annual statement to each investor. It is prescribed in the Regulations that the annual statement should contain the following:

- 1) the gains or profit of the approved company for that financial year as per the approved company's audited or certified financial statements for that financial year;
- 2) the total value of issued securities of the approved company as at the Relevant Day;
- 3) the total value of issued securities of the approved company held by the Investor concerned as at the Relevant Day; and
- 4) whether the approved company has fewer than ten (10) Investors as at the Relevant Day.

The Manager will be required to submit a declaration to the CIT within one (1) month after the date of issue of the audited accounts of the approved company relating to any financial year in which the Relevant Day falls if, for a particular financial year of the approved company, there are any Non-

¹⁴ References to Section 13R in the Regulations refer to Section 13O of the ITA as the section has been renumbered in the latest edition of the SITA.

¹⁵ References to Section 13X in the Regulations refer to Section 13U of the ITA as the section has been renumbered in the latest edition of the SITA.

Qualifying Relevant Owners, and furnish the CIT with their details. In this regard, investors should note that they are each responsible for the computation of the aggregate value of the Fund held by them and their associates and may be required by the Manager to disclose this status and computation to the Manager from time to time.

The Company will be required to submit annual tax returns to the CIT. In addition, once approved for the SRF Scheme, the Company will be required to submit an annual declaration to the MAS. The annual declaration should be submitted within four months of the end of the financial year end of the Company.

The Company, the Manager and the Fund Administrator reserve the right to request such information in their absolute discretion as they may deem fit for the purposes of the SRF Scheme or for such other purposes in relation to the taxation of the Company.

Stamp duty

Stamp duty is a tax on instrument or document (including electronic document) effecting a conveyance, assignment or transfer on sale of stock or shares or any interest of the stocks and shares, and immovable properties. Instruments that are liable to stamp duty are described in the First Schedule to the Stamp Duties Act 1929 (the “**SD Act**”). Pursuant to Article 3(c) of the First Schedule of the SD Act, instruments for the conveyance, assignment or transfer or sale of any stock or shares (including shares in the capital stock of a VCC) or any interest thereof will be subject to Singapore stamp duty.

An electronic document includes an electronic record (e.g. email, SMS or any Internet-based messaging service) that effects the transaction; an electronic record and a physical document that together effect the transaction; or an electronic record and a verbal communication that together effect the transaction with the electronic record concluding the transaction. Stamp duty is chargeable when the electronic document is executed.

If the electronic document is an electronic record, or consists of an electronic record and a physical document or verbal communication (where the transaction is concluded by the electronic record), it is treated as executed at the time and place that an electronic signature (including emails, SMS, WhatsApp, biometric signatures, clicking a button in an online platform or any other electronic method used to identify a person) is applied and to indicate the person’s intention in respect of the information contained in an electronic record. If the electronic document consists of an electronic record and a physical document (where the transaction is concluded by the physical document), it is treated as executed at the time and place that the physical document is signed.

Where the electronic document is executed outside Singapore, the stamp duty liability arises when it is received in Singapore. An electronic document that is executed outside Singapore will be treated as received in Singapore in any of the following scenarios:

- The electronic document is retrieved or accessed in Singapore;
- An electronic copy is stored on a device (including a computer) and brought into Singapore; or
- An electronic copy is stored on a computer in Singapore.

Transfer instruments executed for the transfer of Shares in the sub fund (evidenced by entries on a Tokenised Register) will be chargeable with stamp duty at 0.2% on the higher of consideration or value of the Shares. Additional Conveyance Duties (“**ACD**”) may also apply on the transfer of Shares in the sub-fund if it is a property-holding entity that primarily owns, directly or indirectly, prescribed immovable properties in Singapore.

The initial subscription of Shares in the sub-fund should not be subject to Singapore stamp duty.

Cash redemptions of Shares in the sub-fund followed by their cancellation should not be chargeable to stamp duty. Stamp duty will, however, apply on redemption in specie which involves the transfer of chargeable assets (generally Singapore shares and immovable properties) to the investors.

Where a disposal of Shares in the sub-fund by an existing investor to a new investor is effected by the cancellation of Shares of the existing investor and issuance of new Shares to the new investor, such disposal of Shares will be treated as a transfer of Shares from the existing investor directly to the new investor and stamp duty will be chargeable under the anti-avoidance provisions of the Act. If stamp duty is chargeable, ACD may also apply where the VCC or its sub-fund qualifies as a property holding entity.

When an instrument to transfer chargeable asset is executed by an umbrella VCC for its sub-fund, the instrument will be subject to stamp duty as if the sub-fund is a separate legal entity executing the instrument. When an instrument to transfer chargeable asset is executed between (i) an umbrella VCC and its sub-funds, or (ii) sub-funds of the same umbrella VCC, the instrument will be subject to stamp duty as if the instrument is executed between different legal entities.

Distribution-in-specie of any chargeable asset to a shareholder of a VCC in connection with the liquidation of a VCC or any of its sub-fund is chargeable with stamp duty.

The liability to stamp and pay is that of the buyer unless otherwise agreed between the parties. The stamp duty must be paid within:

- 14 days from the date of execution if the transfer instrument is signed in Singapore; or
- 30 days of it being first received in Singapore if the instrument is signed overseas.

Other tax developments

1) Section 10L of the SITA

Gains from the sale or disposal of any movable or immovable property situated outside Singapore (collectively 'foreign assets') that are received in Singapore on or after 1 January 2024 by an entity of a relevant group that does not have sufficient economic substance in Singapore will be treated as income chargeable to Singapore income tax, subject to certain exceptions. The change will apply only to gains from the sale or disposal of foreign assets that occurs on or after 1 January 2024.

A relevant entity is a member of a multinational group whose assets, liabilities, income, expenses and cash flows are included in consolidated financial statements of the parent entity of the group prepared in accordance with generally accepted accounting standards (GAAP). Entities excluded from the consolidated financial statements of the parent entity solely on size, or materiality grounds or on the grounds that the entity(s) is held for sale would still be considered as relevant entity for this purpose.

However, the MAS has clarified that certain incentivised funds (including a fund enjoying the 13O Scheme) will automatically be regarded as meeting the economic substance requirement for the basis period covered by the annual declaration, if the fund submits an annual declaration to the MAS and meets the qualifying criteria for the applicable scheme (in this case, the 13O Scheme as discussed above).

2) Global Anti-base Erosion (GloBE) rules

The Finance Minister has announced in Budget 2024 that Singapore will proceed to implement both the domestic top-up tax ("**DTT**") and Income Inclusion Rule ("**IIR**") for in-scope businesses from their financial years starting on or after 1 January 2025.

The Singapore Ministry of Finance has published the draft Multinational Enterprise (Minimum Tax) Bill on 10 June 2024 for public consultation. Based on the draft bill, an investment entity (as defined) is treated as an excluded entity for Singapore DTT purposes.

Notwithstanding, as these proposed changes have not been legislated and may be subject to further changes, there will be a need to monitor their developments and implications on the Company.

28. MISCELLANEOUS INFORMATION

28.1 Inspection of Documents

Copies of the following documents are available for inspection at the offices of the Company and the Manager during usual business hours on each Business Day:

- Constitution; and
- Register of each Sub-Fund.

28.2 Obtaining Prices of Shares

The buying and selling prices of the Shares of the Sub-Fund(s) and the respective Dealing Day to which the buying and selling prices of the Shares relates to will generally be available within 2 Business Days after the relevant Dealing Day from the Company or its appointed agents or distributors, and may also be published on <https://www.franklintempleton.com.sg>.

You should note that the Directors, the Company, the Manager and the Sub-Manager do not accept any responsibility for any errors on the part of the publisher in the prices published or for any non-publication or late publication of prices by such publisher and shall incur no liability in respect of any action taken or loss suffered by any person in reliance upon such publication.

28.3 Anti-Money Laundering Regulations

As part of the Manager's and the Company's responsibility for the prevention of money laundering and countering the financing of terrorism and to comply with all applicable laws, regulations, notices, codes and guidelines to which the Manager, the Company or any Sub-Fund is subject, the Manager, the Registrar and Transfer Agent or the Company may require a detailed verification of an investor's identity and the source of payment of any subscriptions. Depending on the circumstances of each application, a detailed verification may not be required where:

- the investor makes the payment from an account held in the investor's name at a recognised financial institution; or
- the application is made through a recognised intermediary.

These exceptions will only apply if the financial institution or intermediary referred to above is within a country recognised by the Company and the Manager as having sufficient anti-money laundering regulations.

28.4 Queries and Complaints

For any queries or complaints regarding the Company or any Sub-Fund, you may contact the Company or the Manager at:

Address : 7 Temasek Boulevard
#26-03 Suntec Tower One
Singapore 038987

Telephone : (65) 6241 2662
(65) 6432 9447

Email : OnchainServicingIntl@franklintempleton.com

Website : <https://www.franklintempleton.com.sg>

APPENDIX I – FRANKLIN ONCHAIN U.S. DOLLAR SHORT-TERM MONEY MARKET FUND

This Appendix should only be read in conjunction with the Prospectus, of which this Appendix forms part.

This Appendix relates only to Shares issued by the Company in respect of Franklin OnChain U.S. Dollar Short-Term Money Market Fund (Sub Fund Number: T24VC0111E-SF001) (the “Sub-Fund”).

In the event of any inconsistency between this Appendix and the Prospectus, as it relates to the Sub-Fund, this Appendix shall prevail.

The Sub-Fund is not a separate legal entity. Despite references to the Sub-Fund carrying out certain activities and entering into certain transactions, the Company is the legal entity doing so for the purpose of the Sub-Fund. References in this Appendix to the Sub-Fund taking any action should be construed accordingly.

A. KEY INFORMATION

The following table is a summary of key information in respect of the Sub-Fund.

Investment Objective	The investment objective of the Sub-Fund is to provide investors with a high level of current income as is consistent with the preservation of capital and liquidity.
Investment Focus and Approach	<u>Prior to 13 February 2026</u> The Sub-Fund seeks to achieve its objective by investing in a portfolio of high quality¹⁶ USD-denominated debt and debt-related money market instruments, which consist primarily of short-term fixed and floating-rate debt securities, commercial papers, floating-rate notes and certificates of deposit of eligible financial institutions¹⁷. The Sub-Fund may also, to a lesser extent, invest in eligible securitisation and asset-backed commercial paper ("ABCP") as well as ancillary liquid assets, bank deposits denominated in US dollar and other money market instruments. Up to 100% of the investments of the Sub-Fund may be issued or guaranteed by sovereign governments of member states of the Organisation for Economic Co-operation and Development (OECD) and/or related entities, supranational entities, including most prominently instruments issued or guaranteed by the United States Treasury or the U.S. Federal Reserve, including the Federal National Mortgage Association (FNMA), the Government National Mortgage Association (GNMA), and the Federal Home Loan Mortgage Corporation (Freddie Mac). The Sub-Fund limits the dollar-weighted average maturity of its portfolio to 60 calendar days or less and limits the dollar-weighted average life of its portfolio to 120 calendar days or less. The Sub-Fund only holds non-deposit investments which at the time of acquisition have an initial or remaining term to maturity of not more than 397 calendar days. The Sub-Fund may also invest in repurchase and reverse repurchase agreements for the purposes of efficient portfolio management.

	The Sub-Fund currently does not intend to use financial derivative instruments for any purpose. <u>With effect from 13 February 2026</u> The Sub-Fund seeks to achieve its objective by investing in a portfolio of high quality¹⁶ USD-denominated debt and debt-related money market instruments, which consist primarily of short-term fixed and floating-rate debt securities, commercial papers, floating-rate notes and certificates of deposit of eligible financial institutions¹⁷, as well as ancillary liquid assets, bank deposits denominated in US dollar and other money market instruments. Up to 100% of the investments of the Sub-Fund may be issued or guaranteed by sovereign governments of member states of the Organisation for Economic Co-operation and Development (OECD) and/or related entities, supranational entities, including most prominently instruments issued or guaranteed by the United States Treasury or the U.S. Federal Reserve, including the Federal National Mortgage Association (FNMA), the Government National Mortgage Association (GNMA), and the Federal Home Loan Mortgage Corporation (Freddie Mac). The Sub-Fund limits the dollar-weighted average maturity of its portfolio to 60 calendar days or less and limits the dollar-weighted average life of its portfolio to 120 calendar days or less. The Sub-Fund only holds non-deposit investments which at the time of acquisition have an initial or remaining term to maturity of not more than 397 calendar days. The Sub-Fund may also invest in repurchase and reverse repurchase agreements for the purposes of efficient portfolio management. The Sub-Fund currently does not intend to use financial derivative instruments for any purpose.
Benchmark Index	Bloomberg US Treasury 1-3 Month Index
Currency of Account (Base Currency)	US\$
Distribution Policy	Not applicable
Dealing Deadline	4.30 p.m. Singapore time on each Dealing Day (or such other date and/or time as the Directors may from time to time determine)
Payment Deadline	8.00 p.m. Singapore time on the Dealing Day on which the application is received or deemed to be received (or such other date and/or time as the Directors may from time to time determine)
Management Fee	<u>Class A</u> Currently: 0.20% per annum of the Net Asset Value Maximum: 0.40% per annum of the Net Asset Value <u>Class I</u> Currently: 0.10% per annum of the Net Asset Value Maximum: 0.15% per annum of the Net Asset Value <u>Class X</u>

	Not applicable. No Management Fee is payable by the Sub-Fund to the Manager.
Custodian Fee	Up to 0.025% per annum of the Net Asset Value of the Sub-Fund (excluding transaction fees and the prevailing goods and services tax), subject to a minimum annual fee depending on the size of the Sub-Fund.
Other fees and charges	Other fees and charges include, but is not limited to, fund administration and valuation fees, audit fees, accounting fees, licensing fees, corporate secretarial fees, legal fees, printing costs, out-of-pocket expenses and Directors' fees. Such fees and charges are subject to agreement with the relevant parties and may amount to or exceed 0.10% of the Net Asset Value of the Sub-Fund, depending on the proportion each fee or charge bears to the Net Asset Value of the Sub-Fund. Please refer to Regulation 129 of the Constitution for further information on such fees and charges.
Investor Profile	This Sub-Fund is <u>only</u> suitable for investors who: - seek current income and high degree of capital preservation by investing in a portfolio of high-quality USD-denominated debt and debt-related securities, money market instruments and cash denominated in US dollar; and - are looking to invest for the short term. The principal may be at risk.

B. INVESTMENT OBJECTIVE, FOCUS AND APPROACH

1. Investment Objective

The investment objective of the Sub-Fund is to provide investors with a high level of current income as is consistent with the preservation of capital and liquidity.

2. Investment Focus and Approach

Prior to 13 February 2026

The Sub-Fund seeks to achieve its objective by investing in a portfolio of high quality¹⁶ USD-denominated debt and debt-related money market instruments, which consist primarily of short-term fixed and floating-rate debt securities, commercial papers, floating-rate notes and certificates of deposit of eligible financial institutions¹⁷. The Sub-Fund may also, to a lesser extent, invest in eligible securitisation and asset-backed commercial paper ("**ABCP**") as well as ancillary liquid assets, bank deposits denominated in US dollar and other money market instruments.

Up to 100% of the investments of the Sub-Fund may be issued or guaranteed by sovereign governments of member states of the Organisation for Economic Co-operation and Development (OECD) and/or related entities, supranational entities, including most prominently instruments issued or guaranteed by the United States Treasury or the U.S. Federal Reserve, including the Federal National Mortgage Association (FNMA), the Government National Mortgage Association (GNMA), and the Federal Home Loan Mortgage Corporation (Freddie Mac).

The Sub-Fund limits the dollar-weighted average maturity of its portfolio to 60 calendar days or less and limits the dollar-weighted average life of its portfolio to 120 calendar days or less. The Sub-Fund only holds non-deposit investments which at the time of acquisition have an initial or remaining term to maturity of not more than 397 calendar days.

The Sub-Fund may also invest in repurchase and reverse repurchase agreements for the purposes of efficient portfolio management. The expected level of exposure that could be subject to repurchase agreements amount to 10% of the Sub-Fund's Net Asset Value, subject to a maximum of 10%. The expected level of exposure that could be subject to reverse repurchase agreements amounts to 20% of the Sub-Fund's Net Asset Value, subject to a maximum of 35%. The aggregate amount of cash provided to the same counterparty in reverse repurchase agreements shall not exceed 15% of the Net Asset Value of the Sub-Fund.

The Sub-Fund currently does not intend to use financial derivative instruments for any purpose.

The Sub-Fund is subject to the investment guidelines, restrictions and borrowing limits set out in Appendix 1 and 2 of the Code. The Manager and Sub-Manager shall also observe all other investment restrictions imposed on the Sub-Fund by applicable laws, regulations and guidelines.

The Manager and Sub-Manager have established a set of internal credit assessment standards and has put in place a credit assessment process to ensure that its investments are in line with these standards and information on the Manager's and the Sub-Manager's credit assessment process would be made available to investors upon request.

The Sub-Fund is actively managed and uses the benchmark Bloomberg US Treasury 1-3 Month Index for performance comparison purposes. The benchmark is not used as a constraint on how the Sub-Fund's portfolio is positioned. The Manager and Sub-Manager have discretion over the portfolio construction and may select investments within and outside of the benchmark where it fits with the investment objective.

With effect from 13 February 2026

The Sub-Fund seeks to achieve its objective by investing in a portfolio of high quality¹⁶ USD-denominated debt and debt-related money market instruments, which consist primarily of short-term fixed and floating-rate debt securities, commercial papers, floating-rate notes and certificates of deposit of eligible financial institutions¹⁷, as well as ancillary liquid assets, bank deposits denominated in US dollar and other money market instruments.

¹⁶ A "high quality" debt security or debt security or money market instrument is presently defined in Appendix 2 of the Code as one: (i) with either a minimum short-term rating of F-2 by Fitch Ratings Limited ("**Fitch**"), P-2 by Moody's Investors Service, Inc. ("**Moody's**") or A-2 by Standard and Poor's Corporation ("**Standard and Poor's**"), or where it only has a long-term rating, such a rating of A by Fitch, A by Moody's or A by Standard and Poor's (including such sub-categories or gradations therein); (ii) issued by supranational agencies or other foreign entities and rated other than by the credit rating organisations specified in paragraph (i), for which the Manager has satisfied the Directors that the quality of the debt security or money market instrument is comparable to those with the ratings specified in paragraph (i); or (iii) issued by a Singapore entity, including the Singapore Government and statutory boards, and is not rated, for which the Manager has satisfied the Directors that the quality of the debt security or money market instrument is comparable to those with the ratings specified in paragraph (i) above.

¹⁷ An "eligible financial institution" is presently defined in Appendix 2 of the Code as (i) a financial institution which has a minimum short-term rating of F-2 by Fitch, P-2 by Moody's or A-2 by Standard

Up to 100% of the investments of the Sub-Fund may be issued or guaranteed by sovereign governments of member states of the Organisation for Economic Co-operation and Development (OECD) and/or related entities, supranational entities, including most prominently instruments issued or guaranteed by the United States Treasury or the U.S. Federal Reserve, including the Federal National Mortgage Association (FNMA), the Government National Mortgage Association (GNMA), and the Federal Home Loan Mortgage Corporation (Freddie Mac).

The Sub-Fund limits the dollar-weighted average maturity of its portfolio to 60 calendar days or less and limits the dollar-weighted average life of its portfolio to 120 calendar days or less. The Sub-Fund only holds non-deposit investments which at the time of acquisition have an initial or remaining term to maturity of not more than 397 calendar days.

The Sub-Fund may also invest in repurchase and reverse repurchase agreements for the purposes of efficient portfolio management. The expected level of exposure that could be subject to repurchase agreements amount to 10% of the Sub-Fund's Net Asset Value, subject to a maximum of 10%. The expected level of exposure that could be subject to reverse repurchase agreements amounts to 20% of the Sub-Fund's Net Asset Value, subject to a maximum of 35%. The aggregate amount of cash provided to the same counterparty in reverse repurchase agreements shall not exceed 15% of the Net Asset Value of the Sub-Fund.

The Sub-Fund currently does not intend to use financial derivative instruments for any purpose.

The Sub-Fund is subject to the investment guidelines, restrictions and borrowing limits set out in Appendix 1 and 2 of the Code. The Manager and Sub-Manager shall also observe all other investment restrictions imposed on the Sub-Fund by applicable laws, regulations and guidelines.

The Manager and Sub-Manager have established a set of internal credit assessment standards and has put in place a credit assessment process to ensure that its investments are in line with these standards and information on the Manager's and the Sub-Manager's credit assessment process would be made available to investors upon request.

The Sub-Fund is actively managed and uses the benchmark Bloomberg US Treasury 1-3 Month Index for performance comparison purposes. The benchmark is not used as a constraint on how the Sub-Fund's portfolio is positioned. The Manager and Sub-Manager have discretion over the portfolio construction and may select investments within and outside of the benchmark where it fits with the investment objective.

C. CLASSES OF SHARES OFFERED

The following Classes of Shares are offered:

Name of Class	Currency of Denomination
Class A	US\$
Class I	US\$

and Poor's (including such sub-categories or gradations therein); (ii) a financial institution rated other than by the credit rating organisations specified in paragraph (i) above for which the Manager has satisfied the Directors that its short-term rating is comparable to the ratings in paragraph (i) above; or (iii) a Singapore-incorporated bank licensed under the Banking Act 1970 of Singapore which is not rated, but has been approved under the Central Provident Fund Investment Scheme to accept fixed deposits.

Name of Class	Currency of Denomination
Class X	US\$

Class A Shares of the Sub-Fund are available to all investors and Class I Shares and Class X Shares of the Sub-Fund may only be offered to certain investors at the discretion of the Manager. Please also refer to Sections D and K of this Appendix for the different Management Fee and minimum initial subscription amount applicable to these Classes.

The abovementioned Shares of the Sub-Fund are Specified Investment Products and capital markets products other than Prescribed Capital Markets Products¹⁸.

D. FEES AND CHARGES

1. Fees and charges payable by you:

Subscription Fee*	Currently 0%. Maximum 1%.
Redemption Fee	Currently 0%. Maximum 1%.
Switching Fee	Not applicable. No switching is allowed.
Additional Amount**	Maximum: 10% of the subscription proceeds or redemption proceeds, as the case may be.

* The Subscription Fee (if any) will be payable by Shareholders to the Company or to its appointed agents or distributors or will be shared between the Company and its appointed agents or distributors depending on the arrangement between the Company and its appointed agents or distributors. Some appointed agents or distributors may charge their customers additional fees for their services that are in addition to the Subscription Fee disclosed above, depending on the specific nature of services provided by them.

** *In respect of subscriptions:* The Company is entitled to deduct from the subscription proceeds or may require an applicant for Shares to pay, in addition to the Issue Price or the subscription proceeds and any Subscription Fee, an Additional Amount which it reasonably considers represents an appropriate provision for (a) estimated bid/offer spread of the investments of the Sub-Fund, (b) extraordinary transactional fees or expenses, including stamp duty, other taxes, brokerage, bank charges, transfer fees or registration fees, and (c) other charges which are customarily incurred in investing a sum equal to the subscription monies and issuing the Shares or of delivery or issue of certificates in respect thereof or the remittance of money to the Company. Any such Additional Amount will be retained by or paid to the Company (as the case may be) and will form part of the Sub-Fund Assets of the Sub-Fund or the relevant Class of the Sub-Fund. An applicant for Shares will be notified of any Additional Amount charged in the confirmation note issued in respect of an application for Shares. *In respect of redemptions:* The Company is entitled to deduct an Additional Amount from the redemption proceeds which it reasonably considers

¹⁸ With effect from 13 February 2026, the Shares of the Sub-Fund will be classified as Excluded Investment Products and Prescribed Capital Markets Products. Accordingly, with effect from 13 February 2026, the Sub-Fund will not invest in any product or engage in any transaction which may cause such Shares not to be regarded as Excluded Investment Products and Prescribed Capital Markets Products.

represents an appropriate provision for (a) estimated bid/offer spread of the investments of the Sub-Fund, (b) extraordinary transactional fees or expenses, including stamp duty, other taxes, brokerage, bank charges, transfer fees or registration fees, and (c) other charges which are customarily incurred in selling the Securities constituting the Sub-Fund Assets of the Sub-Fund or the remittance of money to the Company. Any such Additional Amount will be retained by the Company and will form part of the Sub-Fund Assets of the Sub-Fund or the relevant Class of the Sub-Fund. A Shareholder redeeming their Shares will be notified of any Additional Amount charged in the notification issued for the payment of redemption proceeds.

2. Fees payable by the Sub-Fund

Management Fee	<u>Class A</u> Currently: 0.20% per annum of the Net Asset Value[^] Maximum: 0.40% per annum of the Net Asset Value[^] [^]Of which: (a) 50% to 100% of the Management Fee to be retained by us and (b) 0% to 50% of the Management Fee to be paid by us to our financial advisers (trailer fee)*. <u>Class I</u> Currently: 0.10% per annum of the Net Asset Value Maximum: 0.15% per annum of the Net Asset Value No trailer fee is paid by us to our financial advisers in respect of Class I Shares. <u>Class X</u> Not applicable. No Management Fee is payable by the Sub-Fund in respect of Class X Shares.
Custodian Fee	Up to 0.025% per annum of the Net Asset Value of the Sub-Fund (excluding transaction fees and the prevailing goods and services tax), subject to a minimum annual fee depending on the size of the Sub-Fund.
Other fees and charges	Other fees and charges include, but is not limited to, fund administration and valuation fees, audit fees, accounting fees, licensing fees, corporate secretarial fees, legal fees, printing costs, out-of-pocket expenses and Directors' fees. Such fees and charges are subject to agreement with the relevant parties and may amount to or exceed 0.10% of the Net Asset Value of the Sub-Fund, depending on the proportion each fee or charge bears to the Net Asset Value of the Sub-Fund. Please refer to Regulation 129 of the Constitution for further information on such fees and charges.

* Your financial adviser/distributor is required to disclose to you the amount of trailer fee that it receives from us.

The Sub-Manager's fees will be payable by the Manager and will not be payable by the Sub-Fund.

E. SPECIFIC RISK FACTORS

In addition to the risk factors described under paragraph 7 “Risk Factors” of this Prospectus, investors should also consider the specific risks associated with investing in this Sub-Fund set out below before deciding whether to invest in this Sub-Fund.

Risks relating to tokenisation of the Register

As Shares in respect of the Sub-Fund will be evidenced by an entry in the Register in the form of a Tokenised Register to be maintained by the Registrar and Transfer Agent in respect of the Sub-Fund in the form of transactional data via public blockchain networks represented by tokens on a distributed ledger plus certain Off-Chain Information (if any), prospective investors should carefully review the risk factor entitled “Risks relating to tokenisation of the Register” described under paragraph 7 “Risk Factors” of this Prospectus.

Foreign exchange and currency risk

The Sub-Fund can be affected favourably or unfavourably by changes in currencies and exchange control regulations. The income earned by the Sub-Fund may be affected by fluctuations in foreign exchange rates.

Additionally, where a Class of the Sub-Fund is denominated in a currency other than in Singapore dollars, changes in the exchange rate between the currency of denomination of the relevant Class and Singapore dollars may adversely affect the value of the Shares of such Class, as expressed in the currency of denomination of the relevant Class.

The Manager and/or the Sub-Manager currently do not intend to hedge the foreign currency exposure of the Sub-Fund or any Class of the Sub-Fund. Accordingly, investors will be exposed to exchange rate risks.

Foreign market risks

Investments in foreign markets may present risks not typically associated with domestic markets. These risks may include changes in currency exchange rates; less-liquid markets and less available information; less government supervision of exchanges, brokers, and issuers; increased social, economic, and political uncertainty; and greater price volatility. These risks may be greater in emerging markets, which may also entail different risks from developed markets.

Issuer specific risk

A security issued by a particular issuer may be impacted by factors that are unique to that issuer and thus may cause that security’s return to differ from that of the market.

Interest rate risk

Investments in fixed income securities are subject to interest rate fluctuations. In general, the prices of fixed income securities rise when interest rate falls, and fall when interest rate rises. The longer the term of a fixed income security, the more sensitive it will be to fluctuations in value from interest rate changes.

Credit risk

Investments in debt securities are subject to credit risk where some issuers may be unable to meet their financial obligations, such as payment of principal and/or interest on an instrument. In addition, an issuer may suffer adverse changes in its financial condition that could lower the credit quality of a security, leading to greater volatility in the price of the security and in the value of

Units of the sub fund. A change in the quality rating of a bond or other security can also affect the security's liquidity and make it more difficult to sell.

Redemption risk

There may be a 10% limit on the number of Shares of a Class that can be redeemed on a Dealing Day. Therefore, a redemption request may be deferred to the next Dealing Day (which is subject to the same limit) if redemptions exceed the limit on that day.

Risk of government securities

Government-issued debt securities may be subject to risks in addition to those relating to debt securities including, but not limited to, sensitivity to changes in macroeconomic policies, interest rate shifts, political or economic instability, and the risk that a governmental entity may be unwilling or unable to pay interest and repay principal on its debt securities. There are generally no bankruptcy proceedings for government-issued debt securities and in the event of default, the Sub-Fund may have limited legal recourse against the defaulting government entity.

Credit-linked securities risk

Credit-linked securities are debt securities that represent an interest in a pool of, or are otherwise collateralised by one or more corporate debt obligations or credit default swaps incorporating debt or bank loan obligations. Such debt obligations may represent the obligations of one or more corporate issuers. The Sub-Fund has the right to receive periodic interest payments from the issuer of the credit-linked security (usually the seller of the underlying credit default swap(s)) at an agreed-upon interest rate, and a return of principal at the maturity date.

The Sub-Fund bears the risk of loss of its principal investment, and the periodic interest payments expected to be received for the duration of its investment in the credit-linked security, in the event that one or more of the debt obligations underlying the credit default swaps go into default or otherwise become non-performing. Upon the occurrence of such a credit event (including bankruptcy, failure to timely pay interest or principal, or a restructuring), the Sub-Fund will generally reduce the principal balance of the related credit-linked security by the Sub-Fund's pro rata interest in the par amount of the defaulted underlying debt obligation in exchange for the actual value of the defaulted underlying obligation or the defaulted underlying obligation itself, resulting in a loss of a portion of the Sub-Fund's investment. Thereafter, interest on the credit-linked security will accrue on a smaller principal balance and a smaller principal balance will be returned at maturity. To the extent a credit-linked security represents an interest in underlying obligations of a single corporate or other issuer, a credit event with respect to such issuer presents greater risk of loss to the Sub-Fund than if the credit-linked security represented an interest in underlying obligations of multiple issuers.

In addition, the Sub-Fund bears the risk that the issuer of the credit-linked security will default or become bankrupt. In such an event, the Sub-Fund may have difficulty being repaid, or fail to be repaid, the principal amount of its investment and the remaining periodic interest payments thereon.

An investment in credit-linked securities also involves reliance on the counterparty to the credit default swap entered into with the issuer of the credit-linked security to make periodic payments to the issuer under the terms of the swap. Any delay or cessation in the making of such payments may be expected in certain instances to result in delays or reductions in payments to the Sub-Fund as an investor in such credit-linked securities. Additionally, credit-linked securities are typically structured as limited recourse obligations of the issuer of such securities such that the securities issued will usually be obligations solely of the issuer and will not be obligations or responsibilities of any other person.

Most credit-linked securities are structured as US Rule 144A securities so that they may be freely traded among institutional buyers. The Sub-Fund will generally only purchase credit-linked securities, which are determined to be liquid in the opinion of the Manager and/or the Sub-Manager. However, the market for credit-linked securities may suddenly become illiquid. The other parties to the transaction may be the only investors with sufficient understanding of the derivative to be interested in bidding for it. Changes in liquidity may result in significant, rapid and unpredictable changes in the prices for credit-linked securities. In certain cases, a market price for a credit-linked security may not be available or may not be reliable, and the Sub-Fund could experience difficulty in selling such security at a price the Manager and/or the Sub-Manager believes is fair.

The value of a credit-linked security will typically increase or decrease with any change in value of the underlying debt obligations, if any, held by the issuer and the credit default swap. Further, in cases where the credit-linked security is structured such that the payments to the Sub-Fund are based on amounts received in respect of, or the value of performance of, any underlying debt obligations specified in the terms of the relevant credit default swap, fluctuations in the value of such obligation may affect the value of the credit-linked security.

Money market fund risk

The purchase of Shares in the Sub-Fund is not the same as placing funds on deposit with a bank or deposit-taking company. The Sub-Fund is not a guaranteed fund, in that there is no guarantee as to the amount of capital invested or return received. There is a risk that Shareholders might not recover their initial investment. The Sub-Fund does not rely on external support to guarantee their liquidity. The Company has no obligation to redeem Shares in the Sub-Fund at the relevant Issue Price.

Portfolio turnover risk

The Manager may sell a security or enter into or close out of a derivative position when it believes it is appropriate to do so, regardless of how long the Sub-Fund has held the instrument. These activities increase the Sub-Fund's portfolio turnover and may increase the Sub-Fund's transaction costs.

F. DISTRIBUTION POLICY

Distributions, if any, will be determined by the Directors in their sole and absolute discretion. The Directors currently do not intend to make distributions to holders of Shares in the Sub-Fund.

G. PERFORMANCE AND BENCHMARK OF THIS SUB-FUND

A track record of at least one year for the Sub-Fund is not available as the Sub-Fund has been incepted for less than one year as at the date of this Prospectus.

The benchmark for the Sub-Fund is the Bloomberg US Treasury 1-3 Month Index.

H. EXPENSE RATIO

The Sub-Fund's expense ratio for the financial year ended 31 December 2024 is not available as the Sub-Fund has been incepted after 31 December 2024.

I. TURNOVER RATIO

The Sub-Fund's turnover ratio for the financial year ended 31 December 2024 is not available as the Sub-Fund has been incepted after 31 December 2024.

J. FINANCIAL YEAR

The financial year-end of the Sub-Fund is the financial year-end of the Company. Please refer to paragraph 16 “Reports and Accounts” of this Prospectus for further details.

K. SUBSCRIPTION AND REDEMPTION

1. Minimum Subscription Amount

The minimum initial and subsequent subscription amount for this Sub-Fund is, subject to the Directors’ determination either generally or in any particular case, as follows:

Name of Class	Minimum Initial Subscription	Minimum Subsequent Subscription	Mode of Subscription
Class A	US\$20	US\$10	Cash only
Class I	US\$1,000,000	US\$10	Cash only
Class X	At the discretion of the Manager due to the alternative fee structure	US\$10	Cash only

Any such minimum initial and subsequent subscription amounts would exclude any applicable Subscription Fee and/or any applicable bank charges.

For the avoidance of doubt, the Company reserves the right to, in its sole discretion and at any time during the life of the Sub-Fund, change the minimum initial and subsequent subscription amounts.

2. Pricing Basis – Subscription

Shares of the Sub-Fund are issued on a forward pricing basis. As such, the Issue Price is not ascertainable at the time of subscription.

The price per Share at which Shares of the Sub-Fund (or a Class of the Sub-Fund) shall be issued on any Dealing Day shall be the Issue Price, which shall be exclusive of any Subscription Fee and any Additional Amount. The Issue Price of a Share of such Class on each relevant Dealing Day shall be the amount equal to the Net Asset Value per Share of such Class determined as at the Valuation Day coincident with the relevant Dealing Day.

3. Numerical example of how Shares are allotted

The following is an illustration of the total number of Shares that you will receive with an investment of US\$1,000 at an Issue Price of US\$1.0000 and assuming a Subscription Fee of 1% will be calculated as follows:

US\$1,000	-	US\$10	=	US\$990	/	US\$1.0000	=	990 Shares
Investment Amount		Subscription Fee		Net Investment Amount		Issue Price		Number of Shares allotted

Note: The above example is for illustration purposes only and should not be taken as any forecast of future performance. Investors subscribing through appointed agents or distributors should note that there may be other additional fees, the Additional Amount or Duties and Charges which are payable in addition to the Subscription Fee, depending on the specific nature of service provided by such appointed agents or distributors. Investors should consult the relevant appointed agent or distributor for details on all additional fees payable by investors.

Unless otherwise determined by the Directors, fractions of a Share rounded to the nearest seven decimal places (0.00000005 being rounded up) may be issued. Subscription monies representing a smaller fraction of a Share will be retained by the Company for the benefit of the Sub-Fund.

4. Minimum Holding Amount

The minimum holding amount for this Sub-Fund is, subject to the Directors' determination either generally or in any particular case, as follows:

Name of Class	Minimum Holding
Class A	20 Shares
Class I	20 Shares
Class X	20 Shares

Please note that appointed agents or distributors may impose minimum holding amounts at their discretion. Investors should consult the relevant appointed agent or distributor for details on any minimum holding amounts.

5. Pricing Basis – Redemption

Shares of the Sub-Fund are redeemed on a forward pricing basis. As such, the Redemption Price is not ascertainable at the time of redemption.

The price per Share at which Shares shall be redeemed on any Dealing Day shall be the Redemption Price. The Redemption Price of a Share of the Sub-Fund (or any Class of the Sub-Fund) on each relevant Dealing Day shall be the amount equal to the Net Asset Value per Share of such Class determined as at the Valuation Day coincident with the relevant Dealing Day.

6. Minimum Redemption Amount

The minimum redemption amount for this Sub-Fund is, subject to the Directors' determination either generally or in any particular case, as follows:

Name of Class	Minimum Redemption Amount
Class A	1 Share
Class I	1 Share
Class X	1 Share

Please note that appointed agents or distributors may impose minimum redemption amounts at their discretion. Investors should consult the relevant appointed agent or distributor for details on any minimum redemption amounts.

7. Reduction of redemption requests on a particular Dealing Day

In respect of each Class of the Sub-Fund, the Directors may reduce the redemption requests rateably and pro rata amongst all holders of Shares of the Sub-Fund who are seeking to redeem Shares on a particular Dealing Day and carry out only sufficient redemptions which, in aggregate, amount to 10 per cent (or such higher percentage as the Directors may determine) of the Shares of the relevant Class then in issue.

8. Numerical example of how redemption proceeds are calculated

The following is an illustration of the redemption proceeds that you will receive in making a redemption application based on 1,000 Shares and a Redemption Price per Share of US\$1.1000 assuming a Redemption Fee of 0%:

(1,000 Shares	x	US\$1.1000)	-	US\$0	=	US\$1,100
Number of Shares proposed to be redeemed		Redemption Price per Share		Redemption Fee		Redemption Proceeds

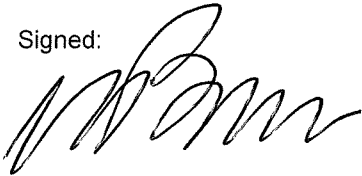
Note: The above example is for illustration purposes only and should not be taken as any forecast of future performance. Investors redeeming through appointed agents or distributors should note that there may be other additional fees, the Additional Amount or Duties and Charges which are payable in addition to the Redemption Fee, depending on the specific nature of service provided by such appointed agents or distributors. Investors should consult the relevant appointed agent or distributor for details on all additional fees payable by investors.

FRANKLIN TEMPLETON INVESTMENTS VCC

SECOND REPLACEMENT PROSPECTUS

BOARD OF DIRECTORS

Signed:



Christian Bucaro
Director

Signed:



Yu Tin Lai
Director
(Signed by Christian Bucaro for and
on behalf of Yu Tin Lai)

Signed:



Quah Hui Lay Corina
Director
(Signed by Christian Bucaro for and
on behalf of Quah Hui Lay Corina)